



CHAPTER 21.

An Act to consolidate the War Damage Act, 1941, the War Damage (Amendment) Act, 1942, and the War Damage (Amendment) Act, 1943 (other than provisions thereof for amending the War Risks Insurance Act, 1939).
[3rd June 1943.]

BE it enacted by the King's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows :—

PRELIMINARY.

- 1.—(1) There shall be made, subject to and in accordance with the provisions of Part I of this Act,—
- Provision to
be made with
respect to war
damage to land
and to goods.
- (a) payments by the War Damage Commission out of moneys provided by Parliament in respect of war damage to land occurring during the risk period, that is to say, the period beginning with the third day of September, nineteen hundred and thirty-nine, and continuing until such date as may be specified as the date for the termination of the risk period in an order made by the Treasury and approved by a resolution of the Commons House of Parliament ; and
- (b) contributions by persons interested in land towards the expense of making such payments.
- (2) The Board of Trade may, subject to and in accordance with the provisions of Part II of this Act, operate insurance schemes whereby the Board undertake the liability of insuring

PRELIMINARY
—cont.

persons against war damage to goods, and may, to the extent provided by the said provisions, make payments in respect of war damage to goods otherwise than under the schemes.

Definition of
" war
damage ".

2.—(1) In this Act the expression " war damage " means—

- (a) damage occurring (whether accidentally or not) as the direct result of action taken by the enemy, or action taken in combating the enemy or in repelling an imagined attack by the enemy ;
- (b) damage occurring (whether accidentally or not) as the direct result of measures taken under proper authority to avoid the spreading of, or otherwise to mitigate, the consequences of such damage as aforesaid ;
- (c) accidental damage occurring as the direct result—
 - (i) of any precautionary or preparatory measures taken under proper authority with a view to preventing or hindering the carrying out of any attack by the enemy ; or
 - (ii) of precautionary or preparatory measures involving the doing of work on land and taken under proper authority in any way in anticipation of enemy action,

being, in either case, measures involving a substantial degree of risk to property :

Provided that the measures mentioned in paragraph (c) of this subsection do not include the imposing of restrictions on the display of lights or measures taken for training purposes.

(2) For the purposes of the provisions of this Act relating to payments in respect of war damage under Part I thereof, the War Damage Commission may, with the consent of the Treasury, treat as damage of the kind mentioned in paragraph (b) of the preceding subsection any physical change in land, whether or not being such as to cause depreciation in the value thereof, which is the direct result of measures taken under proper authority to meet the circumstances created by damage occurring as mentioned in paragraph (a) of the preceding subsection.

(3) For the purposes of this section, such action against the enemy as is referred to in paragraph (a) of sub-section (1) thereof—

- (a) shall, in relation to any ship or aircraft taking part in such action, be deemed to continue until the ship or aircraft has returned to its base ;
- (b) includes naval, military or air reconnaissances and patrols.

(4) References in the subsequent provisions of this Act to the occurrence of war damage shall be construed as references to the taking of the action or measures specified in this section from which that damage results.

PRELIMINARY
—cont.

3.—(1) For the purposes of this Act, there shall be constituted a Commission, to be called the War Damage Commission (hereinafter referred to as "the Commission"), consisting of persons appointed by the Treasury in accordance with the First Schedule to this Act, which shall be charged with the duty of executing the provisions of Part I of this Act relating to the making of payments in respect of war damage to land, and shall exercise such other functions as are conferred upon them by this Act.

The War
Damage
Commission.

(2) The Commission shall, as respects such matters as may be specified in regulations made by the Treasury, exercise their functions under this Act (including any discretionary power exercisable by them) subject to and in accordance with the provisions of regulations so made:

Provided that any regulations made for the purposes of this subsection shall be of a general character, and nothing in this subsection shall be construed as authorising the making of any regulations requiring the Commission to exercise any of their functions in a manner inconsistent with the provisions of this Act.

(3) The provisions of the First Schedule to this Act shall have effect with respect to the constitution and procedure of the Commission.

4.—(1) The Lord Chancellor may nominate such number of judges of the High Court as appears to him to be expedient as nominated judges for the purposes of this Act.

Assignment of
proceedings
arising under
this Act to
special judges.

(2) Subject to rules of court, and to any power of transfer from one judge to another, any proceedings in the High Court for the enforcement of any right conferred by this Act shall, so far as is practicable, be heard and determined by one or more, as the case may require, of the nominated judges; and if in any proceedings in the High Court an issue arises which involves the determination of the construction or effect of this Act, the court or a judge thereof may, in accordance with and subject to rules of court, direct that the proceedings be heard and determined as aforesaid.

(3) This section shall not extend to Scotland.

(4) In its application to Northern Ireland this section shall have effect with the substitution, for the references in subsection (1) thereof to the Lord Chancellor and to the High Court, of references to the Lord Chief Justice of Northern Ireland and to the Supreme Court.

PART I.

LAND: PAYMENTS IN RESPECT OF WAR DAMAGE AND CONTRIBUTIONS TOWARDS EXPENSE OF MAKING PAYMENTS.

Payments in respect of damage to land: nature, amount and recipients generally.

Hereditaments that are to be units for payments in respect of damage to land. 5.—(1) For the purposes of the provisions of this Part of this Act relating to payments in respect of war damage, land sustaining war damage shall, subject to the provisions of the next succeeding subsection, be dealt with in such units as the Commission may determine, and land which is to constitute a unit for those purposes is in this Act referred to as a "hereditament."

(2) Hereditaments shall be of two kinds consisting respectively of—

(a) buildings (excluding buildings the use of which is accessory to the use of other land and which would not be readily marketable apart from that other land) or parts of such buildings, and the sites of such buildings or of parts thereof; and

(b) land other than as aforesaid:

Provided that there shall be included in a hereditament that comprises a building falling within paragraph (a) of this subsection, or a part of such a building, any land (including a building) which, though not falling within that paragraph, might be expected ordinarily to be occupied with the first-mentioned building or part and is so situated that war damage thereto, if not made good, would be likely to affect substantially the value of the first-mentioned building or part.

A hereditament that comprises a building falling within paragraph (a) of this subsection, or a part of such a building, is in this Act referred to as a "developed hereditament".

Nature of payments in respect of damage to land.

6.—(1) Subject to the provisions of this Part of this Act, a payment to be made thereunder shall be of one or other of the following kinds, that is to say,—

(a) a payment of cost of works, being a payment of an amount determined by reference to the cost of works executed for making good the damage, as provided by section eight of this Act; or

(b) a value payment, being a payment of an amount determined by reference to the depreciation in the value of the hereditament caused by the damage, as provided by section ten of this Act.

(2) Where either a payment of cost of works or a value payment is made in respect of war damage to a hereditament, there shall be made, in addition to that payment, a payment (in this Act referred to as a "temporary works payment") of an amount equal to the proper cost of any works reasonably executed for

temporarily meeting the circumstances created by the damage, being—

PART I.
—cont.

- (a) where a payment of cost of works is made, works, other than those taken into account in computing the amount of that payment, executed between the occurrence of the damage and the time when it is made good ;
- (b) where a value payment is made, works executed between the occurrence of the damage and the time when the Commission's determination to make that payment, and not a payment of cost of works, has been notified to all persons having an interest in the hereditament who have made a request in writing to the Commission to be notified thereof, or, if no such request has been made, the time of the Commission's determination.

7.—(1) Subject to the provisions of section twenty of this Act for securing the public interest in the making of payments under this Part of this Act, and subject also to the provisions of sections thirteen to fifteen of this Act, the question whether a payment to be made under this Part of this Act in respect of any war damage is to be a payment of cost of works or a value payment shall be determined as follows, that is to say,—

Cases in which
payments of
cost of works
and value
payments
respectively
are to be made.

- (a) in the case of a developed hereditament, the payment shall be a payment of cost of works unless the war damage involves total loss ;
- (b) in the case of a hereditament not being a developed hereditament, the payment shall be a value payment unless the permissible amount of a payment of cost of works, determined by reference to proper cost ascertained as at the thirty-first day of March, nineteen hundred and thirty-nine, would be likely to be less than the amount of a value payment in respect of the damage.

(2) War damage to a developed hereditament shall be deemed to involve total loss if, and only if, it is such that the proper cost, ascertained as at the thirty-first day of March, nineteen hundred and thirty-nine, of such works as would be required for reinstating the hereditament in the form in which it existed immediately before the occurrence of the damage would be likely to be more than the difference between the amounts respectively, ascertained by reference to prices current at that day, which the fee simple in the hereditament might have been expected to realise—

- (a) on a sale thereof in the state in which it would be after the execution of those works, and
- (b) on a sale thereof as a site and with the damage not made good,

being in each case a sale such as is specified in paragraph 1 of the Second Schedule to this Act made on that day :

PART I.
—cont.

Provided that, in the case of hereditaments consisting of or comprising premises of a kind not normally the subject of sales in the open market, provision may be made by regulations made by the Treasury for substituting in this subsection, for the references to the amounts respectively therein mentioned, references to values ascertained by reference to such matters as may be specified in the regulations.

(3) Paragraph 4 of the Second Schedule to this Act shall have effect in relation to the determination of amounts and values for the purposes of the last preceding subsection in the case of licensed premises.

Amount of
payment of
cost of works.

8.—(1) Subject to the provisions of this Part of this Act, the amount of a payment of cost of works shall be computed as provided by subsections (2) to (4) of this section.

(2) If the war damage is made good by reinstating the hereditament in the form in which it existed immediately before the occurrence of the damage, the amount of the payment shall be an amount equal to the proper cost of the works executed for the making good thereof:

Provided that if the reinstatement of any part of the hereditament could have been omitted without detracting from the value of the hereditament, or the omission thereof would have increased its value, the amount of the payment shall be reduced to what it would have been if that part had not been reinstated.

In this Part of this Act the expression "the permissible amount" means, in relation to a payment of cost of works, the amount that is payable by virtue of this subsection or that would have been payable if this subsection had had effect in relation to the payment.

(3) If the war damage is made good by works which include alterations or additions to the hereditament, the amount of the payment shall be an amount equal to so much of the proper cost of the works executed for the making good of the damage as falls within the permissible amount.

(4) The preceding provisions of this section shall have effect subject to the provisions of the Third Schedule to this Act as to deductions in respect of the value of materials, of failure to take steps to minimise war damage, of physical changes not directly attributable to war damage occurring between the occurrence and the making good of war damage, and of the cost of works which contribute to the making good of war damage occurring on two or more occasions.

Recipient of
payment of
cost of works
and of tempo-
rary works
payment.

9. The right to receive a payment of cost of works, or a temporary works payment, shall vest in the person by whom the cost of executing the works is incurred, or, if such cost is incurred partly by one person and partly by another, the payment shall be apportioned between them in such manner as

may be determined by agreement between them, or in default of agreement by the Commission, and the right to receive the share of the payment apportioned to each of them shall vest in him.

PART I.
—cont.

10.—(1) Subject to the provisions of this Part of this Act, the Amount amount of a value payment shall be an amount equal to the of value amount of the depreciation in the value of the hereditament caused payment. by the war damage, that is to say, the amount by which the value of the hereditament in the state in which it was immediately after the occurrence of the damage is less than its value in the state in which it was immediately before the occurrence of the damage.

(2) For the purpose of computing the amount of a value payment, the value of a hereditament in any state shall be ascertained by reference to prices current at the thirty-first day of March, nineteen hundred and thirty-nine, and shall be taken to be the amount which, if the hereditament had been on that day in that state, it might have been expected to realise on such a sale as is specified in paragraph 2 of the Second Schedule to this Act made on that day:

Provided that, in the case of hereditaments consisting of or comprising premises of a kind not normally the subject of sales in the open market, provision may be made by regulations made by the Treasury for ascertaining the said value by reference to such matters as may be specified in regulations so made.

(3) Paragraph 4 of the Second Schedule to this Act shall have effect in relation to the determination of values for the purposes of the last preceding subsection in the case of licensed premises.

(4) The preceding provisions of this section shall have effect subject to the provisions of the Third Schedule to this Act as to deductions in respect of the value of materials, and of failure to take steps to minimise damage.

(5) Interest at the rate of two and a half per cent. per annum shall accrue on a value payment from the time of the occurrence of the war damage, and shall be payable when that payment is discharged.

11.—(1) If, when the discharge of value payments generally or in substantial volume has become permissible, it appears to the Commission that, having regard to any circumstances arising since the passing of the War Damage Act, 1941, the amounts of any such payments computed on the basis of a valuation made by reference to prices current at the thirty-first day of March, nineteen hundred and thirty-nine, are inadequate, the Commission shall make a report to the Treasury stating that they are of that opinion, the circumstances to which they have had regard in forming it, and the deductions which they draw therefrom; and, on receipt from the Commission of any such report, the Treasury shall consider the report, and shall have power by order to direct that the amounts of value payments shall, either

Power to increase amount of value payments.
4 & 5 Geo. 6.
c. 12.

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—cont.

in all cases or in such classes of cases as may be specified in the order, be increased by a sum equal to such proportion of the amount computed as provided by this Act as may be specified in the order.

(2) The Treasury shall publish in such manner as they think fit any report made to them under this section as soon as may be after they have made an order in pursuance thereof or have determined to make no order thereon.

(3) An order under this section as to any value payments shall have effect in relation to any such payment whether made before or after the coming into force of the order.

(4) An order under this section may be varied or revoked by any subsequent order made by the Treasury :

Provided that no person shall be liable in consequence of an order made by virtue of this subsection to repay any sum paid to him before the coming into force thereof.

(5) An order under this section may make provision for any such modification of the provisions of this Act relating to the discharge of value payments, or to the computation of the interest thereon, as may appear to the Treasury to be requisite in consequence of the making of the order.

(6) An order made under this section shall be of no effect until it has been approved by a resolution of the Commons House of Parliament.

Recipient of value payment. 12.—(1) The right to receive a value payment shall vest in accordance with the following provisions of this section.

(2) The time by reference to which the vesting of the right to receive a value payment is to be regulated (in this Act referred to in relation to such a payment as "the material time") shall, subject to the provisions of the two next succeeding sections and of subsection (5) of section twenty of this Act, be the time immediately before the occurrence of the war damage, and—

(a) if at the material time the only proprietary interest subsisting in the hereditament was a fee simple in the whole of the hereditament, or only one proprietary interest which was depreciated in value by reason of the war damage was subsisting therein, the right to receive the payment and the interest thereon shall vest in the person who was at the material time the owner of that proprietary interest, subject to the provisions of sections twenty-four to thirty of this Act as to the rights of mortgagees and of owners of certain rentcharges and of other persons in certain special circumstances ;

(b) in any other case, the payment shall be apportioned between the several proprietary interests subsisting in the hereditament or in any part thereof at the material

time which were depreciated in value by reason of the war damage in shares proportionate to the extent to which they were respectively so depreciated, and a right to receive the share of the payment apportioned to each of those proprietary interests and a like share of the interest on the payment shall vest in the person who was at the material time the owner of that proprietary interest, subject as aforesaid.

(3) For the purposes of this Act, a proprietary interest shall be taken to be depreciated by war damage if, and to the extent to which, the latter of the two following amounts is less than the former, that is to say,—

- (a) the amount that an interest similar to that proprietary interest subsisting in the hereditament on the thirty-first day of March, nineteen hundred and thirty-nine, might have been expected to realise on a sale thereof in the open market made on that day if the hereditament had been on that day in the state in which it was immediately before the occurrence of the damage, and
- (b) the amount that such an interest so subsisting might have been expected to realise on such a sale if the hereditament had been on that day in the state by reference to which, as regards its state after damage, the depreciation in the value of the hereditament is determined for the purpose of computing the amount of the value payment,

on the assumption, in each case, that that interest had been subsisting on that day with the like incidents as the proprietary interest in question had at the material time, subject, so far as relevant, to the provisions of paragraph 3 of the Second Schedule to this Act relating to the operation of the Landlord and Tenant (War Damage) Acts, 1939 and 1941, and other matters.

(4) Paragraph 4 of the Second Schedule to this Act shall have effect in relation to the determination of amounts for the purposes of the last preceding subsection in the case of licensed premises.

(5) In this Act references to so much of a value payment or of the interest thereon as is attributable to a proprietary interest shall be construed, where no apportionment of the payment is required, as references to the whole of the payment or of the interest thereon, as the case may be, and, where an apportionment is required, as references to the whole of the share thereof apportioned under this section to that proprietary interest.

Payments in respect of damage to land: nature, amount and recipients in certain special cases.

13.—(1) Where the appropriate payment in respect of war Payment
damage to a hereditament would apart from this provision be a where partial
payment of cost of works, if the Commission are satisfied that it is damage to
land is not
made good.

PART I.
—cont.

the wish of all the owners of proprietary interests for the time being subsisting in the hereditament and of rentcharges (if any) to which it is subject and of any mortgagee of any such interest or rentcharge, or of any of the persons aforesaid whose wish ought in the opinion of the Commission to prevail, that the damage or any part of it should not be made good, or if they are satisfied that the circumstances are such that the damage or any part of it will not in fact be made good, they may, notwithstanding any previous determination of the kind of payment to be made in respect of the damage to the hereditament, make a payment or payments in respect thereof as follows and of such amounts respectively, not exceeding the following, as they may think fit, that is to say—

- (a) in respect of the damage so far as made good, a payment of cost of works of an amount equal to so much of the proper cost of the works executed for the making good thereof as falls within the permissible amount; and
- (b) in respect of the damage so far as not made good, a value payment of an amount computed in other respects as provided by section ten of this Act, subject to the modification that, if any works the subject of a payment under this section have been executed, the depreciation in the value of the hereditament shall be determined by reference, as regards its state after damage, to the state in which it would have been immediately after the execution of all those works if they could have been and had been executed immediately after the occurrence of the damage.

(2) In the case of a value payment made in exercise of the power conferred by this section in respect of war damage in respect of which a payment of cost of works would have been payable if the kind of payment to be made in respect thereof had fallen to be determined under section seven of this Act apart from any other provision, the material time shall, subject to the provisions of paragraph 2 of the Seventh Schedule to this Act, be the date of the determination of the Commission to exercise that power.

Payment
where
partially
damaged land
is compulsorily
acquired.

14.—(1) Where the appropriate payment in respect of war damage to a hereditament would apart from this provision be a payment of cost of works, if land constituting or forming part of the hereditament, or an interest in such land, is acquired compulsorily by virtue of any enactment, whether passed before or after the passing of this Act, or is acquired by agreement by a person authorised by virtue of any such enactment to acquire it compulsorily, then, notwithstanding any previous determination of the kind of payment to be made in respect of the damage to the hereditament,—

- (a) the Commission shall make a payment or payments in respect thereof as follows, that is to say, in respect of

the damage so far as made good before the date of the acquisition, a payment of cost of works, and, in respect of the damage so far as not made good before that date, a value payment, of the amounts respectively mentioned in paragraphs (a) and (b) of subsection (1) of the last preceding section; but

- (b) no payment of costs of works shall be made by reference to the cost of any works executed on or after the date of the acquisition, and compensation for the acquisition shall be determined accordingly.

(2) In the case of a value payment made by virtue of this section in respect of war damage in respect of which a payment of cost of works would have been payable if the kind of payment to be made in respect thereof had fallen to be determined under section seven of this Act apart from any other provision, the material time shall, subject to the provisions of paragraph 2 of the Seventh Schedule to this Act, be the date of the acquisition.

(3) In relation to any such acquisition as aforesaid references in this Part of this Act to the date of the acquisition shall be construed as references to the earliest date after the occurrence of the damage on which any such action as the following is taken, namely, the service of a notice to treat for the acquisition of or of an interest in land constituting or forming part of the hereditament, the taking of any other action by virtue of which the acquisition of or of an interest in such land becomes obligatory, or the making of an agreement for the acquisition of or of an interest in such land without any such notice having been served or any other such action having been taken.

15. Where the appropriate payment in respect of war damage to a hereditament would apart from this provision be a value payment, if it appears to the Commission to be expedient so to do having regard to the effect that the making good of the damage would have in relation to the value of another hereditament, they may make in respect of the damage either—

- (a) a payment of cost of works; or
(b) payments as specified in paragraphs (a) and (b) respectively of subsection (1) of section thirteen of this Act, but limited as respects the payment to be made under the said paragraph (a) to works appearing to the Commission to be expedient having regard to their effect on the value of that other hereditament.

16.—(1) Where a developed hereditament, being or including a developed hereditament which has already sustained (whether on a single occasion or on two or more occasions) war damage not being such that a value payment is to be made in respect thereof, sustains on a subsequent occasion war damage such that a value payment would fall to be made if a determination were taken

Payment where making good total loss is expedient for benefit of other land.

Payment where there is repeated damage to the same hereditament.

PART I.
—cont.

in relation to all the war damage under paragraph (a) of subsection (1) and subsection (2) of section seven of this Act, with the substitution for the reference in the said subsection (2) to the form in which the hereditament existed immediately before the occurrence of the damage of a reference to the form in which it existed immediately before the earliest occasion, the Commission may determine that a single value payment shall be made in respect of all the war damage as if it had all occurred on the earliest occasion, to the exclusion of any other payment in respect of any of it :

Provided that—

- (a) subsection (2) of section six of this Act shall have effect both in relation to such temporary works as are therein mentioned, and also in relation to any works appearing to the Commission to have been reasonably executed for making good any of the damage sustained on an occasion earlier than the said subsequent occasion notwithstanding that they may not have been of a temporary character ;
 - (b) any payment of cost of works, or any part of any such payment, made in respect of any of the damage shall not be recoverable, but shall be taken into account in determining the amount, if any, to be paid under the preceding proviso ;
 - (c) if the value of the hereditament in the state in which it was immediately after the damage sustained on the said subsequent occasion is less by any amount that it would otherwise have been by reason of any physical change therein not directly attributable to war damage (other than ordinary wear and tear) occurring between the earliest occasion and the said subsequent occasion, the amount of the single value payment shall be reduced by that amount ;
 - (d) the interest on the single value payment shall accrue from the said subsequent occasion ; and
 - (e) the material time shall be the time immediately before the occurrence of the war damage sustained on the said subsequent occasion.
- (2) Where a value payment is to be made in respect of war damage sustained (whether on a single occasion or on two or more occasions) by a developed hereditament, any war damage sustained by the hereditament on a subsequent occasion shall be taken into account in determining the amount of that payment as if that damage had occurred on the earliest occasion, and no separate payment shall be made in respect thereof.
- (3) The Commission may determine that war damage sustained by a hereditament other than a developed hereditament on any two or more occasions shall be taken into account together for the

purposes of this Part of this Act as if it had all occurred on the earliest occasion, and shall be the subject of a single value payment or payment of cost of works accordingly :

PART I.
—cont.

Provided that, where the single payment in respect of that damage is a value payment, the provisos to subsection (1) of this section shall have effect in relation thereto as they have effect in relation to a single value payment to be made under that subsection, with the substitution, for each reference therein to the subsequent occasion therein mentioned, of a reference to such one of the occasions of damage taken into account under this subsection as the Commission may determine.

(4) Subject as aforesaid the references in sections seven, eight and ten of this Act to war damage shall be construed as references to war damage occurring on a single occasion, and accordingly the nature and amount of the payment to be made in respect of war damage occurring on each of two or more occasions shall, subject as aforesaid, be determined separately.

(5) In this section references to war damage sustained, or occurring, on any occasion include references to war damage that results subsequently from the taking on that occasion of such action or measures as are specified in section two of this Act.

17. Where a hereditament wholly comprised within requisitioned land sustains, during the period of requisition, war damage such that a value payment becomes payable, the amount of the payment shall be computed as if in section ten of this Act and paragraph 2 of the Second Schedule thereto there had been substituted, for references to the state in which the hereditament was immediately before the occurrence of the damage, references to the state in which it was immediately before the beginning of the period of requisition.

Amount of value payment in respect of damage to requisitioned land.

18.—(1) Where a developed hereditament sustains war damage in respect of which the appropriate payment would be a value payment, but, owing to the value as a vacant site of land comprised in the hereditament, the value of the hereditament in the state in which it was immediately after the occurrence of the damage is no less than its value in the state in which it was immediately before the occurrence of the damage, if a tenancy being a proprietary interest was then subsisting in the hereditament and the Commission are satisfied that the time which it then had to run was sufficiently short to render it probable that the hereditament would have remained in its existing form during that time apart from war damage, they may, if they think fit, make in respect of the tenancy a payment of such kind and amount as appears to them to be reasonable in view of the value thereof.

Payment where damaged land of exceptional site value is in lease at time of damage.

(2) Interest at the rate of two and a half per cent. per annum shall accrue on a payment under this section from the time of the

PART I.
—cont.

occurrence of the war damage, and shall be payable when that payment is discharged.

(3) Subject to the provisions of sections twenty-four and twenty-seven to thirty to this Act, the right to receive a payment under this section and the interest thereon shall vest in the person who was the owner of the tenancy in respect of which the payment is made immediately before the occurrence of the war damage (in this Part of this Act referred to in relation to such a payment as "the material time").

(4) This section shall not extend to Scotland.

Commission
not to be
required to
entertain
claims for
payments of
under five
pounds.

19.—(1) Notwithstanding anything in the preceding provisions of this Part of this Act, the Commission shall not be required to entertain a claim by any person for a payment in respect of war damage to a hereditament, being damage in respect of which a payment of cost of works is the appropriate payment, if the total cost of executing works on the hereditament in relation to such war damage which was incurred by him and which would apart from this provision be the subject either of a payment of cost of works or of a temporary works payment is less than five pounds :

Provided that, in the case of a person who has incurred such cost as aforesaid in relation to war damage sustained by the same hereditament on two or more occasions, or in executing works on two or more developed hereditaments in the same locality, the whole of such cost shall be taken into account together for the purposes of this subsection.

26 Geo. 5. &
1 Edw. 8. c. 51.

In this subsection the expression "locality" means, in relation to England, the area of a local authority for the purposes of Part II of the Housing Act, 1936, in relation to Scotland a county or burgh, and in relation to Northern Ireland the district of a local authority for the purposes of Part II of the Housing Act (Northern Ireland), 1939.

(2) Notwithstanding anything in the preceding provisions of this Part of this Act, the Commission shall not be required to entertain a claim for a payment in respect of war damage to a hereditament not being a developed hereditament, being damage in respect of which the appropriate payment is a value payment, if the total amount of the depreciation in the value of the hereditament caused by the war damage, and of the cost of executing works on the hereditament in relation to such war damage which apart from this provision would be the subject of a temporary works payment, is less than five pounds :

Provided that, in the case of such a hereditament which sustains war damage on two or more occasions, the said depreciation and cost attributable to the war damage occurring on those occasions respectively shall be taken into account together for the purposes of this subsection, and, if the hereditament also sustains war damage in respect of which a payment of cost of works is the appropriate payment, the amount of that payment shall be included in the said total for those purposes.

*Payments in respect of damage to land : provisions for securing the public interest in the making of payments.*PART I.
—cont.

20.—(1) The Treasury shall give directions to be observed by the Commission for securing that the provisions of this Part of this Act relating to the making of payments in respect of war damage shall be executed in conformity with the public interest as respects town and country planning, the provision of housing accommodation, the development of industries and services and of agriculture, the preservation of amenities, the consumption of supplies of building materials for the time being available, the building requirements of persons engaged in work of public importance, and such other matters as may be prescribed.

Provisions for
securing
conformity
with planning
requirements,
&c.

(2) For the purpose of giving effect to any such directions, the Commission may, by notice published in the London, Edinburgh and Belfast Gazettes or such of them as may be appropriate in the case of the notice in question, and in such other manner as they think best for informing persons likely to be affected, specify any particular area or class of hereditaments or of works, and impose on any person who proposes to execute works (other than temporary works) for making good war damage to hereditaments in the specified area or to hereditaments of the specified class, or who proposes to execute for making good war damage any works of the specified class, an obligation to inform the Commission of the proposal and to furnish to them such particulars of the proposed works as they may require, and the Commission shall have power, where such a notice has been published,—

(a) to impose, as a condition of the right to receive so much of any payment of cost of works as would be payable in respect of any such works executed after the publication of the notice, requirements as to the nature of the works, the materials to be used therefor or the time for the execution thereof, or any other requirements relating thereto ; or

(b) if the Commission are satisfied that the directions given by the Treasury require that the damage should not be made good, to make a value payment in respect thereof in lieu of any payment of cost of works that would otherwise have been appropriate.

(3) For the purpose of giving effect to any such directions, the Commission shall have power, whether such a notice as aforesaid has been published or not,—

(a) to require any person to whom a sum representing a value payment in respect of war damage to a developed hereditament, or a payment under section eighteen of this Act, or any part of such a payment, is to be paid to enter into an undertaking with the Commission to observe conditions as to the application of that sum,

PART I.
—cont.2 & 3 Geo. 6.
c. 62.

or of any part thereof, to the construction, alteration or acquisition of a building to be used in substitution for the building comprised in the damaged hereditament, so however that the power conferred by this paragraph shall not, except in relation to a sum paid during the period while the Emergency Powers (Defence) Act, 1939, continues in force, extend to the imposition of any condition as to the location of any substituted building ;

(b) where war damage in respect of which a value payment would otherwise be appropriate is made good in the public interest, to make in respect thereof a payment of cost of works, or payments as specified in paragraphs (a) and (b) respectively of subsection (1) of section thirteen of this Act but limited as respects the payment to be made under the said paragraph (a) to works executed in the public interest ;

(c) to make an addition to a payment of cost of works in consideration of the omission, by agreement between the Commission and the owners of proprietary interests in the hereditament and of rentcharges (if any) to which it is subject and any mortgagee of any such interest or rentcharge, of any works for the making good of the damage the cost of which would otherwise have been payable, so however that the amount of the payment with the addition thereto shall not exceed the amount permissible by virtue of subsection (2) of section eight of this Act.

(4) In determining whether, and the manner in which, any of the powers conferred upon the Commission by this section is to be exercised in cases in which it appears to them that an exercise of the power would be likely to affect the exercise by a local or public authority of any of their functions, the Commission shall afford to the authority, or, where the matter in question is one in which a number of such authorities are concerned, to such representative body as appears to the Commission to be appropriate, an opportunity of making representations to them, and the Commission shall consider any representation made to them by any such authority or body with respect to the exercise by the Commission of any of the said powers, and any such authority shall at the request of the Commission furnish them with any information in the possession of the authority which the Commission may reasonably require in connection with the exercise by them of any of the said powers.

(5) Where a value payment is made in exercise of the power conferred by paragraph (b) of subsection (2) of this section—

(a) subsection (2) of section six of this Act shall have effect in relation to any works appearing to the Commission

to have been reasonably executed before the publication of the notice referred to in subsection (2) of this section, notwithstanding that they may not have been of a temporary character; and

- (b) the material time shall, subject to the provisions of paragraph 2 of the Seventh Schedule to this Act, be the date of the determination of the Commission to exercise that power.

(6) If default is made in the observance of an undertaking entered into for the purposes of paragraph (a) of subsection (3) of this section, the amount paid shall be recoverable as money had and received to the use of His Majesty, and the right to receive the sum in question, or, if the condition related to a part only thereof, the right to receive that part, shall be forfeited.

(7) The provisions of the Land Charges Act, 1925, shall apply to a notice published under subsection (2) of this section specifying a particular area (in this subsection referred to as "the specified area") as if the notice were a local land charge, and the notice shall be registered accordingly by the proper officer of the council of any county borough or county district the area of which comprises the specified area or any part thereof, or, if the specified area or any part thereof is comprised in the City of London or any other part of the administrative county of London, by the proper officer of the Common Council or of the London County Council, as the case may be. ^{15 & 16 Geo. 5. c. 22.}

It shall be the duty of the Commission, as soon as may be after they have published any such notice as aforesaid, to inform the proper officer of any such council as aforesaid, the area of which comprises the specified area or any part thereof, of that fact, and to furnish to him any information relating to the notice requisite for enabling him to discharge his functions under this subsection.

(8) Where a notice has been published under subsection (2) of this section, the Commission may by a subsequent notice published under that subsection release the obligation imposed by the earlier notice either as regards the whole or as regards a part of the area or class of hereditaments or class of works, as the case may be, specified therein.

21.—(1) The Commission may specify requirements as to Wages and contracts for the execution of works, the cost of which may be the subject of a payment of cost of works or the execution of which may be the subject of an undertaking entered into for the purposes of paragraph (a) of subsection (3) of the last preceding section, and requirements as to the engagement of employees by persons undertaking directly the execution of such works, for securing that the wages and conditions of employment of persons employed in the execution thereof are regulated in like conditions of employment for works the subject of payments.

PART I.
—cont.

manner as those of persons employed in the execution of works under contracts made by Government departments.

(2) Such requirements as aforesaid shall be observed, as a condition of the right to receive the payment of cost of works or as a term of the undertaking, as the case may be, in such cases as the Commission may specify generally by notice published in such manner as they think best for informing persons likely to be affected, and in any other cases in which the Commission require observance thereof by notice given or sent to the owner of every proprietary interest in the land on which the works are executed subsisting at the date when the notice is given.

Payments in respect of damage to land: time for payment, assignment and transmission.

Time for
making
payments in
respect of
damage to
land.

22.—(1) The times when payments may be made under this Part of this Act shall, except in such cases as may be determined by the Commission in accordance with directions given to them by the Treasury, be the following, that is to say,—

- (a) in the case of payments of cost of works and of temporary works payments, the time of the completion of the works or, where payment is to be made by instalments, of the relevant parts thereof, or the expiration of such period thereafter as may be reasonably requisite for enabling the Commission to ascertain whether they have been duly completed and what was the proper cost thereof;
- (b) in the case of value payments and of payments under section eighteen of this Act, such time or times as may be specified in regulations made by the Treasury either generally or as respects payments to be made in different circumstances.

(2) Notwithstanding anything in the preceding subsection, where the Commission are satisfied that a person who will in due course become entitled to receive a sum representing a value payment or a payment under section eighteen of this Act or a payment of cost of works, or any part of such a payment (not being a person so entitled in a fiduciary capacity only or in the capacity of a mortgagee), or a beneficiary or borrower to whom a person so entitled in such a capacity as aforesaid will be liable to account, is at a time before the payment can be made in need of funds required—

- (a) where he or his family was maintaining a residence in the damaged hereditament immediately before the damage occurred, in order to secure housing accommodation for himself or his family, or
- (b) where he was then carrying on a trade or business therein, in order to secure premises for the carrying on of a trade or business,

the Commission may pay to him, on account and in part satisfaction of that sum, any amount or amounts not together exceeding such amount as they are satisfied will fall within that sum and not together exceeding eight hundred pounds, or, in the case of a person as to whom the requirements both of paragraph (a) and of paragraph (b) of this subsection are satisfied, eight hundred pounds for each of the purposes therein mentioned.

(3) The aggregate of any payments made under the last preceding subsection by reference to the needs of such a beneficiary or borrower as is therein mentioned shall not exceed such amount as the Commission are satisfied, after such consultation with other persons concerned as they think requisite, can be paid without prejudice to the rights of any other person concerned, and any payment thereunder may be made either to the beneficiary or borrower himself or to any other person, as may appear to the Commission to be requisite in order to give effect to the purposes of that subsection and to the rights of all persons concerned.

(4) Any payment under subsection (2) of this section may be made subject to any conditions which the Commission think requisite for the purposes aforesaid, and, if any conditions imposed under this subsection are not complied with, the payment shall be recoverable as money had and received to the use of His Majesty.

(5) Where any payment is made under subsection (2) of this section on account of a sum carrying interest, interest on the amount of the payment made shall cease to accrue, and, where the payment is made on account of a part of a value payment, there shall, on the discharge of the value payment, be brought into hotchpot and accounted for accordingly, in addition to the amount of the payment made, an amount equal to any interest which would have accrued on the amount of it after the date on which it is made if it had not been made.

23. The right to receive a payment under this Part of this Act in respect of war damage, or a part of such a payment, shall be transmissible by assignment or by operation of law as a personal right, but an assignment in whole or in part of any such payment or part, made either before or after the passing of this Act, whether absolutely or by way of charge, other than an assignment which does not affect any beneficial interest in that payment or part, or in any part thereof, shall be of no effect until it has been approved in writing by the Commission.

Assignment
and trans-
mission of
payments in
respect of
damage to
land.

Value payments and payments under s. 18 : rights as to mortgages and rentcharges and in certain special circumstances.

24.—(1) Where a value payment is to be made and at the material time a proprietary interest in the hereditament was subject to a mortgage, the right to receive so much of the payment

Right of
mortgagee of
proprietary
interest.

PART I.
—*cont.*

and of the interest thereon as is attributable to that proprietary interest shall vest in the mortgagee, and the mortgagee shall be liable to account therefor as if so much of the payment and of the interest thereon as he is entitled to receive had been respectively proceeds of sale of that proprietary interest arising under a power of sale exercised by the mortgagee at the material time and interest on such proceeds, except that the mortgagee shall not be entitled to credit for any costs incurred by him in connection with the claiming, ascertainment, apportionment or making of the payment :

Provided that—

- (a) if at the time when the payment is made the debt secured by a mortgage (other than any part thereof representing costs for which the mortgagee would not be entitled to credit) has been paid in full, the payment shall be disposed of as if the proprietary interest had not been subject to that mortgage ;
- (b) if the proprietary interest was subject to two or more successive mortgages, this subsection shall have effect with the substitution for references to the mortgagee of references to the first mortgagee, or, if the preceding paragraph has effect in relation to his mortgage, to the second mortgagee, and so on ; and
- (c) in any case this subsection shall have effect, as regards any mortgage, subject to any agreement between the mortgagee and the person who apart from that mortgage would have been entitled to receive so much of the payment as is attributable to the proprietary interest.

(2) Where a payment is to be made under section eighteen of this Act and at the material time the tenancy in respect of which it is to be made was subject to a mortgage, the preceding subsection shall have effect in relation to the payment, and to the interest thereon, as if the payment had been a share attributable to the tenancy of a value payment.

Right of
owner of
rentcharge
created out of
proprietary
interest.

25.—(1) Where a value payment is to be made and at the material time there was subsisting a rentcharge created out of a proprietary interest (being either the fee simple or a tenancy granted for a term of a hundred years or more) in any land in the hereditament, or in any such land together with other land, and the person who was the owner of the rentcharge at the material time shows that the following conditions are satisfied, namely,—

- (a) that the amount of the rentcharge so far as attributable to land in the hereditament then subject thereto (in this Act referred to as “ the charged land in the hereditament ”) exceeded the available annual value of that land as depreciated by the war damage ; and

- (b) that at the time when the question whether this condition is satisfied falls to be determined no building sufficient to make good the excess has been carried out, or, having regard to all the circumstances (including any undertaking required under paragraph (a) of subsection (3) of section twenty of this Act), is likely to be carried out within a reasonable period after the time when the discharge of the value payment becomes permissible ;

a right to receive a part of the value payment shall vest in the person who was the owner of the rentcharge at the material time, and, where the said right is exercised, effect shall be given thereto out of so much of the value payment as is attributable to the proprietary interest out of which the rentcharge was created in the charged land in the hereditament.

- (2) Where the said right is exercised—

- (a) the part of the value payment to be paid in respect of the rentcharge shall be an amount equal to the capital equivalent of the excess mentioned in the preceding subsection, so however that, if the amount of the rentcharge so far as attributable to the charged land in the hereditament was at the material time greater by any sum than the available annual value of that land apart from any war damage, the part of the value payment to be paid in respect of the rentcharge shall be computed as if the said excess had been reduced by that sum ; and

- (b) so much of the rentcharge as is equal to the said excess shall be extinguished on the date on which the part of the value payment to be paid in respect of the rentcharge is paid, and, as between the persons interested in the charged land in the hereditament on the one hand and in any other land subject to the rentcharge on the other hand, the proper share of the persons interested in the charged land in the hereditament of the liability for the residue of the rentcharge in respect of any period after the extinguishment shall be treated as being an amount per annum equal to the available annual value of the charged land in the hereditament as depreciated by the war damage.

- (3) Where the said right is exercised—

- (a) if the right to receive so much of the value payment as is attributable to the proprietary interest out of which the rentcharge was created in the charged land in the hereditament is vested under the last preceding section in a mortgagee of that interest, then, if the mortgage had priority to the rentcharge, effect shall be given to the right conferred by this section on the owner of the

PART I.
—cont.

rentcharge out of any sums to which the owner of that proprietary interest would otherwise have been entitled under the provisions of that section as to mortgagees accounting, or, if the rentcharge had priority to the mortgage, the sum payable to the mortgagee shall be reduced by the amount required for giving effect to the right so conferred ;

- (b) if the rentcharge was itself subject to a mortgage at the material time, the last preceding section shall have effect in relation to the part of the value payment to be paid in respect of the rentcharge as it has effect in relation to so much of a value payment as is attributable to a mortgaged proprietary interest, with the substitution for references therein to such an interest of references to the rentcharge.

(4) Regulations may be made by the Treasury as to the exercise of the right conferred by this section on the owner of a rentcharge and the manner in which effect is to be given to the said right where exercised, and in particular, but without prejudice to the generality of the power conferred by this subsection, regulations so made may make provision as to the matters aforesaid in cases in which the charged land in a hereditament is a part only of the hereditament, or was in divided ownership at the material time, or in which a proprietary interest or rentcharge was subject to a mortgage at that time.

The provisions of section thirty-one of this Act which have effect in relation to regulations made under that section shall have effect in relation to regulations made under this section.

(5) As regards cases in which the title to a rentcharge, or to land subject thereto, is registered under the Land Registration Act, 1925, such provision may, without prejudice to the generality of section one hundred and forty-four of that Act, be made by rules under that section as may be expedient in consequence of the provisions of this section, and in particular for securing (by the imposition of conditions as to the exercise of the said right thereby conferred or otherwise) that the extinguishment of any of a rentcharge by virtue of this section shall not take effect without notice thereof being entered on the register.

(6) The provisions of Part I of the Fourth Schedule to this Act shall have effect with respect to the ascertainment for the purposes of this section of—

- (a) the capital equivalent of the excess mentioned in subsection (1) thereof ;
- (b) the annual value of the charged land in a hereditament as depreciated by war damage ;

- (c) the annual value of any land apart from any war damage ;
- (d) the available annual value of the charged land in a hereditament ;
- (e) the amount of a rentcharge attributable to any land.

(7) In this Act the expression " rentcharge " means a rentcharge (including a fee farm rent) subsisting at law or capable of subsisting at law, and not being an interest or charge arising under a settlement within the meaning of the Settled Land Act, 1925, and means, where an apportionment of a rentcharge binding on the owner thereof has been made, each of the apportioned parts and not the entire rentcharge.

(8) In the application of this Act to Scotland, there shall be substituted, for references to a rentcharge, references to a feuduty and to a ground annual ; and this section shall have effect in its application to Scotland subject to the modifications specified in Part II of the Fourth Schedule to this Act.

(9) This section shall have effect in its application to Northern Ireland subject to the modifications specified in Part III of the Fourth Schedule to this Act.

26. Where a value payment is to be made and at the material time a person had a right to remove from the hereditament an article comprised therein to which he would have been entitled on removing it, or there is on the hereditament a building or work, not being such an article as aforesaid, which a person had a right to remove so as to be entitled on removing it to it or to the materials of it, or which a person not having a proprietary interest in the hereditament had placed thereon and could have been required to remove, and either—

Right of
owner of
removable
articles, &c.

- (a) there was subsisting in the article or in the building or work, as the case may be, a proprietary interest owned otherwise than by that person or owned by him otherwise than in a capacity in which he had a right to remove it as aforesaid (being an interest against which his right to remove it, or, in the case of a building or work, the right to require him to remove it, was exercisable) ; or
- (b) the article or the building or work, as the case may be, was included in a mortgage of a proprietary interest in the hereditament, and that person's right to remove it, or, in the case of a building or work, the right to require him to remove it, was exercisable against the mortgagee ;

then, for the purposes of section twelve of this Act, the article or the building or work, as the case may be, shall be dealt with as a separate part of the hereditament, and

- (i) in a case falling within paragraph (a) of this section, the provisions of this Act as to the vesting and devolution of the right to receive a value payment or a part of such a

PART I.
—cont.

- payment shall have effect as if the proprietary interest mentioned in that paragraph had been owned by the person who had the right or obligation to remove the article, building or work, or owned by him in the capacity in which he had the right or obligation to remove it ; and
- (ii) in a case falling within paragraph (b) of this section, section twenty-four of this Act shall not have effect in relation to so much of the value payment as is attributable to the proprietary interest mentioned in that paragraph in the article, building or work.

Recipient of
payment in
respect of
interest
subject to
settlement,
&c.

27.—(1) Where at the time which is in relation to a value payment, or a payment under section eighteen of this Act, the material time an interest in the hereditament is subject to a settlement or is otherwise held in such manner that the owner of the interest would not be competent to give an effective discharge for the proceeds of a sale thereof, the right to receive so much of the value payment as is attributable to, or to be paid in respect of, that interest, or to receive any payment under the said section eighteen in respect of that interest, shall vest and devolve as if, for the references in this Part of this Act to the owner of a proprietary interest, rentcharge, or tenancy, as the person in whom a right to receive a payment or any part of a payment is to vest, there had been substituted references to the person competent to give an effective discharge for the proceeds of a sale of the proprietary interest, rentcharge or tenancy.

(2) This section shall not extend to Scotland.

Recipient of
payment in
respect of
interest
subject to
Scottish trust.

11 & 12 Geo. 5.
c. 58.

28. So much of a value payment as is attributable to, or to be paid in respect of, a proprietary interest, or a feuduty or ground annual payable by the owner of such an interest, which was at the material time subject to a trust within the meaning of the Trusts (Scotland) Act, 1921, or to an entail or to a life-rent, shall be held and applied in like manner as if the proprietary interest had been acquired under compulsory powers and the value payment or the relevant part of it, as the case may be, were the purchase money or compensation for that interest, or for the discharge of the feuduty or ground annual, as the case may be.

Right of
devisee
under will
executed
before time
by reference
to which
recipient of
payment
determined.

29. A devise or bequest of an interest in, or in the proceeds of sale of, land which sustains war damage in respect of which a value payment is made, or in, or in the proceeds of sale of, a tenancy in respect of which a payment is made under section eighteen of this Act, contained in a testamentary disposition executed before the material time, shall, in the absence of any contrary intention expressed therein or in any other testamentary disposition made by the testator, have effect as if it had included a bequest of any such payment, or of any part of any such payment, to which the testator might become entitled in respect of that interest.

PART I.
—cont.Right of
purchaser
under
contract
pending at
time of
damage.

30. Where a hereditament sustains war damage at a time when an interest therein is the subject of a contract of sale or of a notice to treat served under an enactment authorising the compulsory acquisition thereof, any sum representing so much of any value payment or payment under section eighteen of this Act in respect of the damage as is attributable to, or to be paid in respect of, that interest, being a sum the right to the receipt of which vests in the vendor, shall, unless the contract is rescinded or the notice ceases to have effect, be held by him upon trust for the purchaser :

Provided that any lien upon that interest to which the vendor is entitled by virtue of the contract shall extend to any such sum.

Payments in respect of damage to land : information and determination of questions.

31.—(1) Regulations may be made by the Treasury—

Notification
of damage
and claims for
payments.

- (a) as to the notification of the occurrence of war damage to land, and of particulars of such damage and of the land affected thereby ; and
- (b) as to the making of claims for payments under this Part of this Act, and the information to be furnished for the purpose of the investigation thereof and of the determination and ascertainment of the nature and the amount of the payment to be made in respect of any war damage and of the person entitled to receive the payment or any part thereof, and as to the manner in which such information is to be verified.

(2) Regulations made under this section may specify limits of time for the giving of such notification as aforesaid, for the making of such claims as aforesaid, or for the observance of the requirements of the regulations as to any other matter :

Provided that the Commission shall have power in their discretion to extend any limit of time so specified in particular cases.

(3) Regulations made under this section may provide for rendering the right to receive a payment under this Part of this Act, or any part of such a payment, conditional on the requirements of the regulations having been duly observed :

Provided that the Commission shall have power to waive any of the said requirements in particular cases, and to make payments under this Part of this Act notwithstanding that any of them have not been observed.

(4) The power to make regulations as to the matters specified in the preceding provisions of this section shall include power to make regulations as to any of those matters in relation to war damage sustained before the coming into force of the regulations, and provision shall be made by the regulations for securing, so far as may be, that action taken before the coming into force

PART I.

—*cont.*

Certain ques-
tions to be
determined re-
spectively by
Commission or
by a referee.

of the regulations in relation to any of those matters shall not be required to be repeated after the coming into force thereof.

32.—(1) Subject to the provisions of subsections (2) and (3) of this section, any question arising in giving effect to the provisions of sections six to eight, ten, or thirteen to fifteen of this Act (other than provisions relating to the vesting of the right to receive a payment in respect of war damage), or of paragraphs 1 and 2 of the Second Schedule thereto, or of paragraph 1 of the Third Schedule thereto, shall be determined by the Commission.

(2) An appeal shall lie from a determination of the Commission—

(a) for the purposes of section seven of this Act, as to the amount which the fee simple in a hereditament might have been expected to realise on a sale thereof in the state in which it would be after the execution of works or as a site, or as to the value of a hereditament the value of which is to be ascertained under the regulations mentioned in that section, at the instance of any person interested in the determination of the question whether the damage to the hereditament involves total loss, either as being, or having been, or claiming under a person who was, the owner of a proprietary interest therein or of a rentcharge charged thereon or a mortgagee of any such interest or rentcharge, or as being or claiming under a person who has incurred cost which would be the subject of the payment of cost of works if it were made; or

(b) for the purposes of section ten of this Act, as to the value of a hereditament in respect of which a value payment is to be made, at the instance of the person who is entitled to receive the payment in question or any part thereof or who would be so entitled but for the subsistence of a mortgage;

to one of the panel of referees appointed under Part I of the Finance (1909-10) Act, 1910.

(3) If any person is aggrieved by a determination of the Commission of any question which is under this section to be determined by them, other than a determination from which an appeal lies under subsection (2) of this section, he may appeal therefrom on any question of law to the High Court.

Provision may be made by rules of court for regulating appeals under this subsection, and those rules shall provide for limiting the time within which such an appeal may be brought, for the determination thereof in a summary manner, and for requiring notice thereof to be given to the Commission, and may provide for the hearing and determination of any such appeal by a single judge, and the Commission shall be entitled to appear and be heard on any such appeal.

(4) Any question as to whether, or as to the extent to which, a proprietary interest in a hereditament is to be taken by virtue of subsection (3) of section twelve of this Act to be depreciated by war damage shall be determined by agreement between the owners of proprietary interests in the hereditament and of rentcharges (if any) charged thereon, together with any mortgagee of any such interest or rentcharge, or, in default of agreement, by reference to one of the panel of referees aforesaid.

(5) Any question as to whether the conditions mentioned in subsection (1) of section twenty-five of this Act are satisfied in relation to a rentcharge, or as to the amount of the excess mentioned in that subsection, or of the part of a value payment to be paid in respect of a rentcharge, shall be determined by agreement between the owner of the rentcharge and of the proprietary interest out of which it was created in the charged land in the hereditament, together with any mortgagee of either of those interests, or, in default of agreement, by reference to one of the panel of referees aforesaid.

(6) The provisions of the Fifth Schedule to this Act shall have effect in relation to any appeal or reference to a referee under this section.

(7) In the application of this section to Northern Ireland, the reference in subsection (2) thereof to the Finance (1909-10) Act, 1910, shall be construed as a reference to that Act as it applies to Northern Ireland.

33.—(1) If the right to receive a sum representing a payment under this Part of this Act in respect of war damage, or a part of such a payment, is claimed by two or more persons adversely to each other, or the Commission are unable to ascertain in whom such a right is vested, or if it appears to the Commission to be expedient for them so to do in order to safeguard the rights of persons beneficially interested in any such sum or for any other special reason, they may make payment thereof to the proper officer of the Supreme Court, or, if the amount thereof does not exceed five hundred pounds, of the county court, in accordance with rules of court. Payment into Court.

(2) In its application to Scotland, this section shall have effect with the substitution, for references to payment to the proper officer of the Supreme Court and of the county court, of references to consignment subject to the orders of the Court of Session and of the sheriff court respectively.

34.—(1) Where for the purpose of the determination or ascertainment by the Commission of the nature or amount of a payment to be made under this Part of this Act, or of the identity of the person entitled to receive such a payment or a part of such a payment, or of the determination by the Commission of any other question falling by virtue of this Part of this Act to be determined Power of Commission to obtain information.

PART I.
—*cont.*

by them, or for the purpose of facilitating the determination by agreement of any question arising thereunder, it is requisite to ascertain the proprietary interests subsisting in a hereditament or the identity or address of the owner of any such interest, or of a mortgagee of any such interest, or any other fact relevant for any such purpose, the Commission, either on an application in that behalf being made by any person appearing to them to be interested or of their own motion, may require any person who is or has been in occupation of, or who receives or has received rent in respect of, the hereditament in question or any part thereof, to inform them of the name and address of any other person to whom that person pays or has paid rent in respect thereof or of any part thereof, and may require any such person, or any other person appearing to them to be capable of giving to them information relevant for any such purpose as aforesaid, to give them any such information that is in his possession and to produce for their inspection any documents relevant for any such purpose as aforesaid that are in his custody or under his control.

(2) Any person who fails to furnish or produce any information or document which he is required under this section to furnish or produce shall be guilty of an offence and liable on summary conviction to a fine not exceeding fifty pounds, and also to a fine not exceeding ten pounds for every day on which the failure continues.

(3) Any person who, being required under this section to furnish any information, makes any statement which he knows to be false in a material particular or recklessly makes any statement which is false in a material particular, or who, being required under this section to produce any document, with intent to deceive produces any document which he knows to be false in a material particular, shall be guilty of an offence and, unless indicted therefor, liable on summary conviction to a fine not exceeding one hundred pounds or to imprisonment for a term not exceeding three months, or to both such fine and such imprisonment.

Any proceedings under the Summary Jurisdiction Acts in respect of an offence against this subsection may be commenced at any time before the expiration of six months after the discovery of the offence by the Commission.

Power of
Commission
to inspect
damaged
premises.

35.—(1) A member of the Commission or any person authorised in writing by the Commission may, on producing, if so required, his authority, or in the case of a member of the Commission sufficient documentary evidence of his identity, enter at all reasonable hours any premises on which war damage has occurred or on which he has reasonable ground for believing war damage to have occurred, for the purpose of obtaining information as to the nature and extent of the damage, as to the state in which the

premises were immediately before, or immediately after, the occurrence of the damage, as to any works executed for the purpose of making good the damage or for temporarily meeting the circumstances created thereby, as to any articles which formed part of the premises and become available as materials in consequence of the damage, as to whether any conditions imposed by the Commission under this Part of this Act have been observed, or as to any other matter as to which information may be reasonably required by the Commission for the purpose of the exercise of any of their functions :

Provided that if the premises are occupied, admission thereto shall not be demanded as of right unless twenty-four hours notice of the intended entry has been given to the occupier.

(2) Any person who wilfully obstructs a member of the Commission or a person authorised by them in the exercise of powers conferred on him by this section shall be liable on summary conviction to a fine not exceeding fifty pounds.

Contributions : nature and amount generally.

36.—(1) The contributions to be made towards the expense of making payments under this Part of this Act in respect of war damage shall, subject to the provisions of this Part of this Act, be made in respect of the properties, being units for the purposes of Schedule A or for rating valuations, which are specified in section thirty-nine of this Act ; and a property in respect of which such a contribution is to be made is in this Act referred to as a " contributory property ".

Contributions
towards
expense of
making
payments.

(2) The said contributions shall be made by the payment of five instalments, falling due on the first day of July in the year nineteen hundred and forty-one and each of the four following years.

(3) The amount of an instalment shall, subject to the provisions of this Part of this Act, be computed as mentioned in sections forty to forty-three of this Act by reference to the assessment of the contributory property for the purposes of Schedule A or the annual value of the property shown in a valuation list in force for rating purposes ; and the value by reference to which an instalment is computed is in this Act referred to as the " contributory value " of the property.

37.—(1) An instalment of contribution shall, subject to the provisions of this Part of this Act, be payable by the person having such an interest in the property as is specified in section forty-five of this Act ; and the person liable under that section to pay an instalment of contribution is in this Act referred to as the " direct contributor ".

Incidence of
contributions.

PART I.
—cont.

(2) Subject to the provisions of this Part of this Act, the direct contributor shall, in such cases and to such extent as is mentioned in sections forty-eight to fifty of this Act, be entitled to be indemnified against a part of the instalment by his landlord or tenant, and a landlord or tenant giving an indemnity shall, in such cases and to such extent as aforesaid, be entitled to be indemnified against a part of the instalment by his landlord or tenant, and so on.

(3) Subject to the provisions of this Part of this Act, the direct contributor, and a landlord or tenant giving an indemnity (in this Act referred to as an "indirect contributor"), shall, in such cases and to such extent as is mentioned in sections fifty-one to fifty-six of this Act, be entitled to be indemnified by a mortgagee against a part of the difference between the instalment or indemnity which he is obliged to pay or give and the aggregate of any indemnities from indirect contributors which he is entitled to receive (which difference is in this Act referred to as the "net liability" of the direct or indirect contributor).

Time by
reference
to which
liability
for instal-
ments
determined.

38.—(1) In so far as this Act expressly so provides, liability in respect of the instalments of contributions falling due in any year shall be determined by reference—

- (a) to circumstances prevailing on the first day of January in that year (in this Act referred to as "the relevant date");
- (b) to assessments for the purposes of Schedule A and rating valuations in force, and to the condition and use of land prevailing, in the relevant part of the risk period.

(2) In this Part of this Act the expression "the relevant part of the risk period" means, in relation to an instalment of contribution falling due in any year, so much of the risk period as has expired at the end of the relevant date, or, if the relevant date falls after the end of the risk period, the whole of the risk period.

Contributions: contributory properties and amount of contributions.

Contributory
properties.

39.—(1) The following properties shall, subject to the provisions of this Part of this Act, be contributory properties, that is to say, every property—

- (a) the full annual value of which was ascertained for the purposes of an assessment under Schedule A in force at any time during the relevant part of the risk period; or
- (b) which, not being a property to which paragraph (a) of this subsection applies, was at any time during the relevant part of the risk period the subject of a valuation shown in a valuation list for the time being in force under the Rating and Valuation Acts, 1925 to 1940, or the Rating and Valuation (Metropolis) Acts, 1869 to 1940.

(2) A property shall not be treated for the purposes of this Part of this Act as a contributory property—

- (a) if paragraph (a) or (b) of subsection (1) of this section applies to the property by reason only of the use of any land for the exhibition of advertisements, or for the erection of any hoarding, frame, post, wall or structure used for the exhibition of advertisements; or
- (b) if the property consisted of a fishery; or
- (c) if the property consisted of any corn-rent or other rent-charge issuing out of land:

Provided that nothing in paragraph (b) of this subsection shall affect any liability in respect of a property consisting of or including such fishing rights as are mentioned in section six of the Rating Act, 1874.

37 & 38 Vict.
c. 54.

(3) The last preceding subsection shall have effect, in its application to Scotland, as if for the reference in paragraph (b) thereof to a fishery there were substituted a reference to salmon, oyster or mussel fishings, and as if paragraph (c) thereof and the proviso thereto were omitted.

(4) Subsection (2) of this section shall have effect, in the application thereof to Northern Ireland, as if the proviso thereto were omitted.

40.—(1) The contributory value of a contributory property shall, subject to the provisions of this Part of this Act,— Contributory
value.

- (a) in the case of a property to which paragraph (a) of subsection (1) of the last preceding section applies, be the amount of the net assessment for the purposes of Schedule A on the first day during the relevant part of the risk period on which an assessment for those purposes was in force;
- (b) in the case of a property to which paragraph (b) of the said subsection (1) applies, be the net annual value shown in the valuation list during the relevant part of the risk period, or, where that value varies, the first such value:

Provided that the references in paragraph (b) of this subsection to the net annual value shall, where the net annual value and the rateable value are not separately shown, be taken to be references to the rateable value, except in the case of properties which were in the relevant part of the risk period industrial hereditaments in the occupation of the Crown, where the said references shall be taken to be references to such multiple of the rateable value as the Treasury may determine to be the net annual value.

PART I.
—cont.

(2) Where apart from the provisions of this subsection the contributory value of any contributory property would, under either paragraph (a) or paragraph (b) of the preceding subsection, be computed by reference to an amount corresponding to the value of the property for any period less than a full year, it shall be computed as if the said amount were increased so as to bear to the actual amount thereof the same proportion as a full year bears to the said period.

26 Geo. 5. &
1 Edw. 8. c. 43.
8 & 9 Geo. 5.
c. 54.

(3) In this section the expression "net assessment" means the full annual value as ascertained for the purposes of an assessment under Schedule A, less any sums on which relief was allowed under Rules 1, 4 and 7 of No. V of Schedule A or subsection (6) of section thirteen of the Tithe Act, 1936, and less any sums on which relief would have been allowable in respect of an annuity under section four of the Tithe Act, 1918, or of payments in respect of the redemption or reduction of an annuity under the Tithe Act, 1936, if relief in respect of so much of such an annuity or of such payments as represents interest were in all cases given by reduction of an assessment under Schedule A in lieu of being given by a right of deduction of tax.

(4) For the purposes of this Part of this Act, an assessment under Schedule A shall be treated as having been in force, and a valuation shown in a valuation list shall be treated as having been shown in the list, during the period as respects which the assessment or valuation has effect.

(5) In the application of this section to Scotland—

(a) the expression "net assessment" means the full annual value as ascertained for the purposes of an assessment under Schedule A, less any such sums as are mentioned in subsection (3) of this section and also less the amount of the stipend payable in respect of the property during the year for which such assessment was in force ;

(b) for any reference to the net annual value of a property shown in a valuation list there shall be substituted a reference to the gross annual value of a property entered in a valuation roll less any sums on which relief would have been allowed under Rules 1, 4 and 7 of No. V of Schedule A if an assessment based on such value had been made under Schedule A, and less the amount of the stipend payable in respect of the property during the year for which such valuation roll was in force ;

(c) the proviso to subsection (1) shall not have effect.

(6) In the application of this section to Northern Ireland, the proviso to subsection (1) shall not have effect.

41.—(1) Where, by reason of an alteration in the areas of any units of land as respects which annual values are ascertained for the purposes of Schedule A, assessments for those purposes which have been in force at any time during the relevant part of the risk period cease to be in force and are replaced by other assessments for those purposes in force at any such time as aforesaid, the replaced assessments shall be disregarded for the purposes of this Part of this Act.

PART I.
—cont.
Alteration during relevant part of risk period in area or condition of properties.

(2) Where, by reason of any alteration in the condition of a unit of land the annual value of which is ascertained for the purposes of Schedule A, an assessment for those purposes in respect of that unit which has been in force at any time during the relevant part of the risk period ceases to be in force and is replaced by another assessment for those purposes in force at any such time as aforesaid, then—

- (a) if the amount of the new assessment is less than the amount of the assessment replaced, the new assessment ;
- (b) in any other case, the assessment replaced,

shall be disregarded for the purposes of this Part of this Act :

Provided that where the alteration is caused, otherwise than by war damage, by the destruction or demolition of buildings or works, or parts thereof, comprised in the unit of land, then, as respects an instalment of contribution falling due in any year (being a year subsequent to the year nineteen hundred and forty-one) the relevant date in which falls after the new assessment is first in force, the assessment replaced, and not the new assessment, shall be disregarded for the purposes of this Part of this Act notwithstanding that the amount of the new assessment is less than that of the assessment replaced.

(3) In relation to instalments of contributions falling due in any year, references in this Part of this Act to an interest at the relevant date in that year in a contributory property shall be construed as references to an interest in the site of the property together with any buildings or works thereon at that date, and references to an interest in part of a contributory property shall be construed as references to an interest in any part of the site, buildings or works.

In this subsection the references to the site of a property include references to the space occupied by the property, and the references to buildings or works on the site include references to buildings or works occupying the whole or any part of that space.

42. Subject to the provisions of the next following section, Rate of the amount of an instalment of contribution in respect of a contributory property shall be two shillings in every pound of the contributory value of the property.

PART I.
—*cont.*
Lower rate
of contribution
for certain
properties.

43.—(1) In the case of a contributory property to which this section applies, the amount of an instalment of contribution shall be sixpence in every pound of the contributory value of the property.

(2) The contributory properties to which this section applies are, subject to the following provisions of this section, any contributory property—

- (a) which consisted throughout the relevant part of the risk period of agricultural land or agricultural buildings ; or
- (b) which consisted throughout the relevant part of the risk period of land used mainly or exclusively for the purpose of open air games, open air racing or open air recreation ; or
- (c) which in the opinion of the Minister of Agriculture and Fisheries consisted throughout the relevant part of the risk period of waste land or land valuable only for the purpose of taking fish, game or other animals fit for human consumption, or land whose value for other purposes is small in comparison with its value for the said purpose ; or
- (d) which falls as to part thereof within any of the preceding paragraphs and as to the remainder thereof within any other of those paragraphs ; or
- (e) which, not being a property which consisted solely of buildings or works and the site thereof, consisted throughout the relevant part of the risk period of land used for the purposes of an aerodrome, flying school or landing ground, or consisted during some of the relevant part of the risk period of land used for those purposes and during the remainder of the relevant part of the risk period of such land as is described in paragraphs (a), (b) and (c) of this subsection ; or
- (f) which consisted of such rights as are mentioned in section six of the Rating Act, 1874 (which relates to shooting, fishing and other rights) or of any other incorporeal rights :

Provided that nothing in paragraph (f) of this subsection shall be construed as affecting the amount of an instalment in respect of a property which was the subject of a valuation for rating purposes by virtue of the occupation of land.

(3) Where—

- (a) a property falling within paragraph (b) of the last preceding subsection comprised, at the beginning of the risk period, buildings or works the cost of which amounted to five thousand pounds or more ; or

(b) a property falling within paragraph (c) of that subsection comprised a dwelling-house; or

(c) a property falling within paragraph (e) of that subsection comprised buildings or works,

the buildings or works and the site thereof, or the dwelling-house and its offices (if any) and the site thereof, as the case may be, on the one hand, and the remainder of the property on the other hand, shall be treated as separate properties and the contributory values of each ascertained by apportioning what would have been the contributory value of the whole property; and the buildings or works, or dwelling-house and offices, and the site thereof shall not be treated as a contributory property to which this section applies.

(4) Any apportionment under the last preceding subsection shall be made by the Commissioners of Inland Revenue, but any person who is aggrieved by any such apportionment may appeal to the Special Commissioners.

(5) Where the normal use or occupation of any land is such that it would fall within paragraph (a), paragraph (b) or paragraph (e) of subsection (2) of this section, then, if and so long as it is temporarily diverted from such use or occupation by reason of circumstances arising from war, the land shall be deemed for the purposes of this section to be used or occupied as it is normally used or occupied.

(6) In the application of this section to Scotland, paragraph (f) of, and the proviso to, subsection (2) shall not have effect; but a contributory property in Scotland which consisted of shootings or of fishings (other than salmon, oyster or mussel fishings) or of any other incorporeal rights shall be a property to which this section applies.

(7) In the application of this section to Northern Ireland, for the reference to the Minister of Agriculture and Fisheries there shall be substituted a reference to the Ministry of Agriculture for Northern Ireland.

44.—(1) In relation to requisitioned land the provisions of this Part of this Act relating to the recovery and the ultimate incidence of instalments of contributions shall have effect—

Provisions affecting amount of contribution in respect of requisitioned land.

(a) as if throughout the period of requisition the land had continued to be in the form in which it was immediately before the beginning of the period of requisition and to be used or occupied for the purposes for which it was used or occupied immediately before that time;

(b) where—

(i) the full annual value of the requisitioned land was ascertained (either separately or together with

PART I.
—cont.

other land) for the purposes of an assessment under Schedule A in force immediately before that time, or

(ii) the requisitioned land was (either separately or together with other land) the subject of a valuation shown in a valuation list in force immediately before that time under the Rating and Valuation Acts, 1925 to 1940, or the Rating and Valuation (Metropolis) Acts, 1869 to 1940,

as if that assessment, or, as the case may be, the net annual value (or, where the proviso to subsection (1) of section forty of this Act has effect, the rateable value) shown in that valuation list immediately before that time, had continued in force throughout the period of requisition ;

- (c) where the assessment or value related also to other land, as if the requisitioned land were a separate contributory property having a contributory value of such amount as the Commissioners of Inland Revenue may determine to be just, having regard to the amount of the assessment or value and the relative values of the requisitioned land and the other land.

Any person who is aggrieved by a determination of the Commissioners of Inland Revenue under paragraph (c) of this subsection may appeal to the Special Commissioners.

(2) Nothing in subsection (1) of this section shall affect any liability of any person under this Part of this Act in respect of any land other than the requisitioned land.

(3) In the application of this section to Scotland, for any reference in subsection (1) to a net annual value there shall be substituted a reference to a gross annual value.

Contributions : persons liable to pay instalments.

Direct
contributor.

45.—(1) The direct contributor for an instalment of contribution falling due in any year in respect of any contributory property shall,—

- (a) if there is at the relevant date a proprietary interest subsisting in the whole of the property and only one such interest so subsisting, be the owner at that date of that interest ;
- (b) if there is then more than one such interest so subsisting, be the owner at that date of that one of those interests which as against the owners of the remainder of those interests carries the right to possession of the whole of the property.

(2) If, in the case of any contributory property comprising land, there is at the relevant date in any year no proprietary interest subsisting in the whole of the property, the instalment in respect of the property falling due in that year shall be apportioned among such parts of the property, and in such proportions, as the Commissioners of Inland Revenue may determine, and the provisions of this Part of this Act relating to the recovery and the ultimate incidence of instalments of contributions shall apply in relation to the parts of the property in question, and in relation to the parts of the instalment apportioned thereto respectively, as if each of those parts were a separate contributory property and as if the apportioned part of the instalment were an instalment in respect thereof.

Any person who is aggrieved by any apportionment made by the Commissioners of Inland Revenue under this subsection may appeal to the Special Commissioners.

46.—(1) An instalment of contribution falling due in any year in respect of a contributory property consisting of such rights over any land as are mentioned in section six of the Rating Act, 1874, or of any other incorporeal rights over any land shall, subject to the provisions of this section, in all cases be paid by the direct contributor for the instalment of contribution falling due in that year in respect of the contributory property comprising the land, and the provisions of this Part of this Act relating to the recovery and the ultimate incidence of instalments of contributions shall apply as if the instalment in respect of the rights formed part of the instalment in respect of the land :

Liability for instalments in case of shooting, fishing, and other rights.

Provided that where the land is comprised in more than one contributory property—

(a) if the same person is not the direct contributor for all the contributory properties comprising the land, the Commissioners of Inland Revenue, in consultation with the rating authority for the area in which those properties are situated, shall apportion to each property or group of properties having a separate direct contributor such part of the instalment in respect of the rights as, having regard to the contributory values of the properties, they may determine ;

(b) the said Commissioners, in consultation with the authority aforesaid, shall, on the application of any person interested as, or as a mortgagee of, a direct or indirect contributor for any of the properties, certify the part of the instalment in respect of the rights which, having regard to the contributory values of the properties, is apportionable to the property in question,

and the provisions of this subsection, other than the proviso thereto, shall apply as if the part of the instalment in

PART I.
—cont.

respect of the rights apportioned, or certified to be apportionable, to any of the properties were an instalment in respect of such rights as aforesaid over land wholly comprised in that property.

(2) Where a direct contributor for a contributory property comprising land who would be under a liability under the preceding subsection to pay an instalment, or an apportioned part of an instalment, in respect of any such rights over the land as are mentioned in that subsection proves that the contributory value of the property took into account the value of all or any of the rights, or fell to be computed by reference to an assessment or valuation in force at a time when the rights were not subsisting, the Commissioners of Inland Revenue shall give to the contributor such relief, by reducing or discharging the said liability, as appears to them just having regard to the extent to which the rights were taken into account as aforesaid or, as the case may be, to the fact that the contributory value of the property fell to be computed as aforesaid.

(3) Where a direct contributor for a contributory property who would be under a liability under subsection (1) of this section to pay an instalment, or an apportioned part of an instalment, in respect of any such rights over any land as are mentioned in section six of the Rating Act, 1874, proves that the fee simple in the contributory property comprising the rights was severed from the fee simple in the contributory property comprising the land, the liability in respect of the rights shall be discharged.

(4) Subject to the provisions of the two last preceding subsections, an instalment of contribution in respect of a contributory property consisting of such rights as aforesaid shall be payable notwithstanding that at the relevant date the rights no longer subsist, or, in the case of such rights as are mentioned in section six of the Rating Act, 1874, are no longer severed from the occupation of the land.

(5) Nothing in the preceding provisions of this section shall be construed as affecting any liability for an instalment of contribution in respect of a property which was the subject of a valuation for rating purposes by virtue of the occupation of land.

(6) In the application of this section to Scotland, for any reference to rights mentioned in section six of the Rating Act, 1874, there shall be substituted a reference to shooting or fishings other than salmon, oyster or mussel fishings; and subsection (3) and the last preceding subsection shall not have effect.

(7) In the application of this section to Northern Ireland, for the reference in paragraph (a) of the proviso to subsection (1) to the rating authority for the area there shall be substituted a reference to the Commissioner of Valuation.

47. Where at the relevant date in any year—

PART I.

—cont.

- (a) a proprietary interest subsisting in the whole of any contributory property, being the only such interest then so subsisting; or
- (b) if there is then subsisting in the whole of the property more than one such interest, that one of them which as against the owners of the remainder of those interests carries the immediate right to possession of the whole of the property,

Recovery of instalments from mortgagees in possession.

is subject to a mortgage, and under the mortgage the mortgagee is in possession of the property or the mortgagee or a receiver is in receipt of the whole of the rents and profits incident to the mortgaged interest, the instalment of contribution falling due in that year in respect of the property shall be payable by the mortgagee, and—

- (i) the mortgagee shall be entitled to the like rights against any landlord or tenant of the mortgagor, and against any other mortgagee of the interest, as the mortgagor would have had if the instalment had been payable by him and had been paid when it is in fact paid by the mortgagee, and
- (ii) the amount of the instalment, reduced by the aggregate of any amounts which the mortgagee is entitled to recover by virtue of paragraph (i) of this section and of any amount which the mortgagor would have been entitled by virtue of this Act to recover from the mortgagee if the instalment had been payable by the mortgagor, shall be treated, except for the purpose of computing what amount, if any, the mortgagor would have been entitled to recover as aforesaid in respect of the instalment in question, as an addition to the capital sum secured by the mortgage.

Contributions : ultimate incidence of liability as between landlords and tenants.

48.—(1) A direct or indirect contributor for an instalment of contribution shall, in the cases and to the extent specified in this and the next following section, be entitled, subject to the provisions of this Part of this Act, to an indemnity in respect of the instalment from a landlord or tenant of his calculated by reference to the proportion of the instalment appropriate to his, or the tenant's, tenancy, as determined in accordance with section fifty of this Act.

Rights over against landlords and tenants.

(2) Where a direct contributor for the instalment of contribution in respect of any property falling due in any year is at the relevant date in that year a tenant of the property under a tenancy

PART I.
—cont.

which has less than a hundred years to run, he shall be entitled to be indemnified by his landlord against—

- (a) the proportion of the amount of the instalment appropriate, as at that date, to the tenancy ; or
- (b) the amount by which the amount of the instalment exceeds any indemnity to which he is entitled under subsection (4) of this section,

whichever is the less.

(3) Where a person who as landlord of any land is under a liability, under the last preceding subsection or under this subsection, to indemnify his tenant in respect of an instalment of contribution is at the relevant date himself a tenant of the whole or any part of that land under a tenancy which has less than a hundred years to run, he shall be entitled to be indemnified by his landlord—

- (a) if he is a tenant of the whole of the land, against his said liability ;
- (b) if he is a tenant of a part of the land, against the fraction of his said liability attributable to that part of the land,

up to an amount not exceeding the proportion of the amount of the instalment appropriate, as at that date, to his tenancy, or, if the land of which the said person is tenant comprises a part only of the contributory property, up to an amount not exceeding the said proportion of the fraction of the instalment attributable to that part of the property.

(4) Where a direct contributor for the instalment of contribution in respect of any property falling due in any year has at the relevant date in that year a tenant of part of the property, and the tenancy is a proprietary interest, the direct contributor shall be entitled to be indemnified by that tenant against so much of the fraction of the instalment attributable to that part of the property as is equal to the difference between the amount of that fraction and the proportion thereof appropriate, as at that date, to that tenancy.

(5) Where a person who as tenant of any land is under a liability, under the last preceding subsection or under this subsection, to indemnify his landlord in respect of an instalment of contribution has at the relevant date a tenant of the whole or any part of that land whose tenancy is a proprietary interest, that person shall be entitled to be indemnified by that tenant—

- (a) if the tenancy last referred to is a tenancy of the whole of the land, against his said liability ;
- (b) if that tenancy is a tenancy of a part only of the land, against the fraction of his said liability attributable to that part of the land,

up to an amount not exceeding the difference between the amount of the fraction of the instalment attributable to the part of the property subject to the tenancy and the proportion of that fraction appropriate, as at that date, to that tenancy.

(6) For the purposes of this section, the fraction of the instalment in respect of any property attributable to any part of the property, or the fraction attributable to any part of any land of the liability of any person in respect of an instalment which he incurs as landlord or tenant of the land, shall be taken to be an amount which bears to the whole amount of the instalment or liability the same proportion as the annual value of the part of the property or land bears to the annual value of the whole of the property or land.

49.—(1) Subsections (2) to (6) of the last preceding section shall not apply in relation to a tenancy of which the term has at the relevant date not yet commenced (in this section referred to as a "reversionary tenancy"); but where the interest in a contributory property or part thereof of a direct or indirect contributor for the instalment of contribution in respect of a property falling due in any year is at the relevant date in that year immediately subject to a reversionary tenancy, being a proprietary interest, the contributor shall be entitled to be indemnified by the tenant under the reversionary tenancy against his aggregate liability in respect of the instalment, reduced by the aggregate of the indemnities which he is entitled to receive in respect of the instalment from a landlord or from a tenant not being a tenant under a reversionary tenancy, up to an amount not exceeding the difference between—

- (a) the instalment less the proportion thereof appropriate to a tenancy of the land comprised in, and at the rent reserved in respect of, the reversionary tenancy and having still to run at the relevant date a period equal to the period between the relevant date and the date on which the term of the reversionary tenancy is to end; and
- (b) the instalment less the proportion thereof appropriate to a tenancy of the land and at the rent aforesaid, and having still to run at the relevant date a period equal to the period between the relevant date and the date on which the term of the reversionary tenancy is to commence.

(2) If the reversionary tenancy extends to a part only of the land subject to the interest of the contributor in the contributory property, the reference in subsection (1) of this section to the aggregate liability of the contributor, reduced as mentioned in that subsection, shall be construed as a reference to the amount which bears to his aggregate liability, reduced as aforesaid, the

PART I.
—cont.

same proportion as the annual value of the part of the land bears to the annual value of the whole land.

(3) If the reversionary tenancy extends to a part only of the contributory property, the references in paragraphs (a) and (b) of subsection (1) of this section to the instalment shall be construed as references to an amount which bears to the whole amount of the instalment the same proportion as the annual value of that part bears to the annual value of the whole property.

(4) If the rent reserved in respect of the reversionary tenancy is not constant throughout the term, the references in subsection (1) of this section to that rent shall be construed as references to a yearly rent equal to the aggregate of the rent reserved over the whole of the term divided by the number of years in the term.

(5) If the period between the relevant date and the date on which the term of the reversionary tenancy is to end is a hundred years or more, the proportion mentioned in paragraph (a) of subsection (1) of this section shall be taken to be nil.

(6) In the application of this section to Scotland, for the reference in subsection (1) to a reversionary tenancy, being a proprietary interest, there shall be substituted a reference to a reversionary tenancy, being a tenancy under a lease the stipulated duration of which is more than twenty-one years or, in the case of minerals, more than thirty-one years, from the date of entry.

Proportion
appropriate
to a tenancy.

50.—(1) The proportion appropriate, as at any date, to a tenancy shall, for the purposes of the two last preceding sections, be determined as follows.

(2) There shall be ascertained the period which at that date the tenancy has still to run.

(3) There shall also be ascertained the proportion which the rent reserved for the period in which the relevant date falls, or, if that period is other than a year, the annual equivalent thereof, bears—

(a) where the land comprised in the tenancy is the contributory property in question, to the contributory value thereof;

(b) where the land comprised in the tenancy forms part of the contributory property in question, or comprises the contributory property in question or a part thereof and also other land, to an amount which bears to the contributory value of the property the same proportion as the annual value of the land comprised in the tenancy bears to the annual value of the contributory property:

Provided that where it is shown that the rent is greater by any amount than it would otherwise have been by reason of the landlord undertaking to bear any tenant's rates, or rendering

or providing, or procuring to be rendered or provided, any services or goods, the said proportion shall be calculated as if the rent were reduced by the said amount.

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—cont.

(4) The proportion appropriate to the tenancy is the percentage in the Table set out at the end of this section appearing opposite the entry in the first column which includes the period ascertained in accordance with subsection (2) of this section, under the heading which includes the proportion ascertained in accordance with subsection (3) of this section.

(5) In considering for the purposes of this and the two last preceding sections the length of time which any tenancy, other than such a tenancy as is mentioned in paragraph (a) or (b) of the next succeeding subsection, has still to run at any date, it shall be assumed that the tenant exercises all options to renew the tenancy which are available to him at that date or fall to become available to him thereafter, and does not exercise any similar power to determine the tenancy, and that the landlord exercises any power to determine the tenancy which is available to him at that date or becomes available to him thereafter.

(6) For the purposes of this and the two last preceding sections—

- (a) a tenancy which by virtue of subsection (6) of section one hundred and forty-nine of the Law of Property Act, 1925 (which relates to leases for lives and similar tenancies) takes effect as a tenancy for a term of ninety years determinable in the manner provided by that subsection shall be treated as having, at any date, twenty or more, but less than twenty-five, years to run; and
- (b) a tenancy granted for any term, but subject to a power to determine the tenancy on or after the happening of any event, shall be treated as having still to run, at any date, a period of twenty or more, but less than twenty-five, years:

Provided that where at that date less than twenty years of the term is unexpired, the tenancy shall be treated as having then still to run a period equal to so much of the term as is then unexpired.

(7) In the case of a tenancy in respect of which no rent is reserved, the proportion appropriate to the tenancy shall be determined on the footing that the proportion ascertained in accordance with subsection (3) of this section is less than one-quarter.

(8) In relation to a tenancy in respect of which a rent is reserved other than a money rent, the reference in subsection (3) of this section to the rent or the annual equivalent thereof shall be

PART I.
—cont.

construed as a reference to the money value of the rent or the annual equivalent thereof.

TABLE.
Appropriate Proportions.

Period of tenancy still to run at relevant date.	Proportion of Rent to Value.			
	(a)	(b)	(c)	(d)
	Three- quarters or more.	One-half or more, but less than three- quarters.	One-quarter or more, but less than one-half.	Less than one-quarter.
(1) Less than 5 years —	97½ per cent.	95 per cent.	90 per cent.	85 per cent.
(2) 5 or more, but less than 10 years —	95 per cent.	87½ per cent.	80 per cent.	70 per cent.
(3) 10 or more, but less than 15, years —	95 per cent.	80 per cent.	70 per cent.	55 per cent.
(4) 15 or more, but less than 20, years —	92½ per cent.	75 per cent.	60 per cent.	45 per cent.
(5) 20 or more, but less than 25, years —	92½ per cent.	72½ per cent.	55 per cent.	35 per cent.
(6) 25 or more, but less than 30, years —	90 per cent.	70 per cent.	50 per cent.	27½ per cent.
(7) 30 or more, but less than 40, years —	90 per cent.	67½ per cent.	45 per cent.	20 per cent.
(8) 40 or more, but less than 50, years —	87½ per cent.	65 per cent.	42½ per cent.	15 per cent.
(9) 50 or more, but less than 100, years —	87½ per cent.	62½ per cent.	40 per cent.	10 per cent.

*Contributions: ultimate incidence of liability as between
mortgagors and mortgagees.*

Rights over
against
mortgagees.

51. Where the interest of a direct or indirect contributor in respect of a contributory property to which this section applies is at the relevant date subject to a mortgage to which this section applies, and the amount secured by the mortgage at the relevant date is more than one-third of the price of acquisition of that interest, the contributor shall, subject to the provisions of this Part of this Act, be entitled to be indemnified by the mortgagee to the following extent, that is to say,—

- (a) if the amount secured by the mortgage at the relevant date does not exceed one-half of the said price, against one-sixth of his net liability ;
- (b) if the said amount exceeds one-half, but does not exceed two-thirds, of the said price, against one-third of his net liability ;

- (c) if the said amount exceeds two-thirds, but does not exceed three-quarters, of the said price, against one-half of his net liability ;
- (d) if the said amount exceeds three-quarters of the said price, against two-thirds of his net liability.

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—cont.

52.—(1) The last preceding section applies to a contributory property the contributory value of which does not exceed one hundred and fifty pounds and which consists of or comprises premises used or suitable for use for residential purposes, and to a contributory property the contributory value of which does not exceed five hundred pounds and which consists solely or mainly of agricultural land or agricultural buildings or of such land and such buildings :

Properties and mortgages to which s. 51 applies.

Provided that the said section does not apply to a contributory property by virtue of its comprising premises used for residential purposes if their use for those purposes is connected with, and subsidiary to, the use for other purposes of those premises or of some other part of the property.

(2) The last preceding section applies to a mortgage of the interest of a direct or indirect contributor which was created to secure a capital sum (whether with or without interest) on the occasion of, and in connection with, the acquisition of that interest by the contributor or a predecessor in title of his, or on the occasion of, and in connection with, the execution of any works of construction or improvement for the benefit of the contributory property, or was substituted for a mortgage so created :

Provided that the said section does not apply to a mortgage which was created on the occasion of, and in connection with, the acquisition by a person of an interest in, or on the occasion of, and in connection with, the execution of any such works as aforesaid for the benefit of, more than one contributory property, or was substituted for a mortgage so created.

(3) Where—

- (a) the whole or parts of different storeys of a house or building are occupied by two or more persons in different apartments or tenements and the house or building comprises more than one contributory property, but each of the contributory properties is used or suitable for use for residential purposes and has a contributory value not exceeding thirty-five pounds ; or
- (b) land which is farmed as a single unit or consists only of land so farmed together with other land either normally farmed therewith or, if it consists of or comprises buildings, intended to form part of the unit, comprises more than one contributory property, but the aggregate of the contributory values does not exceed five hundred pounds,

PART I.
—cont.

the house or building or, as the case may be, the land shall be deemed for the purposes of this and the last preceding section to be a single contributory property to which that section applies.

(4) For the purposes of the proviso to subsection (2) of this section, so much of subsection (1) of section forty-four of this Act as provides for treating a contributory property of which part is requisitioned land as more than one contributory property shall be disregarded.

Successive
mortgages.

53. In relation to a second or subsequent mortgage of an interest, section fifty-one of this Act shall have effect as if—

- (a) for the references to the price of acquisition of the interest there were substituted references to that price reduced by the aggregate of the amounts secured by all prior mortgages of the interest, whether mortgages to which the said section fifty-one applies or not ;
- (b) for the references to the net liability of the contributor there were substituted references to his net liability reduced by the aggregate of the gross amounts of any indemnities to which he is entitled under the said section fifty-one in respect of prior mortgages of the interest.

Collateral
security.

54. Where the interest of a direct or indirect contributor is at the relevant date not the only security for the amount secured by a mortgage, section fifty-one of this Act and the last preceding section shall have effect as if for the references to the amount secured by the mortgage there were substituted references to the sum which bears to that amount the same proportion as the price of acquisition of the interest, or, if the mortgage is a second or subsequent mortgage, that price reduced as mentioned in paragraph (a) of the last preceding section bears to the aggregate of that price, or that price reduced as aforesaid, as the case may be, and the value of all the other property (whether real or personal) which is at the relevant date a security for the amount secured by the mortgage.

Miscellaneous
provisions
relating to
s. 51.

55.—(1) Where—

- (a) a mortgage was created on the occasion of, and in connection with, the execution of works of construction or improvement for the benefit of a contributory property, or was substituted for a mortgage so created ; or
- (b) a mortgage was created on the occasion of, and in connection with, the acquisition of an interest at any time before the first day of January, nineteen hundred and thirty-two, or was substituted for a mortgage so created, and (in either case) the value of the interest is at the relevant date less than four fifths of the price of acquisition of the interest ; or

- (c) a mortgage was created on the occasion of, and in connection with, the acquisition of an interest, or was substituted for a mortgage so created, and at the time of the acquisition of the interest the person acquiring the interest was entitled to a tenancy which on the acquisition merged in the interest acquired,

the four last preceding sections shall have effect in relation to that property or interest as if any reference to the price of acquisition of the interest were a reference to the value of the interest, and any reference to that price reduced by the aggregate of amounts secured by prior mortgages were a reference to the value of the interest, free from any mortgage, reduced as aforesaid.

(2) Where a claim for indemnification under section fifty-one of this Act is made by a direct or indirect contributor in respect of a contributory property to which that section applies, as being a property which consists of or comprises premises used, or suitable for use, for residential purposes, and a dispute arises as to the value of the interest of the contributor or of any other property which is a security for the amount secured on that interest, then, if a request in that behalf is made to the Commissioners of Inland Revenue by the contributor and the mortgagee, the Commissioners may certify the value of the interest or other property in question, and the determination of the Commissioners shall be final and conclusive for the purposes of the said section fifty-one as between the contributor and the mortgagee.

(3) For the purposes of this section and of the four last preceding sections—

- (a) the price of acquisition of an interest shall be taken to be the amount of any capital sum paid as consideration for the acquisition in question ;
- (b) the amount secured by a mortgage at any date shall be taken to be the capital sum secured thereby, together with any costs or arrears of interest so secured ;
- (c) the value of any property (including the interest of a direct or indirect contributor) which is subject to a mortgage to which the said section applies or is a security for the amount thereby secured shall be taken to be the value which that property would have had in the open market at the end of March, nineteen hundred and thirty-nine, if it had then been subsisting with the like incidents in all respects as it had on the relevant date, other than its being subject to that mortgage or a security for that amount ;
- (d) a mortgage created in connection with the payment to the mortgagee under another mortgage of sums secured by that other mortgage shall be deemed to have been

PART I.
—*cont.*

substituted for that other mortgage, as well where the payment was made before the creation of the first mentioned mortgage as where it was made at the same time as or after the creation thereof, and a mortgage shall be deemed to have been substituted for another mortgage if it was substituted for a mortgage which itself was substituted therefor.

Rights over
against
mortgagees :
provisions as
to Scotland
and Northern
Ireland.

56.—(1) The five last preceding sections shall have effect, in their application to Scotland and Northern Ireland, subject to the following provisions of this section.

(2) Paragraph (a) of subsection (3) of section fifty-two shall not apply.

(3) Section fifty-one shall apply, in addition to any contributory properties specified in section fifty-two, to any tenement in Scotland comprising dwelling houses the contributory value of none of which exceeds thirty-five pounds, and any such tenement shall for the purposes of the said sections fifty-one and fifty-two be deemed to be a single contributory property whether or not any of its component parts are separately assessed to Schedule A or separately entered in the valuation roll.

In relation to a dwelling house comprised in such a tenement as aforesaid and forming part only of a contributory property, the reference in this subsection to the contributory value of the dwelling house shall be construed—

(a) where the dwelling house is separately entered in the valuation roll, as a reference to an amount which bears to the contributory value of the contributory property of which the dwelling house forms part the same proportion as the rateable value of the dwelling house bears to the aggregate of the rateable values of all the parts of the contributory property ;

(b) in any other case, as a reference to an amount which bears to the contributory value of the contributory property the same proportion as the annual value of the dwelling house bears to the annual value of the contributory property.

(4) Where a house or building in Northern Ireland let in different apartments or tenements, and occupied by two or more persons severally, comprises more than one contributory property, but each of the contributory properties is used or suitable for use for residential purposes and has a contributory value not exceeding thirty-five pounds, the house or building shall be deemed for the purposes of the said sections fifty-one and fifty-two to be a single contributory property to which the said section fifty-one applies.

(5) Where the interest of a direct or indirect contributor in respect of a contributory property in Scotland to which the said section fifty-one applies is at the relevant date subject to two or more heritable securities to which the said section applies, and which rank *pari passu*, those heritable securities shall for the purposes of sections fifty-one to fifty-five of this Act be treated as one heritable security, and the amount of any indemnity to or in which the creditors in such heritable securities may be entitled or liable shall be divided among them in proportion to the respective amounts secured by their securities.

(6) In relation to a contributory property in Northern Ireland which is subject to a charge created in respect of the repayment of an advance under the Acts relating to land purchase in Northern Ireland, the five last preceding sections shall have effect subject to the following modifications:—

- (a) any reference to the amount secured by the mortgage shall be construed as a reference to the amount (determined in accordance with the Irish Land (Finance) Rules, 1910, made by the Treasury under section forty-six of the Irish Land Act, 1903) which is required to ^{3 Edw. 7.} redeem the outstanding instalments of the purchase ^{c. 37.} annuity payable in respect of the advance;
- (b) any reference to the mortgagee shall be construed as a reference to the Ministry of Finance for Northern Ireland;
- (c) paragraph (b) of subsection (3) of section fifty-five shall not have effect.

Contributions: general provisions as to indemnities.

57. A right to indemnity conferred by this Part of this Act shall not be enforceable until the discharge of the liability in respect of which the right arises: ^{Time for payment of indemnities.}

Provided that on the discharge of part of the liability the said right shall be enforceable as respects a proportionate part of the amount of the indemnity.

58.—(1) Where a direct or indirect contributor in respect of a contributory property who is a tenant of the property or whose interest therein is subject to a mortgage is entitled to an indemnity under this Part of this Act from any person as being at the relevant date his landlord or mortgagee, he may, without prejudice to any other method of recovery, deduct the amount of the indemnity from any instalment of rent or any payment (whether of interest or capital) under the mortgage, as the case may be, falling due to the said person on or after the date on which the contributor became entitled to recover the said amount. ^{Deduction of indemnities from rent and mortgage payments.}

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—cont.

(2) Where, in accordance with subsection (1) of this section, any person makes a deduction from any instalment of rent or payment under a mortgage, so much of the instalment or payment as is represented by the deduction shall be treated as having been actually paid and the said person shall be acquitted and discharged thereof accordingly.

Indemnities payable and recoverable notwithstanding agreements to contrary.

59. The provisions of this Part of this Act relating to the payment and recovery of indemnities in respect of the liability of a direct or indirect contributor for an instalment of contribution shall have effect notwithstanding any agreement to the contrary, whether made before or after the instalment became due.

Contributions : collection.

Commissioners of Inland Revenue to collect contributions.

60.—(1) An instalment of contribution under this Part of this Act shall be assessed and collected by the Commissioners of Inland Revenue.

4 & 5 Geo. 6.
c. 30.

(2) The said Commissioners may make regulations with respect to the assessment and collection of instalments, and any such regulations may in particular apply with modifications any of the enactments relating to the assessment and collection of income tax (including enactments relating to the assessment and collection of tax in the case of incapacitated persons, deceased persons and persons not resident in the United Kingdom and in the case of property under the direction and control of a receiver appointed by the court, and including the provisions of Part II of the First Schedule to the Finance Act, 1941, and the provisions of the enactments relating to income tax ancillary thereto) and provide for the assessment and collection of instalments by officers appointed by the Commissioners for that purpose.

Regulations applying the said provisions of the Finance Act, 1941, and the said ancillary provisions may apply those provisions in relation to any class of property.

(3) Any appeal to the Special Commissioners under this Part of this Act shall be brought and heard in accordance with the provisions of regulations made by the Commissioners of Inland Revenue under this section.

(4) Any person authorised in that behalf by the said Commissioners may, for the purposes of assessing or collecting contributions under this Part of this Act, give notice to any person who is entitled to any rent or other annual payment in respect of any land, or is in receipt of any rent or other annual payment belonging to any other person, or is in possession of, or entitled to the possession of, any land, requiring him to deliver within the time limited by the notice, and in such form as may be prescribed by the said Commissioners, such particulars relating to the land and to the interests of persons therein as may be prescribed by those Commissioners.

(5) Any person who fails to comply with the requirements of a notice given under this section shall be guilty of an offence and liable on summary conviction to a fine not exceeding fifty pounds.

(6) Any person who, being required under this section to furnish any information, makes any statement which he knows to be false in a material particular, or recklessly makes any statement which is false in a material particular, shall be guilty of an offence and, unless indicted therefor, liable on summary conviction to a fine not exceeding one hundred pounds or to imprisonment for a term not exceeding three months, or to both such fine and such imprisonment.

Any proceedings under the Summary Jurisdiction Acts in respect of an offence against this subsection may be commenced at any time before the expiration of six months after the first discovery of the offence by the Commissioners of Inland Revenue.

61.—(1) Where a value payment is made in respect of war damage to a hereditament, the amount of the payment shall be reduced by so much of any contribution in respect of any property comprised wholly within that hereditament as has not been paid, and no person shall be under any liability to the Commissioners of Inland Revenue in respect of so much of the contribution as has not been paid, or, save as provided by subsection (2) of this section, to give any indemnity in respect thereof: Provisions as to recovery of contribution where value payment made.

Provided that this subsection shall not have effect where the value payment is made by virtue of section thirteen, fourteen, fifteen or twenty of this Act.

(2) Where the preceding subsection has effect in the case of a contributory property to which section fifty-one of this Act applies, and a proprietary interest in the hereditament was subject, at the material time, to a mortgage to which that section applies and in right of which on the discharge of the value payment the mortgagee receives so much thereof as is attributable to that interest, the owner of that interest shall be entitled to the like indemnity from the mortgagee against the reduction of the sum so received which results from the operation of the preceding subsection as he would have been entitled to have from the mortgagee if the amount of that reduction had been a net liability of his as a contributor for an instalment discharged at the date of the discharge of the value payment, and that date had been the relevant date.

62.—(1) Any person may pay in advance to the Commissioners of Inland Revenue any sum on account of so much of the contribution as is still outstanding in respect of any property, and the sum paid, together with the proper interest thereon, shall be applied in or towards the discharge of the instalment next falling Power to pay contribution in advance.

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—cont.

due after the payment, and, in so far as the said sum and interest exceed the amount of that instalment, the balance, together with the proper interest thereon, shall be applied in or towards the discharge of the next instalment, and so on.

(2) Where by the making of a payment in advance under this section an instalment of contribution is discharged in whole or in part, the provisions of this Part of this Act relating to the ultimate incidence of instalments of contributions shall apply as if the instalment or the part thereof discharged, as the case may be, had been paid by the person by whom it would have been payable, and at the time when it would have become due, if the payment in advance had not been made :

Provided that—

- (a) where by the making of a payment as aforesaid part only of an instalment of contribution is discharged, nothing in this subsection shall affect the liability of any person in respect of the remainder of the instalment ; and
 - (b) this subsection shall not apply in the case of a payment in advance under this section made before the first day of June, nineteen hundred and forty-two, but where the amount of any instalment is reduced by reason of any payment in advance so made the provisions of this Part of this Act relating to the ultimate incidence of instalments of contributions shall apply in relation thereto as if the reduced amount were the whole of the instalment.
- (3) For the purposes of this section—
- (a) the proper interest on any sum paid under this section is an amount equal to one halfpenny for each complete pound of the sum paid for each complete month in the period beginning with the date of the payment and ending with the day before the date of the instalment next falling due ;
 - (b) the proper interest on the balance remaining after the discharge of any instalment is an amount equal to one halfpenny for each complete pound of the balance for each complete month in the period beginning with the date on which that instalment fell due and ending with the day before the date of the instalment next falling due.
- (4) So much of the contribution in respect of a property as would apart from any payment in advance, have been recoverable by deduction from a value payment in accordance with the last preceding section and consists of instalments which have not become due at the time when the value payment is made shall be treated for the purposes of this section as one instalment then becoming due.

(5) Notwithstanding anything in any enactment, the full amount of any interest allowed under this section shall be allowed without deduction of income tax; but the person to whom the interest is allowed shall be assessed and charged to income tax under Case III of Schedule D on the full amount of the interest.

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*Contributions: suspension or remission of instalments
in certain cases.*

63. Where the Commissioners of Inland Revenue receive notice from the Commission that it is likely that a value payment will fall to be made, otherwise than by virtue of section thirteen, fourteen, fifteen or twenty of this Act, in respect of war damage to a hereditament, the Commissioners shall take no steps to recover the whole or any part of any instalment of contribution falling due in respect of any property comprised wholly within that hereditament unless and until they receive notice from the Commission that a value payment will not be made, otherwise than as aforesaid, in respect of the hereditament.

Suspension of
collection
where value
payment
likely to be
made.

64.—(1) Where the Commissioners of Inland Revenue are satisfied that a property is unfit by reason of war damage, they shall take no steps to recover the whole or any part of any instalment of contribution falling due in respect thereof (notwithstanding that they may have received notice that a value payment will not be made in respect of a hereditament comprising it) unless and until they are satisfied that it has been rendered fit.

Suspension of
collection
where
property
rendered unfit
by war
damage.

(2) In this section the expression "unfit" means unfit for the purpose for which the property was used or adapted for use immediately before the occurrence of the war damage in question, and unfit also for any other purpose substantial in relation to that purpose; and the expression "fit" means fit for any such purpose.

In considering whether a property is at any time unfit or fit for any purpose, regard shall be had to all relevant circumstances, and in particular to the class of occupier likely to use similar properties which are not unfit for that purpose, and to the standard of accommodation available at that time.

65.—(1) Where as respects the year nineteen hundred and forty-two or any subsequent year the Commissioners of Inland Revenue are satisfied that the following conditions are fulfilled in the case of any contributory property which consists of a house or building and the site thereof, that is to say,—

Remission of
instalments on
properties
affected under
Housing Acts
by clearance
or compulsory
purchase, or
demolition,
orders.

- (a) that at the beginning of that year the house or building was subject to a clearance order made under the Housing Act, 1936, which had been confirmed by the Minister of Health, to a compulsory purchase order which had

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—cont.

been so confirmed made under that Act and relating to land comprised in a clearance area, or made in accordance with subsection (3) of section thirty-six of that Act, or to a demolition order made under that Act which had become operative ; and

(b) that the house or building has not been occupied in whole or in part at any time during that year,

the Commissioners of Inland Revenue shall take no steps to recover any instalment of contribution falling due in respect of the property in that year unless and until they are satisfied that the condition specified in paragraph (b) of this subsection has ceased to be fulfilled or that the order has been quashed.

(2) Any reference in this section to a house or building includes a reference to any yard, garden, outhouses and appurtenances belonging thereto or usually enjoyed therewith.

(3) The reference in paragraph (a) of subsection (1) of this section to a house or building subject to a compulsory purchase order confirmed by the Minister of Health includes a reference to a house or building belonging to a local authority to which by virtue of section twenty-eight of the Housing Act, 1936, the provisions of that Act apply as if it had been purchased by the authority as being land comprised in a clearance area.

20 & 21 Geo. 5.
c. 40.

(4) In the application of this section to Scotland, for the references to the Housing Act, 1936, and to orders confirmed by the Minister of Health there shall be respectively substituted references to the Housing (Scotland) Act, 1930, and to orders confirmed by the Secretary of State :

25 & 26 Geo. 5.
c. 41.

Provided that for references to section twenty-eight and to subsection (3) of section thirty-six of the first mentioned Act there shall be respectively substituted references to section sixty-one and subsection (2) of section seventeen of the Housing (Scotland) Act, 1935.

(5) In the application of this section to Northern Ireland, for the references to the Housing Act, 1936, and the Minister of Health there shall be substituted respectively references to Part II of the Planning and Housing Act (Northern Ireland), 1931, and to the Ministry of Home Affairs for Northern Ireland, and the references to a compulsory purchase order shall not apply.

Contributions : miscellaneous provisions.

Contributions
to be treated
as capital
outgoings.

66.—(1) Contributions made and indemnities given under this Part of this Act shall be treated for all purposes as outgoings of a capital nature.

(2) The purposes—

(a) authorised for the application of capital moneys by section seventy-three of the Settled Land Act, 1925,

15 & 16 Geo. 5.
c. 18.

by that section as applied by section twenty-eight of the Law of Property Act, 1925, in relation to trusts for sale, and by section twenty-six of the Universities and College Estates Act, 1925 ; and

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—cont.

15 & 16 Geo. 5.
c. 24.

- (b) authorised by section seventy-one of the Settled Land Act, 1925, by that section as applied as aforesaid, and by section thirty-one of the Universities and College Estates Act, 1925, as purposes for which moneys may be raised by mortgage,

shall include the discharge of any liability as, or as a mortgagee of, a direct or indirect contributor.

(3) A provision contained in any will, settlement or other instrument (including an enactment), whether executed or coming into operation before or after the passing of this Act, to the effect that outgoings (by whatever word described) are to be discharged out of income, or by a person entitled to income or to a right of possession or residence in the capacity of a beneficiary under a trust, shall not have effect in relation to any instalment of contribution or indemnity in respect of any instalment of contribution, except in a case in which an intention that it should have effect in relation thereto, or in relation to a class of outgoings within which the contribution or indemnity falls, appears from terms of the instrument other than the generality of the reference therein to outgoings.

(4) In the application of this Act to Scotland, payment of contributions in respect of any contributory property by an heir of entail shall be deemed to be expenditure on improvements within the meaning of the Entail Acts.

(5) In the application of this Act to Northern Ireland, the following provisions shall have effect in substitution for the provisions of subsection (2) of this section, that is to say, that notwithstanding the provisions of any instrument, capital money arising under the Settled Land Act, 1882, may be applied in or towards the discharge of any liability as, or as a mortgagee of, a direct or indirect contributor.

67.—(1) Where, in proceedings taken against any person for the enforcement of a personal liability as, or as a mortgagee of, a direct or indirect contributor for an instalment of contribution becoming due in any year, the said person proves that the proprietary interest or, as the case may be, the mortgage of such an interest by virtue of which he incurred the liability was at the relevant date in that year vested in him as a trustee, and that his rights of indemnification out of the trust estate are, otherwise than by negligence or default on his part, insufficient to provide for his reimbursement in respect of the liability, the court may give such directions for the limitation or release of the liability as the court thinks just and equitable.

Limitation of
liability of
trustees, &c.,
in respect of
contributions.

PART I.
—cont.

In this subsection any reference to a trustee includes a reference to a personal representative, and any reference to the trust estate shall be construed accordingly.

(2) Where at the relevant date in any year a proprietary interest, or a mortgage of such an interest, in a contributory property is vested in any person as the trustee of the property of a bankrupt, any sum paid by that person in discharge of his liability as, or as a mortgagee of, a direct or indirect contributor for the instalment of contribution falling due in that year in respect of the contributory property shall be treated as part of the costs of administration of the property of the bankrupt.

Rights
enforceable
notwith-
standing
transmission
of interest.

68. Where by the provisions of this Part of this Act a right (whether present or future) is conferred against or on any person on or against the Commissioners of Inland Revenue or any other person, and is so conferred by virtue of the first-mentioned person being at any date the owner of any interest, or the landlord, tenant or mortgagee of any such owner, the right shall be enforceable notwithstanding that the first-mentioned person has, since that date and whether before, on or after the first day of July next following, died or otherwise ceased to be the owner, or the landlord, tenant or mortgagee of the owner, of the interest in question.

Payments in respect of damage to land, and contributions : special provisions affecting certain classes of land.

Land held for
certain
charitable
purposes :
payments and
contributions.

69.—(1) The following provisions of this section shall have effect as respects land held and used as therein mentioned for charitable purposes to which this section applies, that is to say, charitable purposes of any of the following kinds,—

- (a) the relief of poverty,
- (b) the making of provision for the cure or mitigation or prevention of, or for the care of persons suffering from or subject to, any disease or infirmity or disability affecting human beings (including the care of women before, during, and after childbirth),
- (c) the advancement of religion,
- (d) the advancement of education, learning, science or research,

or for ecclesiastical purposes.

(2) Where at the relevant date in any year the following conditions are satisfied as respects any land which constitutes or forms part of a contributory property, that is to say,—

- (a) that a proprietary interest in the land is held for charitable purposes to which this section applies, or for ecclesiastical purposes, and for such purposes only ; and
- (b) that the land, as distinct from rents and profits thereof, is used in any manner (including use in a manner

involving the beneficial occupation of the land by any person) for or in connection with the carrying out of the purposes for which that interest is held, and not otherwise,

PART I.
—cont.

the Commissioners of Inland Revenue shall give such relief, by repayment or otherwise, to the owner of the said proprietary interest as is necessary to reduce his net liability in respect of that interest to nil:

Provided that if the purposes for which the said interest is held are the advancement of education, learning, science or research only, or if they include such purposes and the use of the land is solely or mainly for or in connection with the carrying out of such purposes, the relief to be given under this subsection shall be such as to reduce the said net liability to one-third of its amount.

(3) No relief given under this section shall affect the existence or amount of any liability under this Part of this Act of any person other than the owner of the proprietary interest in question; and where the owner is relieved from the payment of part of an instalment, indemnities shall be payable by other persons as if he had paid the whole of the instalment at the time when he paid the part of which he was not relieved.

(4) Where immediately before the occurrence of war damage to a hereditament the conditions specified in paragraphs (a) and (b) of subsection (2) of this section are satisfied as respects land which constitutes or forms part of the hereditament—

(a) if apart from this provision a value payment would be payable in respect of the damage, so much of the payment and of the interest thereon as is attributable to the proprietary interest held for charitable or ecclesiastical purposes shall not be paid, but the Commission may if they think fit make in lieu thereof a payment of such amount, to such person and subject to such conditions, as they may in their discretion determine after consultation with such persons or bodies (including, in the case of an interest in respect of which there is a one-third net liability for contribution, the owner thereof) as appear to them to be appropriate having regard to the nature of the purposes for which that interest is held;

(b) if apart from this provision a payment of cost of works would be payable in respect of the damage, the Commission may in their discretion after such consultation as aforesaid, and, if the proprietary interest held for charitable or ecclesiastical purposes was not the only proprietary interest in the hereditament, after consultation with the owners of the other proprietary interests

PART I.
—*cont.*

therein, determine either to make the payment, or to make in lieu thereof, or of any part thereof, a payment of such amount, to such person and subject to such conditions as they may determine, or not to make any payment in respect of the damage ;

- (c) in respect of the cost of any works reasonably executed for temporarily meeting the circumstances created by the damage as to which, in consequence of the preceding provisions of this subsection, the provisions of subsection (2) of section six of this Act do not have effect, the Commission may make to the person by whom such cost is incurred such payment as appears to them to be requisite in order to confer upon him the like benefit as he would have had under the provisions of that subsection.

(5) If and so long as land normally used as mentioned in paragraph (b) of subsection (2) of this section is temporarily diverted from such use by reason of circumstances arising from war, the land shall be deemed for the purposes of this section to be used as it is normally used.

(6) A proprietary interest held—

- (a) by a body having power to levy a rate or to issue a precept to a rating authority, or to issue a certificate or other document requiring payment from a county or town council in Scotland, for purposes for which it has that power ;
- (b) by a Government department, for purposes for which public moneys may be applied ; or
- (c) by any person, if the expense of executing repairs on the land is defrayed wholly out of moneys being either moneys raised by rates or public moneys,

shall not be treated for the purposes of this section as held for charitable or ecclesiastical purposes.

(7) Any question arising in giving effect to the provisions of this section as to whether the conditions specified in paragraphs (a) and (b) of subsection (2) of this section are satisfied as respects any land at any time, or as to whether, or as to the extent to which, a proprietary interest is held for, or land is used for or in connection with, the purposes of the advancement of education, learning, science or research, shall be determined by the Commission :

Provided that the provisions of subsection (3) of section thirty-two of this Act as to appeals to the High Court on questions of law shall have effect in relation to a determination of the Commission under this subsection as they have effect in relation to a determination of the Commission under that section.

(8) If any conditions subject to which any sum is paid by the Commission under this section are not complied with, the sum paid shall be recoverable as money had and received to the use of His Majesty.

PART I.
—cont.

70.—(1) If at the relevant date in any year any contributory Land occupied property is occupied mainly or exclusively for the purpose of the carrying on of an undertaking to which this section applies, no instalment of contribution shall be payable for that year in respect of that property. for purposes of certain undertakings: payments and contributions.

(2) Such contributions towards the expense of making payments in respect of war damage shall be made in respect of properties to which subsection (1) of this section applies as Parliament may hereafter determine.

(3) If immediately before the occurrence of war damage to a hereditament the hereditament is occupied mainly or exclusively for the purpose of the carrying on of an undertaking to which this section applies, no payment shall be made in respect of the damage under the preceding provisions of this Part of this Act, but—

(a) such payments shall be made in respect of war damage to hereditaments as respects which this subsection has effect as Parliament may hereafter determine; and

(b) the Commission may make to the persons carrying on the undertakings in question payments towards the cost of works certified by the appropriate department to be urgently required for meeting the circumstances created by war damage to hereditaments in respect of which this subsection has effect, and any payments so made shall be taken as made in part satisfaction of the payments to be made as mentioned in paragraph (a) of this subsection.

(4) The undertakings to which this section applies are—

(a) public utility undertakings;

(b) except in so far as Parliament may hereafter determine, any undertaking of such a character that the valuation for rating purposes of hereditaments in which the undertaking is carried on is made by reference to the accounts, receipts, profits or output of the undertaking;

(c) any other undertaking to which Parliament may hereafter determine that this section shall apply.

(5) In this section the expression “public utility undertaking” means any of the following undertakings the carrying on of which is authorised by any enactment, scheme or order, that is to say any railway, light railway, tramway, trolley-vehicle, canal, inland navigation, dock, harbour, quay, pier, lighthouse, gas, electricity, hydraulic power, sewerage, sewage disposal, refuse

PART I.
—cont.

disposal or water undertaking in the United Kingdom, and the undertaking of any drainage authority, except that any undertaking carried on by undertakers who carry on a railway undertaking being a public utility undertaking shall be deemed for the purposes of this section to be part of their railway undertaking.

(6) In this section, the expression "appropriate department" means—

- (a) in relation to any railway, light railway, tramway, trolley-vehicle, canal, inland navigation, dock, harbour, quay, pier or lighthouse undertaking, the Minister of War Transport ;
- (b) in relation to any gas or hydraulic power undertaking, and in relation to any mining or quarrying undertaking, the Minister of Fuel and Power ;
- (c) in relation to any electricity undertaking, the Electricity Commissioners ;
- (d) in relation to any sewerage, sewage disposal, refuse disposal or water undertaking, the Minister of Health ;
- (e) in relation to the undertaking of a drainage authority, the Minister of Agriculture and Fisheries ;
- (f) in relation to any other undertaking, such Government department as the Treasury may determine ;

20 & 21 Geo. 5. c. 44. and the expression "drainage authority" has the same meaning as in the Land Drainage Act, 1930.

1 Edw. 8 and 1 Geo. 6. c. 28. (7) In the application of this section to Scotland, the reference in paragraph (a) of the last preceding subsection to the Minister of War Transport shall be construed, in relation to a harbour, quay or pier undertaking to which Part III of the Harbours, Piers and Ferries (Scotland) Act, 1937, applies, as a reference to the Secretary of State.

(8) In this section, in its application to Northern Ireland, the expression "appropriate department" means—

- (a) in relation to any railway, light railway, tramway, trolley-vehicle, sewerage, sewage disposal, refuse disposal or water undertaking, or any drainage authority, the Ministry of Home Affairs for Northern Ireland ;
- (b) in relation to any canal, inland navigation, dock, harbour, quay, pier, gas, hydraulic power or electricity undertaking and in relation to any mining or quarrying undertaking, the Ministry of Commerce for Northern Ireland ;
- (c) in relation to any lighthouse undertaking, the Minister of War Transport ;
- (d) in relation to any other undertaking, such Government department as the Ministry of Finance for Northern Ireland may determine ;

and the expression "drainage authority" means a county council acting as a drainage authority under the Drainage Acts (Northern Ireland), 1925 to 1942.

PART I.
—cont.

71.—(1) No payment shall be made under the preceding provisions of this Part of this Act in respect of war damage to a highway maintainable at the public expense. Highways:
payments and
contributions

(2) Payments shall be made by the Commission to highway authorities in accordance with, and subject to the provisions of, a scheme made by the Treasury, after consultation with such associations of local authorities as appear to them to be concerned, in respect of war damage to such highways as aforesaid occurring during the risk period, and contributions towards the expense of making such payments shall be made by the councils of counties and county boroughs at such rates and in such manner as may be provided by the scheme.

The contributions aforesaid shall be expenses for general county purposes as well in the case of the London County Council as of the councils of other counties.

(3) The contributions aforesaid shall be payable by five interim annual instalments, becoming due in the year nineteen hundred and forty-one and each of the four subsequent years, and a final instalment.

(4) The provision to be made by the scheme in relation to the contributions aforesaid shall be such as to secure, as nearly as may be, by reference to estimates of the relevant amounts—

(a) that the aggregate of the contributions shall bear to the payments made under subsection (2) of this section the same proportion as the net receipts of the Exchequer under the provisions of this Part of this Act (calculated in accordance with paragraphs (a), (b) and (c) of subsection (5) of section eighty of this Act) bear to the payments in respect of war damage made under the provisions of this Part of this Act (calculated as aforesaid); and

(b) that each interim instalment, and the final instalment, to be paid by the council of any county or county borough shall bear to the aggregate of the corresponding interim instalments, or of the final instalments, as the case may be, to be paid by all such councils, such proportion as may be prescribed by the scheme.

(5) The scheme may provide for the payment by the Minister of War Transport, with the approval of the Treasury, to the councils of counties and county boroughs in Great Britain of grants in respect of the contributions to be made by them under this section not exceeding in the aggregate in the case of any council one half of the contributions to be made by that council.

PART I.
—cont.

Any grants paid by the Minister of War Transport under any provision made by the scheme under this subsection shall be defrayed out of the Road Fund.

(6) The scheme may provide for the making by the Commission to highway authorities of payments in respect of war damage to roads, not being highways maintainable at the public expense, in cases in which works for the making good of war damage thereto are executed by such authorities ; and where a payment has been, or is to be, made under the scheme in respect of any such works, the cost thereof shall not be the subject of a payment under the preceding provisions of this Part of this Act.

(7) Nothing in the three last preceding subsections shall be construed as limiting the generality of the power conferred on the Treasury by virtue of subsection (2) of this section to make by the scheme such provision as to the payments and contributions therein mentioned as appear to them to be requisite.

(8) A scheme made under this section may be amended by a subsequent scheme made thereunder.

(9) A scheme made under this section shall be embodied in an order which shall be laid before the Commons House of Parliament as soon as may be after it is made and shall be of no effect until it has been approved by a resolution of that House.

(10) The fact that works have been executed on a road by a highway authority as mentioned in subsection (6) of this section, or that a payment in respect of such works has been made under the scheme, shall not be treated as relevant for the purposes of the determination of any question arising as to whether the road is maintainable at the public expense.

(11) In this section—

the expression “ highway authority ” does not include the Minister of War Transport ;

the expression “ highway maintainable at the public expense ” means a highway repairable by the inhabitants at large or by a highway authority, and includes any bridge, viaduct or tunnel carrying a highway, and any pedestrian subway or pipe subway, being a bridge, viaduct, tunnel or subway which is repairable by the council of a county, county borough, metropolitan borough or county district, by the Common Council of the City of London, by the mayor and commonalty and citizens of the City of London acting as trustees of the Bridge House Estates, or by the inhabitants of any locality ;

the expression “ road ” includes a footway and a bridle path, and includes any bridge or viaduct carrying a road ;

the expression "bridge" and "viaduct" respectively include the approaches thereto and the abutments thereof, and any works connected with, or ancillary to, the bridge or viaduct ;

the expression "tunnel" includes the approaches thereto and the abutments of such approaches, and any lifts or other works connected with, or ancillary to, the tunnel ;

the expression "pedestrian subway" includes the stairways thereof, the approaches thereto, any public convenience constructed therein, and any works connected with or ancillary to the subway ;

the expression "pipe subway" means any passage or covered way under a road constructed or adapted for the reception of, and affording convenient access to, any mains, pipes, tubes, cables, wires or apparatus, and includes any works connected with or ancillary to the subway.

(12) For the purposes of this section—

- (a) any embankment, embankment wall or retaining wall supporting a highway, and the sides of, and any retaining wall supporting, any cutting enclosing a highway ; and
- (b) a place of refuge in a highway, a lamp, lamp post, or other materials or apparatus affixed on or near a highway for the purpose of illuminating it, and a traffic sign (as defined by subsection (9) of section forty-eight of the Road Traffic Act, 1930) placed on or near a highway either by a highway authority or in accordance with the provisions of a scheme under section eighteen of the Road Traffic Act, 1934 ;

20 & 21 Geo. 5.
c. 43.

24 & 25 Geo. 5.
c. 50.

shall be deemed to form part of the highway.

(13) For the purposes of this section, the London County Council shall be deemed to be a highway authority as respects any highway repairable by the Council and as respects any bridge, viaduct, tunnel or subway repairable by the Council, whether the highway thereon or therein is or is not repairable by the Council.

(14) References in this section to councils of counties shall be construed as including references to the Council of the Isles of Scilly, but contributions made under this section by the said Council shall be general expenses.

(15) In the application of this section to Scotland—

- (a) for any reference to a county borough there shall be substituted a reference to a large burgh within the meaning of the Local Government (Scotland) Act, 1929 ;

19 & 20 Geo. 5.
c. 25

PART I.
—cont.

- (b) for any reference to a county district there shall be substituted a reference to a small burgh within the meaning of the said Act ; and
 - (c) for the purpose of any contribution payable thereunder a small burgh within the meaning of the said Act shall be deemed to be included within the county in which it is situated.
- (16) In the application of this section to Northern Ireland—
- (a) the expression “highway maintainable at the public expense” means a road or street maintainable at the cost of the council of a county, county borough or urban district, and includes any bridge, viaduct or tunnel carrying a road or street, and any pedestrian subway or pipe subway, being a bridge, viaduct, tunnel or subway which is maintainable at the cost of such a council ;
 - (b) the expression “highway authority” means the council of a county, county borough or urban district ;
 - (c) the expression “expenses for general county purposes” means county at large charges ; and
 - (d) for the reference to a traffic sign there shall be substituted a reference to any sign post or other device provided by a highway authority for the guidance or direction of persons using a road or street.

Payments in respect of damage to land, and contributions : special provisions affecting certain persons.

The Crown,
and Govern-
ment depart-
ments; pay-
ments and
contributions.

72.—(1) Instalments of contributions and indemnities in respect thereof shall be paid and given by and to the Crown in respect of any proprietary interest belonging to His Majesty in right of the Crown or the Duchy of Lancaster, or to the Duchy of Cornwall, or belonging to a Government department or held in trust for His Majesty for the purposes of a Government department, as if that interest had belonged to a subject of the realm :

Provided that this subsection shall not apply in relation to an instalment or indemnity in respect of a contributory property (other than a property, or a property of a class, designated for the purposes of this subsection by the Treasury) if at the relevant date every proprietary interest in the property belonged to His Majesty in right of the Crown, or belonged to a Government department or was held in trust for His Majesty for the purposes of a Government department.

(2) No payment shall be made under this Part of this Act in respect of war damage occurring to a hereditament (not being a hereditament, or a hereditament of a class, designated for the purposes of this subsection by the Treasury) if immediately

before the occurrence of the damage every proprietary interest in the hereditament belonged or was held as mentioned in the proviso to the preceding subsection:

(3) The purposes authorised by section twenty-five of the Act of the fifty-seventh year of King George the Third, chapter ninety-seven, for the application of moneys arising by any such sale of annuities standing in the name or to the account of the Duchy of Lancaster as is therein mentioned shall include the discharge of any liability as a direct or indirect contributor.

(4) The purposes authorised by section eight of the Duchy of Cornwall Management Act, 1863, as amended by section one of the Act of the thirty-first and thirty-second years of Queen Victoria, chapter thirty-five, for the advancement of parts of such gross sums as are therein mentioned shall include the discharge of any liability as a direct or indirect contributor.

(5) Any expenses incurred by the Admiralty in discharging any liability as a direct or indirect contributor arising in respect of lands vested in them by virtue of the Greenwich Hospital Act, 1865, or the Naval Knights of Windsor (Dissolution) Act, 1892, or as mortgagees of a direct or indirect contributor arising by reason of an exercise of the powers conferred on them by section forty of the said Act of 1865, may be defrayed out of cash standing to the credit of the Greenwich Hospital capital account; and for that purpose the Admiralty may from time to time convert into money any securities for the time being held by them for the benefit of Greenwich Hospital, and all money produced by any such conversion shall be paid into the Bank of England to the cash account of His Majesty's Paymaster General who shall carry it to the Greenwich Hospital capital account.

(6) A department of the Government of Northern Ireland shall be under the same liabilities as mortgagee of a direct or indirect contributor as a subject of the realm.

73.—(1) The Treasury may, by any general or special directions given by them, authorise the Commissioners of Crown Lands to charge as a principal sum to the account of the capital of the land revenues of the Crown the costs, charges and expenses incurred by them in the execution, on and for the benefit of lands under their management, of works for any of the following purposes, or in any operation incident to or necessary or proper for carrying into effect any of those purposes, or for securing the full benefit of any of those works or purposes, that is to say:—

- (a) the repair of war damage;
- (b) the reconstruction of buildings or works which have sustained war damage;
- (c) the construction of buildings or works in substitution for buildings or works which have sustained war damage, whether on the same site or on a different site.

PART I.
—cont.

(2) The Treasury may, by any general or special directions given by them, authorise the said Commissioners to enter into and carry into effect arrangements for the payment by them of, or for the making by them of advances in respect of, any costs, charges or expenses incurred as aforesaid by other persons, and to charge as aforesaid payments and advances made pursuant to the arrangements.

(3) The Treasury may, if they think fit, direct that any sum paid out of capital in accordance with any such authorisation as aforesaid shall be repaid out of the income of the land revenues of the Crown within such time and by such number of instalments of such amounts respectively as may be specified in the directions :

Provided that, where the said Commissioners are entitled to a payment under this Act in respect of the war damage in question, this subsection shall have effect only as respects the excess (if any) of the sums so paid out of capital over the amount of that payment (excluding any part of it which represents interest).

(4) Any expenses incurred by the said Commissioners in discharging any liability as a direct or indirect contributor may, with the approval of the Treasury, be charged as a principal sum to the account of the capital of the land revenues of the Crown ; but any sum so charged in pursuance of this subsection shall, if the Treasury so direct, be repaid out of the income of the said revenues within such time and by such number of instalments of such amounts respectively as may be specified in the directions.

Local
authorities,
&c. : exclusion
from payments
of grant-aided
air-raid
shelters.

74.—(1) Works executed by a local authority for making good war damage to an air-raid shelter (in this section referred to as " a shelter "), shall not be the subject of a payment of cost of works or of a temporary works payment—

(a) if the shelter is a building or structure erected by a local authority as a shelter, in respect of the erection whereof a grant was payable to the local authority either under the Air Raid Precautions Act, 1937, or by the Minister of Home Security out of moneys provided by Parliament (otherwise than under section twenty-two of the Civil Defence Act, 1939) ; or

(b) if the shelter is comprised in a building and there were executed by a local authority works (being works in respect of the execution whereof a grant was payable as aforesaid) for the purpose of the provision of the shelter, so far as regards works the purpose of the execution whereof is the provision of a shelter.

(2) Works executed by a local authority for making good war damage to a shelter shall not be the subject of a payment of cost of works or of a temporary works payment if the shelter is a building

1 & 2 Geo. 6.
c. 6.

2 & 3 Geo. 6.
c. 31.

or structure which was erected by any person wholly or mainly with materials provided on behalf of His Majesty under the Air Raid Precautions Act, 1937, free of charge.

(3) No value payment shall be made in respect of a hereditament consisting of any such building or structure as is mentioned in paragraph (a) of subsection (1) of this section or in subsection (2) thereof, or which consists of a building or structure erected, wholly at the expense of the Board of Education, for the purpose of affording air raid shelter to pupils attending a school or educational institution, and so much (if any) of the value of a hereditament as is attributable to its comprising or being in the vicinity of—

- (a) a building or structure as to which the conditions specified in paragraph (a) or (b) of the said subsection (1) or in the said subsection (2) are satisfied ; or
- (b) a building or structure erected, wholly at the expense of the Board of Education, for the purpose aforesaid ; or
- (c) a shelter comprised in a building, being a shelter the works necessary for the provision whereof were executed wholly at the expense of the Board of Education,

shall be disregarded.

(4) Any question arising in giving effect to the provisions of this section shall be determined by the Commission :

Provided that the provisions of subsection (3) of section thirty-two of this Act as to appeals to the High Court on questions of law shall have effect in relation to a determination of the Commission under this subsection as they have effect in relation to a determination of the Commission under that section.

(5) In this section—

the expressions “ air raid shelter ” and “ an air raid shelter ” have the same meanings as in the Civil Defence Act, 1939 ;

the expression “ local authority ” means the Common Council of the City of London, the council of a metropolitan borough, the council of a county, county borough or county district, or the Council of the Isles of Scilly.

(6) In its application to Northern Ireland, this section shall have effect with the substitution—

- (a) for references to the Air Raid Precautions Act, 1937, to the Civil Defence Act, 1939, and to section twenty two of that Act, of references respectively to the Air Raid Precautions Act (Northern Ireland), 1938, to the Civil Defence Act (Northern Ireland), 1939, and to section twenty of the last mentioned Act ;

PART I.
—*cont.*

- (b) for references to the Minister of Home Security and to the Board of Education, of references respectively to the Ministry of Public Security for Northern Ireland and to the Ministry of Education for Northern Ireland ;
- (c) for the reference to Parliament, of a reference to the Parliament of Northern Ireland ; and
- (d) for the reference to materials provided on behalf of His Majesty, of a reference to materials provided on behalf of the Crown or of any Government department.

Local
authorities :
payments and
contributions
in respect of
certain
transferred
schools.

11 & 12 Geo. 5.
c. 51.
33 & 34 Vict.
c. 75.
2 Edw. 7. c. 42.

75.—(1) Where an elementary school has been transferred to the local education authority for elementary education under section thirty-eight of the Education Act, 1921, or under section twenty-three of the Elementary Education Act, 1870, and section twenty-five of and the Second Schedule to the Education Act, 1902, or the authority has an interest in the premises of such a school under a lease granted whether by virtue of a scheme made under the Charitable Trusts Acts, 1853 to 1925, or otherwise, the Board of Education may, with the consent of the authority and of the trustees of the school, by order made as respects the whole or any part of the premises of the school direct that the provisions of this Part of this Act relating to the recovery and ultimate incidence of instalments of contributions, and to payments in respect of war damage thereunder, shall apply as if the premises of the school, or the part thereof to which the order relates, as the case may be, were vested in the authority for all the interest therein belonging to the trustees or otherwise held in trust for the school.

(2) In relation to a case where the transfer or lease affects part only of the premises of the school, subsection (1) of this section shall apply as if the references to the premises of the school were references to that part of the premises.

(3) An order made under subsection (1) of this section may, with the consent of the authority and of the trustees, be revoked by an order of the Board of Education either as respects the whole or as respects any part of the land affected by the order revoked ; and an order under the said subsection (1) shall cease to have effect on the termination of the rights of the authority under the transfer or the interest of the authority under the lease :

Provided that the revocation of the order, whether in whole or in part, or its ceasing to have effect, shall not affect any liability in respect of an instalment of contribution falling due in a year the relevant date in which fell before the time when the order was revoked or ceased to have effect, or any right to payment in respect of war damage occurring before that time.

(4) An order made under subsection (1) of this section shall apply as well in relation to an instalment of contribution falling due in a year the relevant date in which fell between the transfer,

or the commencement of the interest of the authority, as the case may be, and the date of the making of the order but not discharged at that date as in relation to an instalment of contribution falling due in a year the relevant date in which falls after that date.

PART I.
—cont.

(5) An order made under this section shall, unless the contrary is shown, be presumed to have been made with the consent of the authority and trustees concerned.

(6) In this section the expression "premises," in relation to a school, has the same meaning as in the Fourth Schedule to the Education Act, 1921; and where successive interests are granted to an authority without any interval between the termination of one and the commencement of the next, the successive interests shall be treated for the purposes of this section as one interest commencing at the commencement of the earliest interest.

(7) In the application of this section to Northern Ireland—

- (a) for the references to an elementary school, to transfer under the enactments mentioned in subsection (1) of this section, to the local education authority for elementary education, and to the Board of Education there shall respectively be substituted references to a public elementary school, to transfer under section fourteen of, and the Second Schedule to, the Education Act (Northern Ireland), 1923, to the education authority within the meaning of that Act, and to the Ministry of Education for Northern Ireland; and
- (b) the expression "premises," in relation to a school, includes the teacher's residence (if any) and any land or buildings held in connection with the school.

76.—(1) Where war damage occurs to any land, and any interest in the land belongs to an ecclesiastical corporation, the Ecclesiastical Commissioners or Queen Anne's Bounty may apply money or securities held by them respectively for the corporation in discharging the cost of any works executed as a matter of urgency for meeting the circumstances created by the damage.

Ecclesiastical corporations :
expenses of
making good
war damage,
and
contributions.

(2) Where a proprietary interest in any contributory property belongs to an ecclesiastical corporation—

- (a) the Ecclesiastical Commissioners or Queen Anne's Bounty may apply any money or securities held by them respectively for the corporation in discharging any liability as a direct or indirect contributor for an instalment of contribution on that property;
- (b) if the interest belongs to a benefice as defined by section forty-seven of the Tithe Act, 1936, Queen Anne's Bounty may make grants out of their corporate funds for or towards the discharge of any such liability as aforesaid;

PART I.

—cont.

17 Geo. 3. c. 53.

- (c) the purposes for which a loan under the Clergy Residences Repair Act, 1776, or the Acts or Measures amending that Act may be made by Queen Anne's Bounty shall include the discharge of any such liability as aforesaid.

National
Trust :
exclusion from
payments and
contributions
as regards
certain land.

77.—(1) The provisions of subsections (2) to (5) of this section shall have effect where the following conditions are satisfied as respects the whole or part of a contributory property at the relevant date in any year, or as respects the whole or part of a hereditament immediately before the occurrence of war damage to the hereditament, that is to say, that the fee simple absolute in possession therein belongs either—

7 Edw. 7.
c. cxxxvi.

- (a) to the National Trust for Places of Historic Interest or Natural Beauty incorporated by the National Trust Act, 1907 ; or

26 Geo. 5 &
1 Edw. 8. c. ii.

- (b) to the National Trust for Scotland for Places of Historic Interest or Natural Beauty incorporated under the National Trust for Scotland Order Confirmation Act, 1935 ;

and is held inalienably by them, and that no tenancy which is a proprietary interest is subsisting therein.

(2) Where the said conditions are satisfied as respects the whole of a contributory property, no instalment of contribution shall be payable in respect of the property for the year in which the relevant date falls.

(3) Where the said conditions are satisfied as respects part of a contributory property, the instalment of contribution in respect of the property falling due in the year in which the relevant date falls shall be apportioned between that part and the rest of the property in such proportions as the Commissioners of Inland Revenue may determine, and—

- (a) the provisions of the last preceding subsection shall have effect as if that part were a separate contributory property ; and
- (b) the provisions of this Part of this Act relating to the recovery and the ultimate incidence of instalments of contributions shall have effect as if the rest of the property were a separate contributory property and as if the part of the instalment apportioned thereto were an instalment in respect thereof.

Any person who is aggrieved by an apportionment made by the Commissioners of Inland Revenue under this subsection may appeal to the Special Commissioners.

(4) Where the said conditions are satisfied as respects the whole of a hereditament, no payment shall be made under this Part of this Act in respect of the damage thereto.

(3) Where the said conditions are satisfied as respects part of a hereditament, any value payment in respect of the damage shall be reduced by such amount as the Commission may determine to be attributable to the damage to that part and the remainder of the value payment shall be paid as if it were a value payment in respect of damage to a separate hereditament consisting of the remainder of the hereditament.

PART I.
—cont.

78.—(1) No claim for any instalment of contribution in respect of any contributory property or for any indemnity in respect of any such instalment shall be maintained by or against a foreign State, the Sovereign of a foreign State, the envoy of a foreign State accredited to His Majesty, a member of the retinue of such an envoy, a person to whom immunities and privileges are for the time being extended under section one or two of the Diplomatic Privileges (Extension) Act, 1941, the High Commissioner for a Dominion (as defined for the purposes of the Statute of Westminster, 1931), India or Southern Rhodesia, or the Agent-General for a state or province forming part of a Dominion (as so defined).

Foreign States
and
Sovereigns,
&c.: exclusion
from
contributions.

4 & 5 Geo. 6.

c. 7.

22 & 23 Geo. 5.

c. 4.

(2) Where at the relevant date in any year any such State or person as aforesaid is the owner of a proprietary interest in the whole or any part of any contributory property, and but for its or his special character as such it or he would have been both—

- (a) under a liability as a direct or indirect contributor in respect of that property for the instalment of contribution falling due in that year; and
- (b) entitled by virtue of this Part of this Act to any indemnity from any landlord or tenant in respect of the said instalment,

the Commissioners of Inland Revenue or other person to whom it or he would have been under that liability shall be entitled to the same rights against that landlord or tenant (and that landlord or tenant against his landlord or tenant, and so on) as the State or person (or, as the case may be, the landlord or tenant) would have been entitled to if the State or person had not been entitled to any special treatment in respect of the instalment by reason of its or his special character as such and had discharged its or his liability as a direct, or, as the case may be, an indirect, contributor as soon as the liability became enforceable.

(3) Where at the relevant date in any year any such State or person as aforesaid is the owner of a proprietary interest in the whole or any part of a contributory property, and under the preceding provisions of this section the amount of the indemnities which any other person having a proprietary interest in the property or any part thereof is entitled to claim in respect of the instalment of contribution falling due in that year is reduced by reason of the special character as such of the State or person

PART I.
—cont.

aforesaid, the Commissioners of Inland Revenue shall give to that other person such relief, whether by repayment or otherwise, as will make good the amount of the reduction.

References in this Part of this Act to any indemnity to which any person is, or would have been, entitled in respect of an instalment of contribution shall be construed as including a reference to any relief to which he is, or would have been, entitled under this subsection.

(4) Where a proprietary interest in the whole or any part of a contributory property is held upon trust for the benefit of any such State or person as aforesaid only, the preceding provisions of this section shall have effect in relation to that interest and (so far as regards that interest) in relation to the person by whom it is so held as they have effect in relation to a proprietary interest in the ownership of such a State or person and to such a State or person.

Payments in respect of damage to land, and contributions : financial provisions.

Payments to be made out of moneys provided by Parliament and contributions to be paid into Exchequer.

79.—(1) Payments by the Commission in respect of war damage, and payments of interest on value payments and on payments to be made under section eighteen of this Act, shall be made out of moneys provided by Parliament.

(2) All sums received by the Commissioners of Inland Revenue under this Part of this Act shall be paid into the Exchequer.

Increase or reduction of contributions.

80.—(1) The Treasury may from time to time (whether during, or after the expiration of, the risk period) make estimates of the expected net receipts of the Exchequer under this Part of this Act on the one hand and the expected payments under this Part of this Act on the other hand.

(2) If on any such estimate it appears that the said expected net receipts fall short of half of the said expected payments, the Treasury may (whether or not any previous order has been made under this section) by order—

- (a) increase the number of instalments ;
- (b) increase the proportion which each remaining instalment is to bear to the contributory value ; or
- (c) increase both that number and that proportion,

to such extent as will in their opinion make good the deficiency :

Provided that an order increasing the said proportion shall be so made as to secure that the proportion in the case of contributory properties to which section forty-three of this Act applies is always one-quarter of the proportion in the case of other contributory properties.

(3) An order under this section shall be of no effect until it has been approved by a resolution of the Commons House of Parliament.

PART I.
—cont.

(4) If on such an estimate as aforesaid the said expected net receipts exceed the said expected payments, such provision shall be made for the reduction of the receipts as Parliament may determine.

(5) In estimating net receipts and payments under this section—

- (a) there shall be left out of account contributions and payments made in accordance with section sixty-nine, seventy or seventy-one of this Act ;
- (b) any sums which, in accordance with any of the provisions of this Act, are discharged by a credit in account in lieu of being paid by the Commission, shall be included among the payments ;
- (c) where a value payment is reduced by any amount in respect of instalments of contribution, the net receipts shall be calculated as if that amount had been actually received, and the payments shall be computed as if the reduction in the value payment had not been made.

81. The Treasury shall, in relation to each financial year, cause to be prepared statements of payments made by the Commission, and of sums recovered by the Commissioners of Inland Revenue, under this Part of this Act during that year, and shall on or before the thirtieth day of November next following the expiration of that year lay copies thereof before both Houses of Parliament.

Annual
statement of
receipts and
payments
under Part I.

82. All expenses incurred for the purposes of this Act by the Commissioners of Inland Revenue, and any expenses incurred by the Public Works Loan Commissioners in discharging any liability as mortgagees of a direct or indirect contributor, shall be defrayed out of moneys provided by Parliament.

Expenses of
Commissioners
of Inland
Revenue and
of Public
Works Loan
Commis-
sioners.

PART II.

GOODS : INSURANCE AGAINST WAR DAMAGE.

The insurance schemes.

83.—(1) The Board of Trade may operate two insurance schemes (in this Part of this Act referred to as "the schemes"), that is to say—

Insurance
schemes.

- (a) a scheme, in this Part of this Act referred to as "the business scheme", whereby the Board undertake the

PART II.
—cont.

liability of insuring persons carrying on business against war damage to the goods specified in the next succeeding section as being goods which, in relation to those persons respectively, are insurable under the business scheme ;

- (b) a scheme, in this Part of this Act referred to as " the private chattels scheme ", whereby the Board undertake the liability of insuring any persons (whether carrying on business or not) against war damage to the goods specified in the said section as being goods which, in relation to those persons respectively, are insurable under the private chattels scheme.

(2) Each of the schemes shall be such as to secure that, subject to the provisions of this Act,—

- (a) the extent and nature of the indemnity provided by the Board of Trade as insurers under the scheme, and the cases in which and the conditions subject to which that indemnity is provided, are determined by a policy of insurance issued in the prescribed form by a person acting on behalf of the Board ;
- (b) there are payable under the policy such premiums as may be prescribed,

and different forms of policy and different premiums may be prescribed in relation to different classes of cases, and any prescribed form of policy may be such as to incorporate by reference provisions set out in the order prescribing the form :

Provided that the Board of Trade shall have power, with the consent of the Treasury, in any case where it appears to the Board to be just and equitable so to do, to refund the whole or any part of any sum paid to them by any person by way of premium under either of the schemes, or to remit payment of any part of any sum so payable by any person.

(3) The War Damage Commission shall exercise such functions for the purposes of this Part of this Act as the Board of Trade may, with the approval of the Treasury, direct.

(4) Stamp duty shall not be chargeable in respect of any policy of insurance issued in pursuance of either of the schemes.

84.—(1) Subject to the provisions of subsection (4) of this section, the goods insurable under the business scheme in relation to any person carrying on business are all goods situated in the United Kingdom—

- (a) which are in his possession (whether he owns them or not) and are held or used by him wholly or mainly for the purposes of that business ; or

Goods
insurable
under the
schemes.

- (b) which, though not in his possession, are owned by him in the course of that business ; or
- (c) which are the subject of a mortgage in his favour which he holds in the course of that business.

(2) For the purposes of this Part of this Act, the carrying on of any activity by a corporation or unincorporated body of persons shall be deemed to be the carrying on of a business :

Provided that goods which would, apart from this proviso, be insurable under the business scheme in relation to a corporation sole or a body of persons who are trustees, and would be so insurable by virtue only of this subsection, shall, in such cases as may be prescribed, be deemed not to be insurable in relation to the corporation or body of persons under the business scheme.

(3) Subject to the provisions of the next following subsection, the goods insurable under the private chattels scheme in relation to any person are all goods situated in the United Kingdom which are not, in relation to him, insurable under the business scheme and are either—

- (a) owned by him or in his possession ; or
- (b) owned by, or in the possession of, a member of his household ordinarily resident with him or a domestic servant of his :

Provided that no goods shall be insurable in relation to any person under the private chattels scheme as being goods owned by, or in the possession of, such a member or servant as aforesaid unless they are insurable under the private chattels scheme in relation to that member or servant.

(4) The following goods shall not, in relation to any person, be insurable under either of the schemes :—

- (a) any goods as respects which that person is, or could be, insured under Part II of the War Risks Insurance Act, 2 & 3 Geo. 6. 1939 ; c. 57.
- (b) any ship other than a vessel used solely in docks, ports, estuaries, rivers or other inland waters or inland waterways ;
- (c) the machinery, tackle and furniture of any ship other than such a vessel as aforesaid, so long as the machinery, tackle or furniture is in the ship ;
- (d) any goods which are for the time being insured or re-insured by the Minister of War Transport under Part I of the said Act ; or
- (e) any goods in the possession of, or held at the disposal of, a Government department or any other person on behalf of His Majesty, so long as the owner of the goods is entitled, and, in the case of goods being a vehicle or

PART II.

—*cont.*2 & 3 Geo. 6.
c. 75.

aircraft, is entitled otherwise than by virtue of the Compensation (Defence) Act, 1939, to be indemnified by the Crown against war damage to the goods.

For the purposes of this subsection, a vessel shall be deemed to be used solely in the manner specified in paragraph (b) thereof notwithstanding that it may be used otherwise on any special occasion, or so long as any use to which it is put otherwise than in the manner specified in the said paragraph (b) is incidental only to its being used in the said manner.

(5) For the purposes of this section, where any goods are consigned from a port in the United Kingdom to any other such port in a vessel which in its transit between those ports is not due to call at any port outside the United Kingdom, the goods shall at all times during the transit be deemed to be situated in the United Kingdom.

Time for
payment of
losses under
the
schemes.

85.—(1) Subject to the provisions of subsection (2) of this section, the times at which payments by the Board of Trade under either of the schemes may be made in any class of cases shall be such times as may be specified in regulations made by the Treasury, either generally or in relation to that class of cases.

(2) Notwithstanding anything in subsection (1) of this section—

(a) the Board of Trade may make the whole or any part of any particular payment under either of the schemes in respect of the destruction of or damage to any goods at an earlier date than would be allowable under subsection (1) of this section if they are satisfied either that the replacement or repair of the goods destroyed or damaged is expedient in the public interest or that it is expedient that the payment, or that part thereof, should be made to avoid undue hardship ; and

(b) the Board of Trade may make a payment under either of the schemes at an earlier date than would be allowable under subsection (1) of this section if the amount claimed does not exceed such sum as may be prescribed in relation to the scheme in question and they are satisfied that the total sum claimable under the policy in question in respect of all war damage which in their opinion should be included in the same claim does not exceed the said prescribed sum.

(3) Where the whole or any part of a payment in respect of the destruction of or damage to any goods is made on an earlier date than would be allowable under subsection (1) of this section, and is so made by virtue of paragraph (a) of the last preceding subsection, the Board of Trade may impose conditions restricting

the manner in which the sum paid may be applied in the replacement or repair of the goods destroyed or damaged, and if in the application as aforesaid of the whole or any part of the sum paid any conditions imposed under this subsection are not complied with, the sum or the part thereof in question shall be recoverable as money had and received to the use of His Majesty.

PART II.
—cont.

(4) Without prejudice to the power of the Board of Trade to impose conditions under the last preceding subsection, where the whole or any part of a payment in respect of the destruction of or damage to any goods is made on an earlier date than would be allowable under subsection (1) of this section, and is so made by virtue of the Board of Trade being satisfied that the replacement or repair of the goods is expedient in the public interest, the Board may impose conditions requiring that the sum paid shall be applied in or towards the replacement or repair of the goods, or shall be so applied within such time as the Board may specify, and if any such condition is not complied with the sum paid shall be recoverable as money had and received to the use of His Majesty.

(5) Except in so far as a payment in respect of war damage under either of the schemes is, by virtue of the provisions of subsection (2) of this section, made at an earlier date than would be allowable under subsection (1) of this section, interest at the rate of two and a half per cent. per annum shall accrue on the payment from the time of the occurrence of that damage, and shall be payable when the payment is made.

Special provisions as to business scheme.

86.—(1) Subject to the provisions of this subsection, where, after such date as may be prescribed, any person carries on in the United Kingdom any business, not being a farming business, then if at any time, in respect of any goods which are insurable in relation to him under the business scheme and are so insurable by virtue of the carrying on by him in the United Kingdom of any business not being a farming business, there is not in force a policy of insurance issued in accordance with that scheme whereby he is insured, in respect of all such goods, for a sum not less than the value thereof for the time being, he shall be guilty of an offence under this section:

Insurance
under
business
scheme to
be com-
pulsory.

Provided that—

- (a) nothing in this subsection shall require any person to be insured under the business scheme if and so long as the value of all goods which are for the time being insurable in relation to him under the business scheme, excluding goods of a description for the time being prescribed under paragraph (c) of this proviso, and are

PART II.
—cont.

so insurable by virtue of the carrying on by him in the United Kingdom of any business not being a farming business, does not exceed such sums as may be prescribed ;

- (b) the Board of Trade may by order exempt any classes of persons from the provisions of this subsection ;
- (c) this subsection shall not operate so as to require any person to be insured under the business scheme in respect of goods of such descriptions as may be prescribed.

(2) Subject to the provisions of this subsection, where, after such date as may be prescribed, any person carries on any farming business in the United Kingdom, then if at any time, in respect of any goods which are insurable in relation to him under the business scheme by virtue of the carrying on by him of that business, there is not in force a policy of insurance issued in accordance with that scheme whereby he is insured in respect of such goods for an amount not less than such sum as is hereinafter mentioned, he shall be guilty of an offence under this section :

Provided that—

- (a) nothing in this subsection shall require any person to be insured under the business scheme so long as the net assessment of the farm for the purposes of Schedule A for the time being in force does not exceed such amount as may be prescribed ;
- (b) the Board of Trade may by order exempt any classes of persons from the provisions of this subsection.

(3) Where by virtue of the proviso to subsection (1) or the proviso to subsection (2) of this section any person is exempted, either generally or as respects any description of goods, from the obligation to insure under the business scheme, any goods insurable in relation to him under that scheme as respects which he is so exempted may, in such circumstances and to such extent as may be prescribed and so long as he is so exempted as respects those goods, be treated for the purposes of the private chattels scheme as if they were insurable in relation to him under that scheme.

(4) The sum referred to in subsection (2) of this section is—

- (a) subject to the next succeeding paragraph, that multiple of ten pounds which is nearest to the prescribed multiple of the net assessment of the farm for the purposes of Schedule A for the time being in force ;
- (b) where the prescribed multiple of the said net assessment is a multiple of five pounds but not a multiple of ten pounds, the amount of the said prescribed multiple reduced by five pounds.

(5) In relation to a person carrying on a farming business who is a tenant of the whole or any part of the farm, subsections (2) and (4) of this section shall have effect as if for any reference to the net assessment of the farm for the purposes of Schedule A for the time being in force there were substituted a reference—

- (a) where the person in question is a tenant of the whole of the farm, to the annual rent for the time being payable in respect of the farm ;
- (b) where he is a tenant of part of the farm, to the aggregate of the annual rent for the time being payable in respect of that part of the farm and the net assessment of the remainder of the farm for the purposes of Schedule A for the time being in force.

(6) Where, under the prescribed form of policy, the maximum amount recoverable in respect of any goods is, irrespective of the sum insured, less than the value of those goods, subsection (1) of this section shall have effect in relation to those goods as if that maximum amount were their value.

(7) Any person guilty of an offence under this section shall be liable on summary conviction to a fine not exceeding one hundred pounds and to a further fine not exceeding fifty pounds for every day on which the contravention continues.

(8) Proceedings for an offence under this section shall not, in England or Northern Ireland, be instituted except by or with the consent of the Board of Trade.

(9) In this section—

the expression “farming business” means a business carried on by any person wholly or mainly in connection with the occupation by him of agricultural land ;

the expression “the farm,” in relation to any farming business, means the aggregate of the agricultural land occupied in connection with the carrying on of the business, together with any agricultural buildings occupied with the land ; and

the expression “net assessment” means the full annual value as ascertained for the purposes of an assessment under Schedule A, less any sums on which relief was allowed under Rules 1, 4 and 7 of No. V of Schedule A or subsection (6) of section thirteen of the Tithe Act, 1936, and less any sums on which relief would have been allowable in respect of an annuity under section four of the Tithe Act, 1918, or of payments in respect of the redemption or reduction of an annuity under the Tithe Act, 1936, if relief in respect of so much of such an

PART II.
—cont.

annuity or such payments as represents interest were in all cases given by reduction of an assessment under Schedule A in lieu of being given by a right of deduction of tax.

(10) In the application of this section to Scotland, the expression "net assessment" means the full annual value as ascertained for the purposes of an assessment under Schedule A, less any such sums as are mentioned in the definition of "net assessment" in subsection (9) of this section and also less the amount of the stipend payable in respect of the farm during the year for which such assessment was in force.

(11) In the application of this section to Northern Ireland, for any reference in subsection (2) or (4) to the net assessment of the farm for the purposes of Schedule A there shall be substituted a reference to the net annual value of the farm, and subsection (5) shall not have effect.

Power of
Board of
Trade to
obtain in-
formation.

87.—(1) Any person authorised in that behalf by the Board of Trade may at all reasonable times, on producing sufficient documentary evidence of his authority, enter any premises occupied by any person carrying on any business in the United Kingdom for the purpose of that business and may inspect the premises and request any person found therein who is for the time being in charge thereof, or in control of the business carried on therein, to produce to him and allow him to examine such accounts, books and other documents and to furnish to him such information as he may reasonably require for the purposes of ascertaining whether or not, and, if so, to what extent, the person carrying on the business is insured under the business scheme in respect of goods which are insurable under that scheme in relation to him in connection with that business, and of ascertaining the value of any goods so insurable and the maximum amount which would be recoverable in respect of any such goods under a policy issued under that scheme if those goods were all totally destroyed.

(2) Where—

(a) under paragraph (a) of subsection (2) of section eighty-five of this Act a payment in respect of the destruction of or damage to any goods has been made under either of the schemes at an earlier date than would be allowable under subsection (1) of that section, and the Board of Trade have imposed conditions as to the application of the sum paid; and

(b) a person authorised by the Board of Trade for the purposes of this subsection has reason to believe that there are on any premises any goods acquired with the proceeds of the payment to replace the goods destroyed, or any

goods repaired out of the proceeds of the payment, or, where the conditions require the replacement or repair of the goods, whether within a specified time or not, that if goods have been acquired or repaired as aforesaid they would be on any premises,

PART II.
—cont.

the powers conferred by the preceding subsection shall be exercisable by that person in relation to those premises for the purpose of ascertaining whether or not the said conditions have been complied with as they are exercisable by a person authorised in that behalf by the Board of Trade in relation to such premises, and for such purposes, as are mentioned in that subsection.

(3) If any person wilfully obstructs any person in the exercise of his powers under this section or fails without reasonable excuse to comply with a request made thereunder, he shall, in respect of each occasion on which any such obstruction or failure takes place, be guilty of an offence and liable on summary conviction to a fine not exceeding fifty pounds.

(4) If any person in purporting to comply with his obligations under this section knowingly or recklessly makes a statement false in a material particular, he shall be guilty of an offence and liable on summary conviction to imprisonment for a term not exceeding three months or to a fine not exceeding one hundred pounds or to both such imprisonment and such fine.

Any proceedings under the Summary Jurisdiction Acts in respect of an offence against this subsection may be commenced at any time before the expiration of six months after the first discovery of the offence by the Board of Trade.

(5) Where in any proceedings in respect of a contravention of the last preceding section in relation to any business it is proved in relation to that business—

- (a) that a demand for the production of a policy of insurance issued in accordance with the business scheme insuring the person carrying on the business was duly made under this section and was not complied with; and
- (b) that the person making the demand was not satisfied that there was such a policy in existence,

it shall be presumed, except in so far as the contrary is proved, that the said section was being contravened in relation to that business at the time when the demand was made and continued to be contravened in relation to that business at all times thereafter.

(6) Proceedings for an offence against this section shall not, in England or Northern Ireland, be instituted except by or with the consent of the Board of Trade.

PART II.
—cont.Graduated
premiums under
private chattels
scheme.*Special provisions as to private chattels scheme.*

88. The premiums prescribed for insurance under the private chattels scheme may be such as to secure that the rate of premium varies in such manner as may be prescribed for any prescribed increase in the amount insured by any person.

Limitation of
indemnity
provided
under private
chattels
scheme.

89. Without prejudice to the generality of the power of the Board of Trade to determine the extent and nature of the indemnity provided under the private chattels scheme—

- (a) any prescribed form of policy under that scheme shall contain provisions securing that no indemnity shall be given in excess of such sum as may be specified in the policy ; and
- (b) the indemnity provided by any prescribed form of policy under the private chattels scheme in respect of the destruction of or damage to goods of any description specified in the policy shall be limited in such manner as may be so specified.

Rights
under
insurance
on goods of
members of
household
or servants.

90. A person may recover on an insurance effected by him under and in accordance with the private chattels scheme on goods owned by or in the possession of a member of his household or a domestic servant of his notwithstanding that he has himself no insurable interest in the goods, but where a person recovers as aforesaid in respect of any such goods in which he has no insurable interest, he shall hold the net amount recovered on trust for the member or servant in question.

Power to refuse
applications
for insurance
under private
chattels scheme.

91. The Board of Trade may, if they think fit, refuse any application for the issue of a policy under the private chattels scheme.

*Special provisions as to certain goods.*Goods
pertaining to
places of
worship.

92. Where—

- (a) war damage has occurred to goods pertaining to a church, chapel or certified place of meeting for religious worship of any denomination, being goods in respect of which a policy has been issued under the business scheme ; and
- (b) a representative body of that denomination, whether central or not, has made application to the Board of Trade, either as respects that policy or as respects any class of policies comprising that policy, that any payment thereunder in respect of the goods should, in lieu of being made to the person insured, be made to a body of persons specified in the application,

the Board of Trade may, if they think fit and after consultation with the person insured under the policy and any other persons

appearing to the Board to be interested, give effect to the application. PART II.
—cont.

93.—(1) Where a ship falling within paragraph (b) of subsection (4) of section eighty-four of this Act is or has been laid up for any period, the Board of Trade may, if they think fit, as respects any period while the ship is or was laid up as respects which the Board are satisfied, that the laying up of the ship during that period is or was not contrary to the national interest, disregard the operation of the said paragraph (b) in relation to the ship, and the operation of paragraph (c) of the said subsection (4) in relation to the machinery, tackle and furniture of the ship, both for the purposes of the schemes and for the purposes of section ninety-five of this Act: Sea-going ships, while laid up.

Provided that nothing in this subsection shall impose on any person any obligation to be insured.

(2) Where the Board of Trade have before the passing of the War Damage (Amendment) Act, 1942, issued any policy of insurance against war damage in respect of a ship, or the machinery, tackle and furniture of a ship, in relation to which the Board are authorised by this section to disregard the operation of the said paragraph (b) or (c), the Board may make payments in accordance with the terms of the policy. 5 & 6 Geo. 6.
c. 28.

94.—(1) The Board of Trade may undertake the liability of insuring, under the business scheme, persons owning growing trees which are goods within the meaning of this Act, but which are owned by them otherwise than in the course of a business, against war damage to such trees owned by them, in like manner as if the trees had been owned by them in the course of a farming business. Growing trees owned otherwise than in course of business.

(2) In this section the expression "farming business" has the same meaning as in section eighty-six of this Act.

Power to make payments otherwise than under policies.

95.—(1) The Board of Trade, acting in accordance with regulations made by the Treasury, may make payments to a person in respect of war damage to goods which, when the damage occurred, were insurable in relation to him under either of the schemes, or would have been so insurable if the scheme in question had then been in force, whether or not that person was insured under either of the schemes. Payments otherwise than under policies.

(2) In so far as they relate—

(a) to payments to a person in respect of war damage to goods insurable in relation to him under the business scheme, being damage occurring after the coming into operation of that scheme; or

(b) to payments in respect of war damage to a ship, or the machinery, tackle or furniture thereof, authorised by section ninety-three of this Act,

PART II.
—cont.

regulations under this section may be made so as to have effect as from such date, whether before or after the passing of the War Damage (Amendment) Act, 1942, as may be specified in the regulations.

(3) Regulations made under this section may provide for applying the provisions of section ninety-two of this Act to payments made under this section in respect of such goods as are mentioned in that section; and such regulations, in so far as they so provide, may be made so as to have effect as from such date, whether before or after the passing of the War Damage (Amendment) Act, 1942, as may be specified in the regulations.

General provisions relating to Part II.

Premiums to
be treated
as capital
outgoings.

96.—(1) Premiums paid under policies issued under either of the schemes operated under this Part of this Act shall be treated for all purposes as outgoings of a capital nature.

(2) A provision contained in any will, settlement or other instrument (including an enactment), whether executed or coming into operation before or after the passing of this Act, to the effect that outgoings (by whatever word described) are to be discharged out of income, or by a person entitled to income or to a right of possession or residence in the capacity of a beneficiary under a trust, shall not have effect in relation to any such premium as aforesaid, except in a case in which an intention that it should have effect in relation thereto, or in relation to a class of outgoings within which the premium falls, appears from terms of the instrument other than the generality of the reference therein to outgoings.

Minimum sum
for payments
under policies.

97. No payment under either of the schemes shall be made in respect of war damage to goods insurable under the scheme in question which appears to the Board of Trade to have occurred on any occasion if the amount recoverable under the scheme in respect of the damage is less than two pounds.

Restriction of
assignments.

98. An assignment, whether absolute or by way of charge, of the right to a payment under either of the schemes or of any part of such a payment, other than an assignment which does not affect any beneficial interest in such a payment or in any part of such a payment, shall be of no effect until it has been approved in writing by the Board of Trade.

Annual
statement
of receipts
and
payments
under
Part II.

99. With respect to each of the schemes, the Board of Trade shall prepare, in such form and manner as the Treasury may direct, a statement of the sums received, and of the payments made, by the Board in each financial year, and shall, on or before the thirtieth day of November next following the expiration of that year lay copies thereof before both Houses of Parliament :

Provided that if the Treasury certify that in the interest of the defence of the realm or the efficient prosecution of any war in which His Majesty may be engaged it is inexpedient that copies of the statements for any year should be laid before Parliament, those copies shall not, so long as the certificate remains in force, be so laid.

PART II.
—cont.

100. All expenses incurred for the purposes of this Act by the Board of Trade shall be defrayed out of money provided by Parliament, and all sums received by the Board of Trade under this Act shall be paid into the Exchequer. Expenses and receipts of Board of Trade.

101.—(1) The Board of Trade may employ or authorise the employment of persons to act as their agents for any of the purposes of the schemes and may pay the persons so employed such remuneration (if any) as the Board may, with the approval of the Treasury, determine, and such expenses incurred by the said persons as the Board and the Treasury may approve shall be defrayed by the Board. Employment of agents by Board of Trade.

(2) The objects of the body incorporated by Lloyd's Act, 1871, shall include the carrying on of business as agents of the Board of Trade for any of the said purposes. 34 & 35 Vict. c. xxi.

102.—(1) The Board of Trade may by order prescribe anything which is by this Part of this Act required or authorised to be prescribed. Orders of Board of Trade for purposes of Part II.

(2) Any power conferred by this Part of this Act to prescribe a sum includes power to prescribe different sums in relation to different classes of cases, and, in the exercise of any power so conferred to prescribe any class of persons or description of goods, the persons or goods may be described by reference to any circumstances whatsoever.

PART III.

GENERAL PROVISIONS.

Definition of "land," "goods" and "owner."

103.—(1) In this Act, unless the context otherwise requires, the expression "land" has the meaning assigned to it by the following provisions of this section. Definition of "land."

(2) The said expression means land in the United Kingdom.

(3) The said expression includes any buildings or works situated on, over or under land, other than plant or machinery excluded by subsection (6) of this section :

Provided that the said expression does not include any works used mainly or exclusively for the exhibition of advertisements and comprised in any property as respects which subsection (2) of section thirty-nine of this Act has effect by virtue of paragraph (a) of that subsection.

PART III.
—*cont.*

(4) The said expression includes anything which, on a valuation for rating purposes for the time being in force made by reference to the accounts, receipts, profits or output of an undertaking, was treated as the subject of an occupation enjoyed by the person carrying on the undertaking.

15 & 16 Geo. 5.
c. 90.

(5) The said expression includes, in relation to land not comprised in a hereditament for rating purposes which is the subject of such a valuation as is mentioned in the last preceding subsection, such plant and machinery as would, if the land were a hereditament to which section twenty-four of the Rating and Valuation Act, 1925, applied, be by virtue of the provisions of that section and of the Plant and Machinery (Valuation for Rating) Order, 1927, deemed for the purposes mentioned in subsection (1) of the said section twenty-four to be a part of the land, or, where the land is a hereditament to which the said section twenty-four applies, such plant and machinery as is so deemed for those purposes to be a part of the land.

(6) The said expression does not include any plant or machinery other than such as is included by virtue of subsection (4) or subsection (5) of this section.

(7) The said expression does not include any crop, whether grown for food or not, and does not include trees, except trees forming part of a hedge and trees whose value for shelter or amenity is greater than their value for felling or for the growing of fruit for sale.

(8) This section shall have effect, in its application to Scotland and Northern Ireland, as if the Act and Order mentioned in subsection (5) thereof applied to those countries respectively.

Definition
of "goods."

104. In this Act, unless the context otherwise requires, the expression "goods" includes all corporeal property neither falling (whether generally or in relation to any particular land) within the meaning assigned to the expression "land" by the last preceding section, nor deemed for the purposes of section seventy-one of this Act to form part of a highway:

Provided that the said expression does not include money, negotiable instruments, securities for money, evidences of title to any property or right or of the discharge of any obligation, or any documents owned for the purposes of a business.

Definition of
"owner" of
proprietary
interest or
rentcharge.

105.—(1) Subject to the provisions of this section, references in Part I of this Act to the owner of a proprietary interest or rentcharge shall be construed as references to the person in whom the legal estate in respect of the interest or rentcharge is vested, or, if the interest is a tenancy under an agreement for a lease or underlease, or a rentcharge being an equitable interest, to the person entitled to have vested in him the legal term agreed to be created or the legal estate in the rentcharge, as the case may be.

(2) Where the legal estate or the title thereto, as the case may be, in respect of a proprietary interest or rentcharge is vested in the official trustee of charity lands or other trustee on or for charitable, ecclesiastical or public trusts or purposes not entitled to act in the trust, or in the Public Trustee holding in circumstances in which he is not entitled to act in the trust, then,—

(a) in the case of a trustee on or for charitable, ecclesiastical or public trusts or purposes, the managing trustees or committee of management shall be deemed for the purposes of Part I of this Act to be the owner of the interest ;

(b) in the case of the Public Trustee, the person in receipt of the rent incident to the Public Trustee's estate, or, if there is no rent incident thereto, the person in occupation of the land, shall be deemed for those purposes to be the owner of the interest.

(3) Where under section nine of the Administration of Estates Act, 1925, or section fifteen of the Court of Probate Act (Ireland), 1859, the estate of a person who died intestate is vested in the Probate Judge, that judge shall not be deemed for the purposes of Part I of this Act to be the owner of any proprietary interest or rentcharge comprised in the estate, but upon administration being granted the administrator shall be deemed for those purposes to have been the owner thereof as from the date of the death. 15 & 16 Geo. 5. c. 23.
22 & 23 Vict. c. 31.

(4) In relation to requisitioned land the reference in paragraph (b) of subsection (2) of this section to rent shall be construed as including a reference to compensation payable under the Compensation (Defence) Act, 1939, or under any such agreement as is mentioned in section fifteen of that Act, and the reference in the said paragraph (b) to the person in receipt of rent shall be construed as a reference to the person who is, or, if a claim therefor had been duly made under that Act, would have been, in receipt of such compensation as aforesaid.

(5) This section shall not extend to Scotland.

106.—(1) For the purposes of the operation of the provisions of this Act relating to payments in respect of war damage under Part I thereof as regards any chattel personal that falls within the meaning in this Act of the expression "land", the property in the chattel shall be treated as a proprietary interest and the sole proprietary interest therein. Provisions as to movable property falling within definition of "land."

(2) References in sections forty-five and forty-seven of this Act to a proprietary interest subsisting in the whole of a contributory property shall be construed as references to a proprietary interest subsisting in so much of the property as is capable of being subject to a proprietary interest, and references in sections forty-eight to fifty of this Act to a tenancy of a contributory property

PART III. shall be construed as references to a tenancy of so much of the
—*cont.* property as is capable of being subject to a tenancy.

(3) In the application of this section to Scotland, the expression
“chattel personal” means corporeal movable.

Meaning
of “owner” in
relation to
fixtures falling
within
definition of
“goods”.

107. Where anything falling within the meaning in this Act
of the expression “goods” has been so affixed to any land as to
have become part of the land, it shall be deemed for the purposes
of Part II of this Act to be owned—

- (a) if there is any person who is entitled to remove it from the
land and would be entitled to it if he so removed it, by
that person ;
- (b) if there is no such person, by any person having the fee
simple in, or a tenancy or right of occupation of, the
land.

Disposal of salvage.

Disposal of
salvage, and
payment of
proceeds into
Exchequer.

108.—(1) Where a hereditament has sustained war damage and,
in the exercise of emergency powers, any materials that formed
part of any building or other land comprised therein are removed
from any land, the materials may be dealt with or disposed of in
such manner as may be directed by or on behalf of the Treasury,
and the proceeds of any disposal thereof shall be paid into the
Exchequer.

This subsection shall be deemed to have come into operation on
the seventh day of September, nineteen hundred and forty.

(2) The references in section eighty of this Act to receipts
of the Exchequer under Part I of this Act shall include references
to receipts thereof under this section.

(3) The statement of payments and receipts under Part I of
this Act prepared by the Treasury in relation to any year under
section eighty-one of this Act shall include a statement of the
proceeds of the disposal during that year of any materials disposed
of in accordance with this section.

*Adjustment of payments under Act and other payments and loan
in respect of war damage.*

Adjustments
as regards
payments
under the
Compensation
(Defence) Act.

109.—(1) Where any person is entitled under the Compensation
(Defence) Act, 1939, to a payment in respect of war damage—

- (a) by reason of the doing of any work on land in the exercise
of emergency powers ; or
- (b) by reason of the occurrence of damage to a vehicle or
aircraft requisitioned on behalf of His Majesty in the
exercise of emergency powers,

no payment in respect of the damage shall be made under the
provisions of this Act or under a policy issued under either of
the schemes operated under Part II thereof to that person or to
any person claiming under him.

(2) No compensation shall be payable under subsection (4) of section three of the Compensation (Defence) Act, 1939, by reference to depreciation in so far as it is the direct result of any physical change in land treated by the Commission as war damage under subsection (2) of section two of this Act :

Provided that nothing in this subsection shall affect any payment made under the said subsection (4) before the passing of the War Damage (Amendment) Act, 1942.

(3) No compensation shall be payable under the Compensation (Defence) Act, 1939, in respect of any materials dealt with or disposed of under the last preceding section.

This subsection shall be deemed to have come into operation on the seventh day of September, nineteen hundred and forty.

(4) In paragraph (c) of subsection (1) of section one of the Compensation (Defence) Act, 1939, the reference to measures taken to avoid the spreading of the consequences of damage caused by war operations shall be construed as a reference to such measures as are referred to in paragraph (b) of subsection (1) of section two of this Act ; and in paragraph (b) of subsection (1) of section two of that Act the reference to damage caused by war operations, and in paragraph (ii) of the proviso to subsection (1) of section four of that Act the reference to loss or damage arising in consequence of war operations, shall be construed as references to war damage.

This subsection shall have effect as respects work done on land, damage caused to land, and loss of or damage to vehicles or aircraft, whether done, caused or occurring, before or after the passing of the War Damage Act, 1941 :

Provided that nothing in this subsection shall be construed as affecting any payment under the Compensation (Defence) Act, 1939, made before the passing of the War Damage Act, 1941.

(5) Where a hereditament wholly comprised within requisitioned land sustains, during the period of requisition, war damage such that a value payment becomes payable, no sum shall be payable under paragraph (b) of subsection (1) of section two of the Compensation (Defence) Act, 1939, in respect of damage occurring to the hereditament.

110.—(1) Where war damage occurs to land or goods, and at the time when, apart from the provisions of this subsection, any payment (whether with or without interest) would be made to any person in respect thereof under Part I of this Act or under a policy issued under either of the schemes operated under Part II thereof, that person or any other person—

Adjustments
as regards
certain other
payments
in respect of
war damage.

(a) has received (otherwise than by way of loan) in respect of the damage any sum paid on behalf of His Majesty or by a civil defence authority acting as such, not being a sum paid by virtue of the Compensation (Defence) Act, 1939, or of this Act ; or

PART III.
—*cont.*

- (b) is entitled to receive (otherwise than by way of loan) in respect of the damage any sum payable on behalf of His Majesty or by a civil defence authority acting as such, not being a sum payable by virtue of either of the said Acts,

the payment under Part I of this Act or the policy shall be withheld or reduced, as the case may require, for the purpose of securing—

- (i) that the total amount (excluding any interest) paid in respect of the damage under the said Part I or the said policy is reduced by the aggregate of any such sums received or receivable in respect of the damage as are referred to in paragraphs (a) and (b) of this subsection ; or
- (ii) if the aggregate of those sums exceeds the total amount (excluding any interest) which, apart from the provisions of this subsection, would be payable in respect of the damage under the said Part I or the said policy, that no payment in respect of the damage is made under the said Part I or the said policy,

and any interest on the payment shall be withheld or reduced accordingly.

(2) In the preceding subsection the expression “ civil defence authority ” means a local authority on whom functions have been conferred or imposed by or under the Civil Defence Acts, 1937 and 1939, or the Civil Defence Acts (Northern Ireland), 1938 and 1939.

(3) Where war damage occurs to any land or goods in the United Kingdom and it is certified by the Secretary of State or other Minister in charge of a Government department that the damage arose out of action taken on behalf of or by agreement with the Crown, or under the direction of a person acting on behalf of or by agreement with the Crown, being action taken for purposes with which that department is concerned, no damages shall be recoverable for—

- (a) the damage to the land ; or
- (b) the damage to the goods, in so far as payment in respect thereof falls to be made under the provisions of this Act or under a policy issued under either of the schemes operated under Part II thereof,

on the ground that the damage was attributable to negligence, nuisance or breach of duty.

(4) For the purposes of the last preceding subsection, a certificate purporting to be issued by the Secretary of State or other Minister in charge of a Government department, and to be

signed by him or on his behalf, shall be receivable in evidence and shall be deemed, until the contrary is proved, to be a certificate of the Secretary of State or Minister. PART III.
—cont.

111.—(1) Notwithstanding anything in section nine of this Act, so much of any payment under Part I of this Act as consists of the proper cost of any works executed by a local authority under the Housing (Emergency Powers) Act, 1939, may, in lieu of being paid by the Commission, be discharged by crediting the appropriate amount to the authority in their account with the Minister of Health in respect of any money lent by him to the authority under section three of that Act. Set-off of certain payments against certain loans.
2 & 3 Geo. 6.
c. 73.

(2) Notwithstanding anything in section nine of this Act or in any policy of insurance issued in pursuance of the business scheme operated under Part II thereof, where such a loan has been made as is mentioned in any paragraph of the Sixth Schedule to this Act in the first column thereof, any such payment as is mentioned in that paragraph in the second column thereof may be dealt with as therein provided.

Miscellaneous.

112.—(1) If any person, for the purpose of obtaining for himself or any other person any payment in respect of war damage under this Act, or under a policy issued under either of the schemes operated under Part II thereof,— Punishment for giving false information.

- (a) furnishes any information which he knows to be false in a material particular, or recklessly furnishes any information which is false in a material particular; or
- (b) with intent to deceive produces, furnishes, sends or otherwise makes use of any book, account or other document, which is false in a material particular; or
- (c) with intent to deceive withholds any material information,

he shall be guilty of an offence and, unless indicted therefor, liable on summary conviction to a fine not exceeding one hundred pounds, or to imprisonment for a term not exceeding three months, or to both such fine and such imprisonment.

(2) Any proceedings under the Summary Jurisdiction Acts in respect of an offence against this section may be commenced at any time before the expiration of six months after the first discovery of the offence by the authority concerned.

113. No sum shall be deducted in computing the amount of the profits or gains of any person for any purpose of the Income Tax Acts or the profits of any person for the purposes of the national defence contribution or for the purposes of excess profits tax, and no sum shall be included in computing— Certain expenses not to be a deduction for income tax, national defence contribution or excess profits tax.

- (a) the expenses of management of any person in respect of which relief may be claimed under section thirty-three of the Income Tax Act, 1918; or 8 & 9 Geo. 5.
c. 40.

PART III.
—cont.12 & 13 Geo. 5.
c. 17.

(b) the cost to any person of maintenance, repairs, insurance and management in respect of which relief may be claimed under Rule 8 of No. V of Schedule A ; or

(c) the cost to any person of management or supervision in respect of which relief may be claimed under section twenty-six of the Finance Act, 1922,

in respect of—

- (i) any payment made in or towards the discharge of any liability imposed on him under Part I of this Act as, or as a mortgagee of, a direct or indirect contributor ;
- (ii) any premium payable under a policy issued under either of the schemes operated under Part II of this Act ; or
- (iii) any expenditure on repairing or otherwise making good war damage in so far as he is entitled to a payment in respect of the damage by virtue of the provisions of this Act or by virtue of a policy issued under either of the said schemes.

Protection
of holders of
short
tenancies and
licensees
against
liability for
contributions
and
premiums.

114.—(1) A provision in an agreement creating a short tenancy or granting a licence by which the tenant or licensee is required to discharge outgoings, and any other provision subject to which such a tenancy or a licence is held and which apart from this section might have imposed on the tenant or licensee any liability in respect of any instalment of contribution or of any indemnity in respect of any instalment of contribution or of any premium payable under a policy issued under either of the schemes operated under Part II of this Act, shall be of no effect so far as regards any such liability, whether the provision was entered into or imposed before or after the passing of this Act.

(2) In the application of this section to Scotland, for any reference to a short tenancy there shall be substituted a reference to a tenancy under a lease the stipulated duration of which is not more than twenty-one years or, in the case of minerals, not more than thirty-one years, from the date of entry.

Payments to
be subject to
conditions in
case of non-
residents.

115.—(1) Notwithstanding anything in Part I of this Act, any payment thereunder in respect of war damage, or any part of such a payment, which the Commission are satisfied would inure for the benefit of a person not resident in the United Kingdom at the time when the payment would fall due shall be payable only as to so much thereof, and subject to such conditions, as may be determined in accordance with regulations made by the Treasury.

(2) Without prejudice to the generality of the power of the Board of Trade to determine the extent and nature of the indemnity provided under either of the schemes operated under Part II of this Act, any prescribed form of policy under that

scheme shall contain provisions securing that a payment thereunder which the Board are satisfied would inure for the benefit of a person not resident in the United Kingdom at the time when the payment would fall due shall be payable only as aforesaid.

PART III.
—cont.

(3) Regulations made for the purposes of this section may contain such provisions (including penal provisions) as appear to the Treasury to be necessary for securing the due operation and enforcement of the regulations.

116.—(1) The purposes for which Defence Regulations may be made shall include the effecting of any amendments of Part II (excluding sections ninety-six and one hundred), or of section one hundred and seven, of this Act.

Amend-
ments by
Defence
Regula-
tions.

(2) Defence Regulations (whether made before or after the passing of this Act) effecting any such amendments shall not be invalid by reason that they extend the scope of compulsory insurance; and for the purposes of the Emergency Powers (Defence) Acts, 1939 and 1940, this Act shall be deemed to have been passed before the Emergency Powers (Defence) Act, 1940.

3 & 4 Geo. 6.
c. 20.

117.—(1) The obligation as to secrecy imposed by any enactment with regard to income tax shall not prevent the disclosure to the War Damage Commission or the Board of Trade of any such information relating to the assessment of any land for the purposes of Schedule A as may be necessary for the purposes of this Act.

Informa-
tion as to
Schedule A
assessments
and rating
valuations.

(2) The rating authority for any area shall furnish the Commissioners of Inland Revenue or the Board of Trade with any such information relating to the valuation of any land or other property in their area as the Commissioners or the Board may require for the purposes of this Act.

(3) In the application of this Act to Northern Ireland, the following provisions shall have effect in substitution for the provisions of the last preceding subsection, that is to say, that the Commissioner of Valuation shall furnish the Commissioners of Inland Revenue or the Board of Trade with any such information relating to the valuation of land in Northern Ireland as the Commissioners or the Board may require for the purposes of this Act.

118.—(1) No information relating to any individual business, being information which has been obtained by, or on behalf of, any person for the purposes of his functions under this Act, shall, without the previous consent in writing of the owner for the time being of that business, be published or disclosed otherwise than in connection with the execution, or for the purposes, of this Act or any order, regulation or scheme having effect by virtue of this Act.

Restriction
on disclo-
sure of
informa-
tion.

PART III.
—*cont.*

(2) Nothing in the preceding subsection shall apply to any disclosure of any information made for the purposes of any legal proceedings pursuant to this Act (including any appeal or reference under section thirty-two thereof and any appeal to the Special Commissioners under Part I thereof) or of any criminal proceedings which may be taken, whether pursuant to this Act or otherwise, or for the purposes of any report of any such proceedings as aforesaid.

(3) If any person discloses any information in contravention of this section, he shall be liable on summary conviction to imprisonment for a term not exceeding three months or to a fine not exceeding fifty pounds or to both such imprisonment and such fine or, on conviction on indictment, to imprisonment for a term not exceeding two years or to a fine not exceeding one hundred pounds or to both such imprisonment and such fine.

Liabilities
to repair
chancels,
&c., not to
extend to war
damage.

119.—(1) A liability to which this section applies to repair a chancel of a church or to repair any other ecclesiastical building or any part thereof shall not extend to any repairs required for making good war damage.

(2) Where war damage occurs to a chancel of a church or to any other ecclesiastical building in respect of which such a liability exists, then, in so far as the discharge of that liability, as modified by the provisions of the preceding subsection, is, having regard to the extent of the war damage,—

(a) impracticable, or only practicable at a cost which is unreasonable in view of all the circumstances, or

(b) of no substantial advantage,

the liability shall be suspended until the war damage is made good to such an extent that the discharge thereof is practicable at a reasonable cost and is of substantial advantage.

(3) Where under the preceding provisions of this section a liability is modified or suspended, all rights and remedies arising out of the non-discharge of the liability shall be modified or suspended accordingly.

(4) The preceding provisions of this section shall be deemed to have had effect as from the third day of September, nineteen hundred and thirty-nine.

(5) Where war damage occurs to a chancel of a church or to any other ecclesiastical building in respect of which such a liability exists, or to the church of which such a chancel forms part or to premises of which such a building forms part, the Commission shall, in exercising the powers conferred on them by subsection (4) of section sixty-nine of this Act in relation to that damage, have regard to the circumstances affecting the church or those premises as a whole, and may make provision under that subsection in relation to the church or to those premises as a whole.

(6) This section applies to a liability arising as mentioned in section thirty-one of the Tithe Act, 1936, or in any other manner whatsoever except by virtue of a contract providing expressly for the execution of repairs required for making good war damage or by reason of a person's holding property upon trusts which authorise its application in the execution of such repairs.

120.—(1) Subject to the provisions of this section, no person shall, after such date as may be prescribed by order of the Board of Trade, take part in the promoting or carrying on of any business or scheme whereby persons are, or may become, entitled or eligible, either absolutely or conditionally, to or for any form of indemnification, whether total or partial, and whether by way of a money payment or not, in respect of war damage to land, or to goods which are insurable in relation to those persons respectively under Part II of the War Risks Insurance Act, 1939, or under either of the insurance schemes operated under Part II of this Act :

Prohibition
of war
damage
insurance
businesses
and schemes.

Provided that—

- (a) the Board of Trade may direct that the provisions of this subsection shall not apply in relation to any business or scheme specified in the direction of which the primary purpose is the provision of indemnification against losses arising otherwise than by reason of war damage to land or goods, or which operates only as respects goods which by virtue of an order of the Board of Trade under subsection (1C) of section nine of the War Risks Insurance Act, 1939, are not compulsorily insurable under Part II of that Act, or as respects goods which by virtue of an order of the Board under paragraph (b) or paragraph (c) of the proviso to subsection (1) of section eighty-six of this Act are not compulsorily insurable under the business scheme operated under Part II of this Act ;
- (b) the said provisions shall not apply in relation to any business or scheme which operates only so as to insure persons, in respect of goods insurable in relation to them under either of the schemes operated under Part II of this Act, against losses in respect of which, by reason of the provision of policies issued under the scheme in question limiting the indemnity provided thereunder, they are unable to recover under the scheme irrespective of the amount for which they are insured ;
- (c) the Board of Trade may direct that, subject to compliance with any conditions imposed by the Board, the provisions of this subsection shall not apply in relation to any scheme specified in the direction, being a scheme which

PART III.
—cont.

appears to the Board to be devised primarily as a scheme for affording assistance to persons who have suffered loss from war damage to their property rather than as a scheme of insurance, whether total or partial, against the occurrence of war damage to property.

(2) Where, in pursuance of any such business or such scheme as is mentioned in subsection (1) of this section, any fund has been constituted before the passing of the War Damage Act, 1941, for the purpose of providing any form of such indemnification as aforesaid in respect of war damage to land or goods, the persons having control of the fund may, and, if the carrying on of the business or scheme has become illegal under the said subsection (1), shall, treat the passing of that Act as an event upon the happening of which the fund became distributable, and distribute the fund among the persons and in the shares provided for by the deed or instrument regulating the application of the fund :

Provided that where the fund is distributed by virtue of this subsection—

- (a) any claim in respect of war damage outstanding against the fund shall be disregarded ;
- (b) any payment in respect of war damage made out of the fund to any person on or before the eleventh day of December nineteen hundred and forty shall not be repayable but shall be treated as having been paid in satisfaction, either wholly or as far as the amount of the payment will go, of any sum payable to that person on the distribution of the fund ; and
- (c) any such payment made out of the fund after the said date shall be recoverable by the persons having control of the fund from the person to whom it was paid.

(3) Where the persons entitled to participate in the distribution of any such fund as is mentioned in the last preceding subsection, or the shares in which persons are entitled to participate in the distribution of the fund, are, under the deed or instrument regulating the application of the fund, to be ascertained by reference to any date specified in the deed or instrument, the deed or instrument shall be construed, for the purposes of a distribution made by virtue of the last preceding subsection, as if the said date were the twenty-sixth day of March, nineteen hundred and forty-one, being the date of the passing of the War Damage Act, 1941.

(4) The Board of Trade may by order provide that where the persons having the control of funds which fall to be distributed by virtue of subsection (2) of this section have been unable to trace the persons entitled to any moneys forming part of such funds, the Board of Trade may, if satisfied that reasonable steps have

been taken for the purpose of tracing the persons entitled, authorise the payment of the moneys in question into an account specified in the order; and any payment into such an account authorised by the Board of Trade shall be a good discharge for the amount of the payment.

An order made under this subsection shall provide for the making of payments out of the account, in accordance with the provisions of the order, to persons claiming to be entitled to moneys paid into the account.

(5) If any person contravenes subsection (1) of this section, he shall be liable on summary conviction to a fine not exceeding one hundred pounds and to a further fine not exceeding fifty pounds for every day on which the contravention continues.

(6) Proceedings for an offence under subsection (1) of this section shall not, in England or Northern Ireland, be instituted except by or with the consent of the Board of Trade.

121.—(1) Any regulations made under this Act by the Treasury and any order made thereunder by the Board of Trade shall, as soon as may be after the making thereof, be laid before Parliament, and if either House of Parliament within the period of twenty-eight days beginning with the day on which any such regulations or order are or is laid before it resolves that the regulations or order be annulled, the regulations or order shall thereupon become void, without prejudice, however, to the validity of anything previously done thereunder or to the making of new regulations or a new order.

Provisions
as to
regulations
and orders.

In reckoning any such period of twenty-eight days as aforesaid no account shall be taken of any time during which Parliament is dissolved or prorogued, or during which both Houses are adjourned for more than four days.

(2) Notwithstanding anything in subsection (4) of section one of the Rules Publication Act, 1893, regulations made under this Act by the Treasury shall be deemed not to be, or to contain, statutory rules to which that section applies.

56 & 57 Vict.
c. 66.

(3) Any order made under this Act by the Board of Trade may be varied or revoked by a subsequent order so made and subject to the like conditions as the original order.

122. Anything required or authorised by or under this Act to be done by, to or before the Board of Trade may be done by, to or before the President of the Board of Trade, any secretary, under-secretary or assistant secretary of the Board, or any person authorised in that behalf by the President.

Exercise of
functions of
Board of
Trade.

PART III.

—cont.

Interpre-
tation.18 & 19 Geo. 5.
c. 44.

123.—(1) In this Act, unless the context otherwise requires, the following expressions have the meanings hereby assigned to them respectively, that is to say:—

“agricultural land” and “agricultural buildings” have in relation to England the same meanings as in the Rating and Valuation (Apportionment) Act, 1928, and in relation to Northern Ireland the same meanings as in the Valuation Acts Amendment Act (Northern Ireland), 1932, except that in each case “agricultural building” includes a farm-house occupied in connection with any agricultural land and any agricultural cottage so occupied which is on or contiguous to that land;

“agricultural cottage” means, in relation to any land, a house used as a dwelling-house of a person who is employed in agricultural operations on that land in the service of the occupier thereof and is entitled, whether as tenant or otherwise, so to use the house only while so employed;

“building” includes a building in an incomplete state, and in relation to such a building the expression “use” includes potential use;

“contributory property” has the meaning assigned to it by subsection (1) of section thirty-six of this Act;

“contributory value” has the meaning assigned to it by subsection (3) of section thirty-six of this Act;

“Defence Regulations” means regulations made under the Emergency Powers (Defence) Act, 1939, or the Emergency Powers (Defence) Acts, 1939 and 1940;

“direct contributor” has the meaning assigned to it by subsection (1) of section thirty-seven of this Act;

“emergency powers” means powers conferred by Defence Regulations, by section fifty-two of the Telegraph Act, 1863, or by section seven of the Air Navigation Act, 1920, or exercisable by virtue of the prerogative of the Crown; and “exercise” includes, in relation to emergency powers, a purported exercise thereof;

“family” means, in relation to any person, any one or more of the following, that is to say—

(a) his wife, son, daughter, father, mother; and

(b) any person, whether related to him or not, who is wholly or mainly dependent upon him;

“goods” has the meaning assigned to it by section one hundred and four of this Act;

“indirect contributor” has the meaning assigned to it by subsection (3) of section thirty-seven of this Act;

26 & 27 Vict.
c. 112.
10 & 11 Geo. 5.
c. 80.

"interest", in relation to any land, includes a rentcharge to which it is subject ;

"land" has the meaning assigned to it by section one hundred and three of this Act ;

"making good" includes, in relation to war damage, demolition or clearance requisite as a preliminary to, or in the course of, the making good thereof ;

"material time" has the meaning assigned to it in relation to a value payment by subsection (2) of section twelve of this Act, and in relation to a payment under section eighteen of this Act by subsection (3) of the said section eighteen ;

"mortgage" does not include a floating charge, but, subject as aforesaid, includes any charge or lien on any property for securing money or money's worth ;

"net liability" has the meaning assigned to it by subsection (3) of section thirty-seven of this Act ;

"owner", in relation to a proprietary interest or rentcharge, has the meaning assigned to it by section one hundred and five of this Act ;

"prescribed"—

(a) in Part I of this Act, means prescribed by regulations made by the Treasury ; and

(b) in Part II of this Act, means prescribed by order of the Board of Trade ;

"proper cost" means, in relation to any works, such cost as is reasonable, having regard to the prices of materials and rates of remuneration for services current at the date specified in this Act as the date as at which proper cost is to be ascertained or, where no date is so specified, at the date when the works are executed, and to all other relevant circumstances, and in computing the proper cost of any works the cost of the necessary employment of an architect, engineer, surveyor, land agent, or other person in an advisory or supervisory capacity, in connection with the execution of the works, shall be treated as part of the cost of the works ;

"proprietary interest" means, in relation to any hereditament or property—

(a) the fee simple in the land comprised therein or in any part of that land ; and

(b) any tenancy of that land or of any part thereof, other than a short tenancy ;

"rating authority"—

(a) means a rating authority under section one of the Rating and Valuation Act, 1925 ;

PART III.
—cont.

(b) in relation to London, has the meaning assigned to it by subsection (2) of section seven of the Rating and Valuation (Apportionment) Act, 1928 ;

(c) in relation to the Isles of Scilly, means the Council of the said Isles ;

“ relevant date ” has the meaning assigned to it by subsection (1) of section thirty-eight of this Act ;

“ relevant part of the risk period ” has the meaning assigned to it by subsection (2) of section thirty-eight of this Act ;

“ rentcharge ” has the meaning assigned to it by subsection (7) of section twenty-five of this Act ;

“ requisitioned land ” means land of which possession has been taken on behalf of His Majesty in the exercise of emergency powers during the period beginning with the twenty-fourth day of August, nineteen hundred and thirty-nine, and ending with the termination of the risk period ; and “ period of requisition ”, in relation to requisitioned land, means the period during which possession of the land under such powers taken as aforesaid continues ;

“ risk period ” has the meaning assigned to it by subsection (1) of section one of this Act ;

“ Schedule A ” and “ Schedule D ” have the same meanings as in the enactments relating to income tax ;

“ short tenancy ” means a tenancy granted for a term of seven years or less (without any right of renewal which would enable the tenant to prolong the term thereof beyond seven years), and includes—

(a) a tenancy granted for a term of more than seven years but subject to a subsisting right of the landlord to determine the tenancy at or before the expiration of seven years from the beginning of the term ;

(b) a tenancy from year to year ;

(c) a tenancy at will ;

(d) a tenancy granted for a term limited to expire, or subject to a right of the landlord to determine the tenancy, on, or at a time or within a period expiring not later than seven years after, any such occasion as the following, that is to say, the termination of any war in which His Majesty may be engaged or of hostilities in any such war or of the emergency mentioned in the Emergency Powers (Defence) Act, 1939, or any other Act of the present Parliament, the occurrence of any event likely to occur on or in connection with such termination, or any similar occasion in whatsoever words described ;

"Special Commissioners" has the same meaning as in the enactments relating to income tax ;

"temporary works payment" has the meaning assigned to it by subsection (2) of section six of this Act ;

"tenancy" includes a tenancy under an under-lease and a tenancy under an agreement for a lease or under-lease, but does not include an option to take a tenancy and does not include a mortgage ;

"war damage" has the meaning assigned to it by section two of this Act ;

"works" includes any structure.

(2) For the purposes of this Act, an activity shall not be deemed to be other than a business by reason only that it is of a professional nature, or that it is not carried on for gain.

(3) References in this Act to any other enactment shall, save where the context otherwise requires, be construed as references to that enactment as amended by or under any other enactment, including this Act.

124.—(1) The following provisions of this section shall have effect for the purpose of the application of this Act to Scotland. Application to Scotland.

(2) For any reference to the Minister of Health or to the Minister of Agriculture and Fisheries or to the Board of Education there shall be substituted a reference to the Secretary of State ; for any reference to the High Court there shall be substituted a reference to the Court of Session ; and for any reference to the county court there shall be substituted a reference to the sheriff.

(3) The expression "local authority" means a county or town council ; the expression "rating authority" means a county or town council charged with the duty of causing a valuation roll to be made up.

(4) The expression "proprietary interest" means, in relation to any hereditament or property, the estate or interest of the person entered or entitled to be entered in the ordinary valuation roll as the proprietor of the land comprised in the hereditament or of any part of that land :

Provided that—

(a) where the person so entered or entitled to be so entered is a lessee under a lease the stipulated duration of which is more than twenty-one years, or in the case of minerals more than thirty-one years from the date of entry, the immediate and any superior lessors shall also be deemed to be owners of proprietary interests in such land or part ;

(b) where a lessee is so entered or entitled to be entered in pursuance of the Lands Valuation (Scotland) Amendment 58 & 59 Vict.
c. 41.

PART III.
—cont.

Act, 1895, in respect of erections or structural improvements on the subjects let, he shall be deemed to be the owner of the fee simple in such erections or structural improvements ; and

- (c) where a lessee or a landholder within the meaning of the Small Landholders (Scotland) Acts, 1911 to 1931, has made or acquired erections or structural improvements in respect of which he is not required to be so entered by reason only that the erections or improvements fall within one of the classes specified in paragraphs (1), (2), or (3) of section four of the said Act of 1895, he shall be deemed to be the owner of the sole proprietary interest and of the fee simple in such erections or improvements.

• (5) The expression “ mortgage ” in Part I of this Act means—

14 & 15 Geo. 5.
c. 27.

- (a) a heritable security within the meaning of the Conveyancing (Scotland) Act, 1924, exclusive of a security by way of ground annual and a real burden *ad factum praestandum* but inclusive of a security constituted by *ex facie* absolute disposition ; or

20 & 21 Vict.
c. 26.

- (b) an assignation in security of a lease recorded under the Registration of Leases (Scotland) Act, 1857 ;

and the expressions “ mortgagee ” “ mortgagor ” and “ mortgaged interest ” shall be construed accordingly.

(6) The expressions “ fee simple ” and “ fee simple absolute in possession ” mean the estate or interest of the proprietor of the *dominium utile*, or, in the case of property, other than feudal property, of the owner ; the expression “ easement ” means servitude, and the expression “ under-lease ” means sub-lease.

(7) For any reference to a rentcharge there shall be substituted a reference to a feuduty and to a ground annual, and any reference to the owner of a rentcharge shall be construed accordingly.

(8) The expression “ agricultural land ” means any agricultural lands and heritages (other than buildings) within the meaning of the Rating and Valuation (Apportionment) Act, 1928, and the expression “ agricultural buildings ” means buildings occupied together with agricultural land or being or forming part of a market garden, and in either case used solely in connection with agricultural operations thereon, exclusive of any dwelling-house not being either a farmhouse occupied in connection with any agricultural land or an agricultural cottage so occupied which is on or contiguous to that land.

(9) For any reference to money had and received to the use of His Majesty there shall be substituted a reference to a debt due to the Crown ; for a reference to a valuation list there shall be

substituted a reference to a valuation roll ; and for any reference to the Rating and Valuation Acts, 1925 to 1940, there shall be substituted a reference to the Lands Valuation (Scotland) Act, 1854.

(10) A county or town council shall have power to borrow such sums as may be necessary for the purpose of paying contributions or premiums under this Act :

Provided that such power shall not be exercised except with the consent of, and subject to such conditions as may be prescribed by,—

- (a) the Minister of War Transport as regards highways, omnibuses, tramways, trolley vehicles and garages therefor ;
- (b) the Electricity Commissioners as regards electricity undertakings ; and
- (c) the Secretary of State in any other case.

(11) Subsection (1) of section seventy-six and section one hundred and nineteen of this Act shall not apply.

125.—(1) The following provisions of this section shall have effect for the purpose of the application of this Act to Northern Ireland. Application to Northern Ireland.

(2) For any reference to money had and received to the use of His Majesty there shall be substituted a reference to a debt due to the Crown.

(3) For any reference to the Rating and Valuation Acts, 1925 to 1940, there shall be substituted a reference to the Valuation Acts (Northern Ireland), 1852 to 1940.

(4) For any reference to the Summary Jurisdiction Acts there shall be substituted a reference to the Petty Sessions (Ireland) Act, 1851, and any Act amending that Act ; and the expression “ summary conviction ” means conviction subject to, and in accordance with, the said Petty Sessions (Ireland) Act, and any Act amending the same. 14 & 15 Vict. c. 93.

(5) The expression “ net annual value ” means the net annual value under the Valuation Acts (Northern Ireland), 1852 to 1940, and the net annual value shown in a provisional or revised valuation for the time being in force by virtue of any enactment pending the annual revision of valuation under the said Acts shall be deemed to be the net annual value shown in the valuation list.

(6) The expressions “ Act ” and “ enactment ” include respectively an Act or enactment of the Parliament of Northern Ireland ; and the expression “ Government department ” includes a department of the Government of Northern Ireland.

126. The transitional provisions set out in the Seventh Schedule to this Act shall have effect with respect to the matters therein mentioned. Transitional provisions.

PART III.

—cont.

Repeal,
retrospective
effect and
savings.

127.—(1) The enactments mentioned in the Eighth Schedule to this Act are hereby repealed to the extent specified in the third column of that Schedule.

(2) The subsequent provisions of this section shall have effect for preventing duplication of rights and liabilities under the enactments repealed by this Act on the one hand and under this Act on the other, and for saving the effect of things done or omitted before the passing of this Act in relation to the enactments repealed by this Act.

(3) This Act shall have effect, and be deemed to have had effect, as if it had come into operation at the time of the passing of the War Damage Act, 1941, and as if anything done or omitted (including any payment made, any regulation, rule, order, scheme, requirement, claim, determination, assessment, apportionment or calculation made, any direction, notice, certificate, consent, approval or undertaking given, any condition or obligation imposed, and any proceeding instituted) before the passing of this Act under, for the purposes of, in accordance with or otherwise in relation to, any enactment repealed by this Act had been done or omitted under, for the purposes of, in accordance with or otherwise in relation to, the corresponding provision of this Act, and any such thing, in so far as it has effect at the passing of this Act, shall continue to have effect notwithstanding the repeal effected by this section.

(4) No person shall be entitled or subject to any right, privilege, obligation or liability, as conferred or imposed by or by virtue of any enactment repealed by this Act, or subject to any penalty, forfeiture or punishment, in respect of any offence as being an offence against any enactment repealed by this Act, and subsection (2) of section thirty-eight of the Interpretation Act, 1889, shall have effect subject to this provision.

(5) Any document made or issued at any time (whether before or after the passing of this Act) which refers to any enactment repealed by this Act shall, unless the contrary intention appears, be construed as referring to the corresponding provision of this Act.

(6) Any person holding office or acting or serving under or by virtue of any enactment repealed by this Act shall continue to hold his office or to act or serve as if he had been appointed or authorised under or by virtue of the corresponding provision of this Act.

(7) The mention of particular matters in this section shall not be held to prejudice or affect the general application of section thirty-eight of the Interpretation Act, 1889, with regard to the effect of repeals, except as mentioned in subsection (4) of this section.

52 & 53 Vict.
c. 63.

Short title.

128. This Act may be cited as the War Damage Act, 1943.

SCHEDULES.

FIRST SCHEDULE.

Section 3.

CONSTITUTION AND PROCEDURE OF THE WAR DAMAGE COMMISSION.

Membership.

1. The Commission shall consist of a chairman and such number of other members as the Treasury may think expedient, to be appointed by the Treasury.

2. The appointment of a member of the Commission shall be for such term as may be determined by the Treasury before his appointment and shall be subject to such conditions as may be so determined; and a member of the Commission who ceases to hold office shall be eligible for re-appointment.

3. A person shall be disqualified for being appointed or being a member of the Commission so long as he is a member of the Commons House of Parliament.

Capacity and proceedings.

4. The Commission shall have power to act notwithstanding a vacancy among the members thereof, and at any meeting of the Commission two, or such greater number as the Commission may determine, shall be the quorum.

5. All acts done at a meeting of the Commission shall, notwithstanding that it is afterwards discovered that there was a defect in the appointment of a person purporting to be a member thereof, be as valid as if the defect had not existed.

6. Subject to the preceding provisions of this Schedule, the Commission shall have power to regulate their own procedure, including the manner in which, and the officers of the Commission by whom, questions subject to determination by the Commission under this Act are to be determined and the manner in which determinations made by officers acting in any locality are to be subject to review by a deputy commissioner or other superior officer or by members of the Commission.

Officers and servants, and remuneration.

7. The Treasury may appoint a secretary to the Commission, and the Commission may appoint such deputy commissioners and other officers, and such servants, as the Treasury may determine.

8. There shall be paid out of moneys provided by Parliament to the members, officers and servants of the Commission such remuneration (whether by way of salaries or by way of fees), and such allowances, as the Treasury may determine.

1ST SCH.
—cont.*Proof of documents.*

9. Every document purporting to be an instrument made or issued by the Commission and to be signed by the secretary or any person authorised to act in that behalf shall be received in evidence, and shall, until the contrary is proved, be deemed to be an instrument made or issued by the Commission; and prima facie evidence of any such instrument may, in any legal proceedings (including arbitrations), be given by the production of a document purporting to be certified to be a true copy of the instrument by or on behalf of the secretary.

Sections 7, 10,
12, 17.

SECOND SCHEDULE.

PROVISIONS AS TO CERTAIN VALUATIONS REQUIRED IN
CONNECTION WITH PAYMENTS UNDER PART I.

Nature and terms of the sale to be assumed on valuation for determining whether there is total loss.

1.—(1) For the purposes of subsection (2) of section seven of this Act, the sale by reference to which there is to be ascertained the amount which the fee simple in a developed hereditament might have been expected to realise on a sale thereof in the state in which it would be after the execution of works, or as a site, shall be a sale made—

- (a) in the open market;
- (b) with vacant possession;
- (c) subject to—

- (i) any restrictive covenant, easement, quasi-easement, or other right inuring for the benefit of other land,

- (ii) any public right of way, right of common, or other right inuring for the benefit of the public or of any section thereof, and

- (iii) any restriction imposed by or under an enactment passed before the War Damage Act, 1941,

to which the hereditament was subject at the time immediately after the occurrence of the war damage or, in the case of an ascertainment for the purposes of subsection (1) of section sixteen of this Act in the case of a hereditament which has sustained war damage on more than one occasion, immediately after the subsequent occasion mentioned in that subsection;

- (d) free from any other incumbrance, and without regard to any liability of the hereditament to become subject after the said time to any restriction by virtue of any enactment.

(2) In the application of this paragraph to Scotland, for the words "any other incumbrance" there shall be substituted the words "any ground annual or other incumbrance and any liability to pay feuduty".

Nature and terms of the sale to be assumed on valuation for determining the amount of a value payment.

2.—(1) For the purposes of subsection (2) of section ten of this Act, the sale by reference to which the value of a hereditament,

whether in its state immediately before the occurrence of war damage or in the state by reference to which, as regards its state after damage, the depreciation in the value of the hereditament is to be determined, shall be a sale of the fee simple in the hereditament made as specified in paragraph 1 of this Schedule, so however that the time to be referred to for the purposes of heads (c) and (d) of sub-paragraph (1) thereof shall be—

- (a) as regards the valuation of the hereditament in its former state, the time immediately before the occurrence of the war damage; and
- (b) as regards the valuation of the hereditament in its latter state, the time immediately after the occurrence of the war damage.

(2) For the said purpose the amount that the hereditament in its latter state might have been expected to realise on the said sale shall be ascertained on the assumption that it would have been possible to foresee, immediately after the taking of the action or measures from which the war damage resulted, all the war damage which is known at the time when the valuation is made to have resulted therefrom.

Valuation of proprietary interests: incidents under Landlord and Tenant (War Damage) Acts, etc.

3.—(1) In ascertaining for the purposes of subsection (3) of section twelve of this Act the amount that might have been expected to be realised on a sale of an interest subsisting in a hereditament on the thirty-first day of March, nineteen hundred and thirty-nine, with the like incidents as a proprietary interest therein had at the material time, the following provisions of this paragraph shall have effect.

(2) In ascertaining for the purposes of paragraph (a) of the said subsection (3) the amount that might have been expected to be realised on the assumption of the hereditament's being in the state in which it was immediately before the occurrence of the war damage, incidents arising under the provisions of the Landlord and Tenant (War Damage) Acts, 1939 and 1941, shall be disregarded.

(3) In ascertaining for the purposes of paragraph (b) of the said subsection (3) the amount that might have been expected to be realised on the assumption of the hereditament's being in the state in which it was after the war damage, in a case in which the material time is the time immediately before the occurrence of the war damage—

- (a) regard shall be had to what in fact happens as respects any surrender, taking effect by virtue of the Landlord and Tenant (War Damage) Act, 1939, or resulting from the provisions of subsection (2) of section two of the Landlord and Tenant (War Damage) (Amendment) Act, 1941, of any tenancy in the hereditament or in a part thereof (including the proprietary interest in question if it is a tenancy), and the amount that might have been expected to be realised on the sale shall accordingly be determined as if any such tenancy surrendered as aforesaid (including the proprietary interest in

2ND SCH.
—cont.

question if it is a tenancy and is surrendered) had been for a term limited to expire on the date on which the surrender takes effect, and had been held free from any obligation as to repairs to which it was subject, but

- (b) subject as aforesaid that amount shall be determined without regard to the provisions of the said Acts.

(4) In ascertaining for the purposes of paragraph (b) of the said subsection (3) the amount that might have been expected to be realised on the assumption of the hereditament's being in the state in which it was after the war damage, in a case in which the material time is fixed by reference to the provisions of section thirteen, fourteen or twenty of this Act, the amount that might have been expected to be realised on the sale shall be determined, as respects incidents arising under the said Acts, by reference to the incidents so arising which in fact attach to the interest, whether before or after the material time, except that where a conditional notice of retention has been served and the interests both of the landlord and of the tenant are acquired as mentioned in section fourteen of this Act, that amount shall be determined as if the notice had not been conditional.

(5) The following incidents shall be disregarded, whether the ascertainment is for the purposes of paragraph (a) or of paragraph (b) of the said subsection (3) namely—

- (a) the fact of the interest's being subject to any mortgage or floating charge or to any rentcharge;
- (b) the fact of the interest's being affected by any restriction imposed on the hereditament by or under an enactment passed after the War Damage Act, 1941; and
- (c) any liability of the hereditament to become subject to any restriction by virtue of any enactment.

(6) In ascertaining for the purposes of paragraph (b) of the said subsection (3) the amount that might have been expected to be realised on the assumption of the hereditament's being in the state in which it was after the war damage, the like assumption shall be made as is required by sub-paragraph (2) of paragraph 2 of this Schedule to be made in computing the amount of the value payment.

(7) This paragraph shall, in its application to Northern Ireland, have effect with the substitution, for references to the Landlord and Tenant (War Damage) Acts, 1939 and 1941, of references to any corresponding enactments of the Parliament of Northern Ireland for the time being in force.

Provisions as to valuation of, or of an interest in, licensed premises.

10 Edw. 7 &
1 Geo. 5. c. 24.

4.—(1) Where war damage is sustained by premises in respect of which a justices' licence within the meaning of the Licensing (Consolidation) Act, 1910, was in force before the occurrence of the damage, any determination required for the purposes of this Act relating to the value of the premises or of an interest therein, or the amount which the premises or an interest therein might have been expected to realise, shall be made on the assumption that the validity of the licence, and

the prospect of renewal thereof, were, and would remain, unaffected by the damage, or by any circumstances connected therewith or any consequence thereof.

2ND SCH.
—cont.

(2) In the application of this paragraph to Scotland, for any reference to a justices' licence within the meaning of the Licensing (Consolidation) Act, 1910, there shall be substituted a reference to a certificate as defined in Part VII of the Licensing (Scotland) Act, 1903.

3 Edw. 7. c. 25.

(3) In the application of this paragraph to Northern Ireland, for any reference to a justices' licence within the meaning of the Licensing (Consolidation) Act, 1910, there shall be substituted a reference to the certificate required to enable a person to obtain the grant transfer or renewal of, and to hold, any excise licence for the sale of any intoxicating liquor.

THIRD SCHEDULE.

Sections 8, 10.

DEDUCTIONS FROM PAYMENTS UNDER PART I.

Deduction from payments in respect of value of materials.

1.—(1) The amount of a payment of cost of works shall be reduced by an amount equal to the value, ascertained in accordance with regulations made by the Treasury, of any articles which formed part of the hereditament and become available as materials in consequence, whether directly or indirectly, of the war damage, and in computing the amount of a value payment the value, ascertained as aforesaid, of any such articles shall be included in the value of the hereditament in the state in which it was after the occurrence of the war damage:

Provided that—

- (a) where any such articles are removed in exercise of emergency powers, otherwise than pursuant to a requisition, the amount of the payment shall be computed as if they had been wholly destroyed on the occurrence of the damage; and
- (b) where any such articles are requisitioned, the amount of the payment shall be computed as mentioned in the preceding proviso and then reduced by the amount of the sum payable under the Compensation (Defence) Act, 1939, or under any such agreement as is mentioned in section fifteen of that Act, in respect of the requisition, or which would have been so payable if a claim therefor had been duly made under that Act.

(2) The amount of a payment of cost of works or value payment shall be reduced by an amount equal to any value as materials of articles provided for the purpose of works the proper cost of which has been or is to be included in a temporary works payment, and which, in the case of a payment of cost of works, become available as materials on the execution of subsequent works, such value being ascertained in accordance with regulations made by the Treasury.

(3) Where both a payment of cost of works and a value payment are made under section thirteen, section fourteen, paragraph (b) of section fifteen, or paragraph (b) of subsection (3) of section twenty, of

3RD SCH.
—cont.

this Act, the preceding provisions of this paragraph shall not have effect in relation to both payments to the full extent but the appropriate reduction in respect of the value of any articles shall be made in one or other of the payments, or partly in one and partly in the other, as the Commission may determine.

Deduction from payments for failure to minimise damage.

2.—(1) If war damage to a hereditament is increased by failure on the part of the owner of, or any person interested in, a proprietary interest in the hereditament or any part thereof (including a mortgagee of such an interest) to take any steps for preserving the hereditament or that part thereof which he might reasonably have been expected to take after the happening of the event from which the damage results, the following provisions of this paragraph shall have effect.

(2) Where a value payment is to be made in respect of the war damage, both the actual depreciation in the value of the hereditament caused thereby and the depreciation that would have been caused if the damage had not been increased as aforesaid shall be determined in accordance with the provisions of sections ten and thirty-two of this Act and the difference shall be deducted from so much of the payment as is attributable to the relevant proprietary interest :

Provided that where the person in default was a mortgagee, if the mortgagee receives the amount so attributable he shall be liable to account as if it had been paid in full, but if not it shall be paid in full and an amount equal to the said difference shall be recoverable as a debt due to His Majesty from the person in default.

(3) Where a payment of cost of works is to be made in respect of the war damage, the amount by which the proper cost of the works executed for making it good is increased by reason of the failure shall be determined by the Commission and that amount shall be deducted from so much (if any) of the payment as would otherwise have been payable to the person in default, and, so far as not so deducted, shall be recoverable as a debt due to His Majesty from him.

Deduction from payments of cost of works where damage other than war damage, or repeated war damage, is sustained.

3.—(1) The amount of a payment of cost of works shall be reduced by any amount by which the proper cost of the works executed for making good the war damage is increased by reason of any physical change in the hereditament not directly attributable to war damage (other than ordinary wear and tear) occurring between the time of the occurrence of the damage and the time when it is made good.

(2) In determining the amount of separate payments of cost of works to be made in respect of war damage occurring on two or more occasions, the cost of any works which contribute to the making good both of the damage occurring on one of those occasions and of the damage occurring on another of them shall not be taken into account more than once.

FOURTH SCHEDULE.

Section 25.

PROVISIONS AS TO RENTCHARGES, FEUDUTIES AND GROUND
ANNUALS.

PART I.

Capital equivalent, annual value of land charged, etc.

1. The following provisions of this Part of this Schedule shall have effect for the purpose of the ascertainment of the matters mentioned in subsection (6) of section twenty-five of this Act.

2. The "capital equivalent" of the excess of the amount of the rentcharge so far as attributable to the charged land in the hereditament over the available annual value of that land as depreciated by the war damage shall be taken to be that excess multiplied by the number of years purchase which the rentcharge might have been expected to realise on a sale thereof made in the open market on the thirty-first day of March, nineteen hundred and thirty-nine, if on that day the rentcharge had been subsisting with the like incidents in all respects as it had at the material time, and the hereditament had been in the state in which it was immediately before the occurrence of the war damage thereto, and the annual value of any land outside the hereditament subject to the rentcharge had been its annual value apart from any war damage.

3. The "annual value of the charged land in the hereditament as depreciated by the war damage" shall—

- (a) if that land is coterminous with the hereditament, be taken to be five per cent. of the value of the hereditament after the war damage as ascertained for the purpose of computing the amount of the value payment ;
- (b) if that land is a part only of the hereditament, be determined by apportioning an appropriate part of the said percentage of the said value to that land.

4. The "annual value apart from any war damage" of any land shall, if that land was coterminous with land which constituted a contributory property or two or more contributory properties for the purposes of the instalments of contribution for the year in which the war damage to the hereditament occurred (or, if it occurred before the beginning of the year nineteen hundred and forty-one, for that year), be taken to be the contributory value or the sum of the contributory values of the property or properties for that year, and, if it was not, shall be determined by valuation made by reference—

- (a) primarily to the contributory value for that year of any such contributory property or properties as aforesaid which that land comprised or of which it formed part ; and
- (b) subject as aforesaid, to the rent at which that land or any part thereof might have been expected to let from year to year on the thirty-first day of March, nineteen hundred and thirty-nine, if it had been on that day in the state in which it was immediately before the occurrence of the war damage to

4TH SCH.
—cont.

the hereditament, or, in the case of land outside the hereditament which had then also sustained war damage, immediately before the occurrence of that damage, and the tenant undertook to pay the usual tenant's rates and taxes and the landlord undertook to bear the costs of the repairs and insurance and other expenses, if any, necessary to maintain the land in a state to command that rent.

5. The "available annual value" of the charged land in the hereditament as depreciated by the war damage, or apart from any war damage, shall be taken to be the annual value thereof as so depreciated, or apart from any war damage, as the case may be, less the amount, so far as attributable to any of the charged land in the hereditament, of—

- (a) any rentcharge having priority to the rentcharge in question to which the fee simple in that land was subject at the material time, or, where that rentcharge was created out of a tenancy of that land, to which either the fee simple therein or that tenancy or any superior tenancy thereof was subject at that time; and
- (b) where that rentcharge was created out of a tenancy of that land, the rent reserved by the lease for the year in which that time fell:

Provided that, in ascertaining the available annual value of the charged land in a hereditament, no deduction shall be made from the annual value thereof in respect of any such amount as aforesaid, in so far as the owner of the rentcharge in question is liable for the payment of that amount as between himself and the owner of the proprietary interest out of which that rentcharge was created in that land.

6. The "amount attributable" to any land of a rentcharge, or of rent reserved by a lease, shall, where at the material time that land was the only land subject to the rentcharge, or out of which the rent issued, be taken to be the whole amount of the rentcharge payable, or of the rent reserved, for the year in which that time fell, and, where it was not, shall be determined by apportioning or allocating to that land so much (if any) of that whole amount as may be appropriate, having regard—

- (a) primarily, to any apportionment or allocation of that rentcharge or rent which may have been made otherwise than so as to be binding on the owner of that rentcharge or on the landlord, as the case may be, before the occurrence of any war damage to any of the land subject to that rentcharge or rent; and
- (b) subject as aforesaid, to the proportion borne by the annual value apart from any war damage of that land to the annual value apart from any war damage of the other land subject to that rentcharge or rent.

PART II.

Application of rentcharge provisions to Scotland.

7. In the application of section twenty-five of this Act and of Part I of this Schedule to Scotland, for any reference therein to a rentcharge

created out of the fee simple in any land there shall be substituted a reference to a feuduty or ground annual payable by the owner of the fee simple in such land ; references therein to the owner of a rentcharge shall be construed accordingly ; and references therein to a rentcharge created out of a tenancy shall not apply.

8. The right conferred by section twenty-five of this Act as modified by the last preceding paragraph on a superior or the creditor in a ground annual to receive a part of a value payment shall not be exercisable until—

- (a) in the case where the feuduty or ground annual is payable in respect of the charged land in the hereditament and also of other land, the part of such feuduty or ground annual attributable to the charged land in the hereditament has been allocated thereon ; and
- (b) the feuduty or ground annual or the part thereof so allocated, as the case may be, in so far as it exceeds the annual value of the charged land in the hereditament as depreciated by the war damage, has been discharged.

9. Where for the purpose of this Part of this Schedule a feuduty or ground annual is required to be allocated or a feuduty or a ground annual or a part thereof so allocated is required to be discharged, the superior or the creditor in the ground annual shall execute and record in the appropriate register of sasines—

- (a) a memorandum specifying the sum to be allocated and describing particularly or by reference the land on which it is to be allocated ; or, as the case may be,
- (b) a discharge of the feuduty or ground annual or part specifying the extent to which the same is discharged and describing particularly or by reference the land so disburdened ;

and any such allocation or discharge shall be binding on all having interest.

PART III.

Application of rentcharge provisions to Northern Ireland.

10. In its application to Northern Ireland, subsection (7) of section twenty-five of this Act shall have effect with the substitution, for the reference therein to the Settled Land Act, 1925, of a reference to the Settled Land Acts, 1882 to 1890.

11. As regard cases in which land in Northern Ireland is subject to a rentcharge, the Lord Chief Justice of Northern Ireland may by rules make such provision as may be expedient for securing, by the imposition of conditions as to the exercise of the right conferred by subsection (1) of the said section twenty-five or otherwise, that the extinguishment of any of a rentcharge by virtue of that section shall not take effect without notice thereof being registered in the proper office for the registration of deeds or titles as the case may require.

FIFTH SCHEDULE.

PROVISIONS AS TO APPEALS AND REFERENCES
TO A REFEREE.

1. The decision of the referee on an appeal or reference shall, subject as hereinafter provided, be final :

Provided that immediately after the determination by the referee of the appeal or reference, any party thereto, if dissatisfied with the determination as being erroneous in point of law, may declare his dissatisfaction to the referee who heard the appeal or reference, and, having done so, may, within such time as may be limited by rules of court, require the referee to state and sign a case for the opinion thereon of the High Court, or, where the party making the requirement so elects and the determination of the referee is on an appeal as to a value which has been determined by the Commission not to exceed five hundred pounds, or on a reference in relation to a value payment of an amount not exceeding that amount or in relation to a rentcharge of an amount not exceeding twenty-five pounds per annum, of the county court.

2. The Reference Committees for England and Scotland constituted by section thirty-three of the Finance (1909-10) Act, 1910, shall make rules, subject to the approval of the Treasury, for regulating appeals and references in relation to which this Schedule has effect, and such rules shall in particular make provision—

- (a) as to the time within which, and the manner in which, any such appeal or reference is to be made ;
- (b) as to the manner in which the referee to whom any such appeal or reference is to be made is to be selected ;
- (c) for limiting the number of expert witnesses who may be heard at the instance of any party to one, except where the referee otherwise determines ;
- (d) for securing that, on an appeal or reference as to either of two amounts the difference between which it is material for any of the purposes of this Act to ascertain, the referee shall determine the other of those amounts also ; and
- (e) as to the form in which any decision of the referee is to be given, and as to the amendment of any such decision in pursuance of any directions which, on appeal to any court, may be given by that court.

3. A referee may order that the costs of any appeal or reference to him incurred by any party shall be paid by any other party, and may tax or settle the amount of any costs to be paid under any such order or direct in what manner they are to be taxed, and any such order may be enforced as if it were an award on a submission within the meaning of the Arbitration Acts, 1889 to 1934.

4. In the application of this Schedule to Scotland, paragraph 3 thereof shall have effect with the substitution, for the words from "an award" to the end of the paragraph, of the words "a recorded decree arbitral".

5. In the application of this Schedule to Northern Ireland—

5TH SCH.
—*cont.*

- (a) paragraph 2 thereof shall have effect with the substitution, for the reference to the Reference Committees for England and Scotland, of a reference to the Reference Committee for Northern Ireland; and
- (b) paragraph 3 thereof shall have effect with the substitution for the words "submission within the meaning of the Arbitration Acts, 1889 to 1934", of the words "reference under an arbitration agreement within the meaning of the Arbitration Act (Northern Ireland), 1937".

SIXTH SCHEDULE.

Section III.

PROVISIONS AS TO SETTING OFF PAYMENTS IN RESPECT OF
WORKS, &C., FOR ESSENTIAL PURPOSES AGAINST LOANS MADE
IN RESPECT THEREOF.*Nature and purpose of loan.**Mode in which payment may
be dealt with.*

1. Loan made under section 1 of the Essential Buildings and Plant (Repair of War Damage) Act, 1939, by the appropriate Minister to a person (whether or not being a local authority or a housing authority) who has executed works for the purpose of which the loan was made, for the execution of the works.

A payment in respect of the works may, in lieu of being paid by the Commission, be discharged by crediting the appropriate amount to the person to whom the loan was made in his account with the Minister in respect of the loan. 2 & 3 Geo. 6.
c. 74.

2. Loan made by a housing authority to a person (other than a local authority or a housing authority) who has executed works, for the execution of the works, where either—

- (a) the loan was made under section 1 (3) (a) of the said Act and the appropriate Minister has made to the authority under section 1 (3) (b) thereof a loan of an equivalent amount; or
- (b) the loan was made in pursuance of a notice under section 1 (4) (i) of the said Act and the appropriate Minister has made to the authority under section 1 (4) (ii) thereof a loan of such amount as is necessary to enable the authority to comply with the notice.

A payment in respect of the works may, in lieu of being paid by the Commission, be discharged by crediting the appropriate amount to the authority in their account with the appropriate Minister in respect of the loan made by him, and by crediting the like amount to the person who executed the works in his account with the authority in respect of the loan made by them.

6TH SCH.
—cont.*Nature and purpose of loan.**Mode in which payment may
be dealt with.*

3. Loan made by such an authority, to such a person and for such a purpose, as is mentioned in the last preceding paragraph, where the loan was made as therein mentioned but the Minister has not made a loan as therein mentioned.

A payment in respect of the works may be paid to the authority in discharge of the loan made by them.

4. Loan made under section 2 of the said Act by the appropriate Minister, for repairing or replacing plant used for the purposes of an undertaking.

A payment in respect of works executed for the purpose for which the loan was made, or in respect of the plant, may, in lieu of being paid by the Commission or the Board of Trade, as the case may be, be discharged by crediting the appropriate amount to the person carrying on the undertaking in his account with the appropriate Minister.

5. Loan made by a Minister of the Crown out of moneys provided by Parliament to the person carrying on an undertaking, for making good war damage to a building occupied, or to plant or works used, for the purposes of the undertaking, or partly for such making good and partly for other purposes, being a loan made on the ground that immediately before the event which caused the damage, the undertaking was being carried on for purposes which, in the opinion of the said Minister, were essential to the efficient prosecution of any war in which His Majesty may be engaged.

A payment in respect of the war damage may, in lieu of being paid by the Commission or the Board of Trade, as the case may be, be discharged by crediting the appropriate amount to the person carrying on the undertaking in his account with the said Minister.

For the purposes of this Schedule, the expression "the appropriate Minister" has the same meaning as it has for the purposes of the Essential Buildings and Plant (Repair of War Damage) Act, 1939, references to a payment in respect of any works or of any war damage shall be construed as references to so much of any payment under Part I of this Act as consists of the proper cost of those works or of works executed for making good that damage, and references to a payment in respect of any plant or of any war damage shall be construed as references to so much of any payment under the business scheme operated under Part II of this Act, or of any payment that the Board of Trade have decided to make under section ninety-five of this Act as is referable to that plant or to that damage.

In the application of this Schedule to Northern Ireland, references to the said Act and to sections 1 and 2 thereof, to the appropriate Minister, and to a housing authority, shall be construed respectively

as references to the Essential Buildings and Plant (Repair of War Damage) Act (Northern Ireland), 1939, and to sections 1 and 3 thereof, to the appropriate Ministry, and to a local authority; and for the provisions set out in the second column of this Schedule as to the mode in which such a payment as is mentioned in paragraphs 1, 2 and 4 thereof respectively may be dealt with the following provisions shall be substituted, that is to say :—

- (a) such a payment as is mentioned in paragraph 1 may be paid to the appropriate Ministry in discharge of the loan ;
- (b) such a payment as is mentioned in paragraph 2 may be paid to the appropriate Ministry, which shall credit the appropriate amount to the authority in their account with that Ministry in respect of the loan made by it, and the authority shall credit the like amount to the person who executed the works in his account with the authority in respect of the loan made by them ;
- (c) such a payment as is mentioned in paragraph 4 may be paid to the appropriate Ministry, which shall credit the appropriate amount to the person carrying on the undertaking in his account with that Ministry in respect of the loan.

SEVENTH SCHEDULE.

Sections 13, 14,
20, 126.

TRANSITIONAL PROVISIONS.

Saving for determinations between cost of works and value payments made before the passing of the War Damage (Amendment) Act, 1943.

1. Where the question whether a payment in respect of any war damage is to be a payment of cost of works or a value payment has been determined under subsection (1) of section four of, or paragraph 2 of the Third Schedule to, the War Damage Act, 1941, before the passing of the War Damage (Amendment) Act, 1943, and the determination had effect immediately before the passing of this Act, it shall continue to have effect notwithstanding the passing of this Act : 6 & 7 Geo. 6.
c. 12.

Provided that the Commission may review the determination and, if satisfied that it would have been different if it had been made after the passing of the said Act of 1943, they may if they think fit, after consultation with the persons appearing to them to be interested, alter their determination.

Saving for agreements, etc., made before the passing of the War Damage (Amendment) Act, 1942, in relation to value payments to be made under sections 13, 14 or 20 (2) (b).

2.—(1) In any case in which under the provisions of subsection (2) of section thirteen, or subsection (2) of section fourteen, or paragraph (b) of subsection (5) of section twenty, of this Act, the time by reference to which the vesting of the right to receive a value payment is to be

7TH SCH.
—cont.

regulated would, apart from this paragraph, have been later than the time immediately before the occurrence of the war damage, if any person makes application to the Commission in that behalf and shows that, having regard to—

- (a) any agreement made during the period between the occurrence of the war damage and the passing of the War Damage (Amendment) Act, 1942, as to the disposal of any payment which might be made in respect of the damage ;
- (b) any transaction or disposition entered into or made, or contained in a will or codicil executed, during that period on the assumption that a particular kind of payment would be made in respect of the damage or that any payment to be made in respect thereof would be disposed of in a particular way ; or
- (c) any other circumstances occurring during that period,

the vesting of the right to receive the value payment by reference to that later time would involve serious injustice to him, the Commission may dispose of the payment or any part thereof as if the vesting of the said right had fallen to be regulated by reference to the time immediately before the occurrence of the war damage or otherwise as may appear to them to be just and equitable in all the circumstances.

(2) The Commission may make orders as to the costs of the parties on applications under this paragraph and as to the parties by whom such costs are to be paid, and may tax or settle the amount of the costs to be paid under any such order or direct in what manner they are to be taxed, and any such order may be enforced in like manner as an order of a referee as to costs made under the Fifth Schedule to this Act.

Payment where compulsory acquisition of partially damaged land became obligatory before the passing of the War Damage (Amendment) Act, 1942.

3.—(1) Where a notice to treat for the compulsory acquisition by virtue of an enactment passed or deemed to have been passed before the passing of the War Damage Act, 1941, of land constituting or forming part of a hereditament which had sustained war damage in respect of which a payment of cost of works would have been the appropriate payment, but which had not been fully made good, was served, or any other action by virtue of which such an acquisition became obligatory was taken, before the passing of the War Damage (Amendment) Act, 1942, and compensation for the acquisition has been or falls to be determined by reference to the value of the land in its damaged state (without regard to the prospective right of a purchaser to payment of the cost of making the damage good), the payment to be made under Part I of this Act in respect of the damage to the land acquired shall be of an amount equal to what would have been permissible for the payment of cost of works (so far as attributable to the land acquired if it is part only of the hereditament), and shall be made in the form of—

- (a) a payment of cost of works in respect of any works for making good the damage executed before the date of the notice to treat or other the date on which the acquisition became

obligatory, in so far as the proper cost thereof falls within the said permissible amount ; and

7TH SCH.
—cont.

- (b) a value payment of an amount equal to the residue of the said permissible amount, or, if no such works were so executed, to the whole thereof.

(2) In a case in which the preceding sub-paragraph has effect, subsection (2) of section six of this Act shall have effect in relation to works reasonably executed for temporarily meeting the circumstances created by the damage to the land acquired, being works, other than those taken into account under head (a) of the preceding sub-paragraph, executed between the occurrence of the damage and the date mentioned in that sub-paragraph, and in relation to such works only.

(3) Any question arising in giving effect to the preceding provisions of this paragraph shall be determined by the Commission.

(4) In a case in which sub-paragraph (1) of this paragraph has effect, it shall have effect to the exclusion of section fourteen of this Act.

Provisions as to functions transferred to new Ministers as respects period before transfer.

4. Any reference in this Act to a Minister to whom functions have before the passing of this Act been transferred by Order in Council made under the Ministers of the Crown (Emergency Appointments) Act, 1939 shall in relation to the functions transferred be construed, as respects the period before the transfer had effect, as a reference to the Minister from whom the functions were transferred.

Saving for effect of future Orders in Council under Ministers of the Crown (Emergency Appointments) Act, 1939 and of repeal of that Act.

5. Any Order in Council made after the passing of this Act under the Ministers of the Crown (Emergency Appointments) Act, 1939, and the repeal of that Act provided for by section three of the Ministers of the Crown and House of Commons Disqualification Act, 1942, shall operate in relation to this Act as if—

- (a) any functions conferred by this Act on the Minister of War Transport in relation to lighthouses and in relation to other matters had been conferred by this Act on the Minister of Shipping and the Minister of Transport respectively and had been transferred to the Minister of War Transport by the Ministers of the Crown (Minister of War Transport) Order, 1941 ;
- (b) any functions conferred by this Act on the Minister of Fuel and Power had been conferred by this Act on the Board of Trade and had been transferred to the said Minister by the Ministers of the Crown (Minister of Fuel and Power) Order, 1942 ;
- (c) the references in subsection (11) of section seventy-one and subsection (4) of section eighty-four of this Act to the

5 & 6 Geo. 6.
c. 11.

7TH SCH.
—cont.

Minister of War Transport had respectively been references to the Minister of Transport and the Minister of Shipping which had been directed by the said Order of 1941 to be construed as references to the Minister of War Transport.

Construction of references to the risk period in regulations made before the passing of the War Damage (Amendment) Act, 1942.

6. References to the risk period in regulations made by the Treasury under the War Damage Act, 1941, before the passing of the War Damage (Amendment) Act, 1942, shall, unless the contrary intention appears, be construed as references to that period as defined by this Act.

Section 127.

EIGHTH SCHEDULE.

ENACTMENTS REPEALED.

Session and Chapter.	Short Title.	Extent of Repeal.
4 & 5 Geo. 6. c. 12.	The War Damage Act, 1941.	The whole Act, so far as not already repealed, except Part III, so much of section eighty-eight as relates to the War Risks Insurance Act, 1939, and subsection (1) of section one hundred and two.
5 & 6 Geo. 6. c. 28.	The War Damage (Amendment) Act, 1942.	The whole Act, except so much of section three as relates to the War Risks Insurance Act, 1939, subsection (2) of section four, section five, subsection (1) of section seven, so much of subsection (2) of section seven as relates to citation, and subsection (5) of section seven.
6 & 7 Geo. 6. c. 12.	The War Damage (Amendment) Act, 1943.	The whole Act.

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